Delhi High Court M/S Drs Logistics (P) Ltd & Another vs Google India Pvt Ltd & Anr on 30 October, 2021 Author: V. Kameswar Rao Bench: V. Kameswar Rao IN THE HIGH COURT OF DELHI AT NEW DELHI

Judgment delivered on: October 30, 2021

- CS(COMM) 1/2017 & I.As. 21153/2011, 4474/2014, 2645/2020, 2646/2020, 7203/2020

  M/S DRS LOGISTICS (P) LTD & ANR. ..... Plaintiffs
  Through: Mr. Chander M. Lall, Sr. Adv. with
  Ms. Nancy Roy, Adv.
  versus

  GOOGLE INDIA PVT LTD & ORS. ..... Defendants
  Through: Mr. Sandeep Sethi, Sr. Adv. with Mr.
  Neel Mason, Ms. Ridhima Pabbi, Ms.
  Ekta Sharma, Ms. Vennela Reddy and
  Ms. R. Ramya, Advs. for D-3
  Mr. Arun Kathpalia, Sr. Adv. with Mr.
  Saransh Jain, Ms. Shlok Narayan and
  Mr. Tejpal S. Rathore, Advs.
  for D-1
  Mr. Kshitij Parashar, Adv. for D-2
  Ms. Haripriya Padmanabhan, Adv.
  with Mr. Shrutanjaya Bhardwaj, Adv.
  for applicant in I.A. 7203/2020
  CORAM:
  HON'BLE MR. JUSTICE V. KAMESWAR RAO
  JUDGMENT

V. KAMESWAR RAO, J IAs. 21153/2011 and 4474/2014

1. The present suit has been filed by the plaintiff seeking permanent injunction against the defendants. The plaintiff has also filed the I.A. 21153/2011 under Order XXXIX Rules 1 and 2 of the Code of Civil Procedure, 1908 ('CPC' hereinafter) with the following prayers:

"A. The Defendants, it directors, officer, servants, agents, representatives and assigns be restrained by an order of interim and ad-interim ex-parte injunction from: (i) using or permitting third parties to use AGARWAL and / or AGGARWAL PACKERS & MOVERS and / or DRS LOGISTICS or any other trade mark or name similar to the Plaintiffs' registered trademark AGARWAL PACKERS & MOVES and / or DRS LOGISTICS either as a key word or as a meta tag or as a trade mark or part of a key word or meta tag or trade mark or in any other manner so as to infringe the registered trade marks of the Plaintiffs; (ii) permitting third parties from advertising AGARWAL and / or AGGARWAL, PACKERS & MOVERS and / or DRS LOGISTICS in various combinations on its website or any trade mark or name similar to the Plaintiffs' registered trade mark AGARWAL PACKERS & MOVERS and / or DRS LOGISTICS or any other trade mark either as a trade mark or part of a trade mark, a trade name or corporate name or as part of a trade or corporate name, or in any other manner whatsoever so as to allow third parties from passing off their services or business as and for the services or business of the Plaintiffs; except Agarwal Packers & Movers Ltd. or any other company / entity enjoying registered users licence or permission to use the name (iii) permitting any third parties from using any other indicia whatsoever to show any association or affiliation or connection of with the Plaintiffs or their services on its website; B. The Defendants, it directors, officer, servants, agents, representatives and assigns be restrained by an order of interim and ad-interim ex-parte injunction from:

(i) remove all references on its sponsored links to third party websites, when the words AGARWAL and / or AGGARWAL, PACKERS & MOVERS and / or DRS LOGISTICS are used in various combinations in the search engine of the Defendant website. except Agarwal Packers & Movers Ltd or any other company / entity enjoying registered user license or permission to use the name: C. The Defendants be called upon to immediately and forthwith allow inspection of their accounts to assist in ascertaining damages; D. Costs of the present application be awarded to the Plaintiffs; and E. Any other relief which the Hon'ble Court thinks fit and proper in the circumstances of the case be allowed in favour of the Plaintiffs and against the Defendant." 2. The plaintiff has subsequently filed another application numbered as I.A. 4474/2014 under Order XXXIX Rules 1 and 2, CPC, seeking ad interim relief against defendant No. 3, i.e., Google LLC with the following prayers:

"A. The Defendant No.3, it directors, officer, servants, agents, representatives and assigns be restrained by an order of interim and ad-interim ex-parte injunction from: (i) using or permitting third parties to use AGARWAL and / or AGGARWAL PACKERS & MOVERS and / or DRS LOGISTICS or any other trade mark or name similar to the Plaintiffs' registered trademark AGARWAL PACKERS & MOVES and / or

DRS LOGISTICS either as a key word or as a meta tag or as a trade mark or part of a key word or meta tag or trade mark or in any other manner so as to infringe the registered trade- marks of the Plaintiffs; (ii) permitting third parties from advertising AGARWAL and / or AGGARWAL, PACKERS & MOVERS and / or DRS LOGISTICS in various combinations on its website or any other trade mark or name similar to the Plaintiffs' registered trade mark AGARWAL PACKERS & MOVERS and / or DRS LOGISTICS or any other trade mark either as a trade mark or part of a trade mark, a trade name or corporate name or as part of a trade or corporate name, or in any other manner whatsoever so as to allow third parties from passing off their services or business as and for the services or business of the Plaintiffs; except Agarwal Packers & Movers Ltd. or any other company / entity enjoying registered users licence or permission to use the name. (iii) permitting any third parties from using any other indicia whatsoever to show any association or affiliation or connection of with the Plaintiffs or their services on its website; B. The Defendant No.3, it directors, officer, servants, agents, representatives and assigns be restrained by an order of interim and ad-interim ex-parte injunction from:

(i) remove all references on its sponsored links to third party websites, when the words AGARWAL and / or AGGARWAL, PACKERS & MOVERS and / or DRS LOGISTICS are used in various combinations in the search engine of the Defendant website except Agarwal Packers & Movers Ltd. or any other company / entity enjoying registered user license or permission to use the name C. The Defendant No.3 be called upon to immediately and forthwith allow inspection of their accounts to assist in ascertaining damages; D. Costs of the present application be awarded to the Plaintiffs; and E. Any other relief which the Hon'ble Court thinks fit and proper in the circumstances of the case be allowed in favour of the Plaintiffs and against the Defendant No.3."

3. I shall proceed to decide both these applications simultaneously. This Court vide order dated January 22, 2020 had recorded the submission of the plaintiff wherein it had stated that the only issue which need to be decided for the purpose of injunction is, whether providing a trademark of an owner as a keyword to a third party would amount to infringement of a trademark. The same has been reproduced as under:

"2. In other words, he clarifies that Google does not allow any third party to put / publish / refer to a trademark of an owner in the Adtext / Adtitle as per its policy. Mr. Sethi also states that the said policy is still in vogue and shall be implemented in favour of the plaintiff. 3. On this, Mr. Chander M. Lall, learned Senior Counsel appearing for the plaintiffs, states that in view of the statement of Mr. Sethi, the only

issue which needs to be decided for the purpose of injunction is whether providing a trademark of an owner as a keyword to a third party shall amount to infringement of a trademark." I further note from the plaint that plaintiff No.1 is the owner of the trademarks and copyrights and plaintiff No.2 has been granted license for use of trademarks and copyrights vide agreement dated July 22, 2009. It is also clear from the plaint that plaintiff No.2 has filed an application before the Registrar of Trademarks to take on record the fact that it is a registered user of the trademarks of plaintiff No.1. Plaintiff No.1 and plaintiff No.2 have been in this order collectively referred to as 'plaintiff' for the sake of brevity.

4. Mr. Lall, learned Senior Counsel who appears along with Ms. Nancy Roy on behalf of the plaintiff has stated that through the present suit the plaintiff seeks to restrain defendants Nos. 1 and 3 i.e. Google India Pvt. Ltd. and Google LLC (hereinafter 'Google') from the use of the plaintiff's registered trademarks which constitute a part of ad-title, ad-text, URL and meta-tag or keyword. Mr. Lall states that meta-tags or keywords trigger search results on Google i.e. by way of Google Ads.

5. It is the case of the plaintiff that several third party infringers use the services of Google for inserting their infringing advertisements when a user on the internet looks for the plaintiff by typing "Agarwal Packers & Movers". Plaintiff has moved against third parties and despite having decrees in its favour it states that Google did not stop the use of infringing advertisements on their platforms. He stated that one party namely Agarwal Packers India (Agarwal Express Links Pvt. Ltd.) against whom a decree has been passed, continues to appear in the keyword, Ad-title and URL.

6. It is the case of the plaintiff that obtaining orders against individual advertisers on the Google platform was ineffective and it is due to this reason that the plaintiff was compelled to initiate the present suit against defendant Nos. 1 & 3 and defendant No.2 i.e. Just Dial. Mr. Lall has pointed to the averments made in the plaint wherein it has been stated that the plaintiff has been asked to pay more money or else the defendants would advertise the infringers of the plaintiff's brand on their website.

7. Mr. Lall argued that these actions of the defendants amount to blackmailing through the AdWords Program. He has argued that there are numerous tutorials available online which suggest that by bidding for one's own brand, which is used as a keyword by the Google AdWord Services the owner can protect the advertisement panels on the search engine result page from being

used by the competitors and from stopping the competitors from stealing the traffic.

8. It is the case of Mr. Lall that the suit has been initiated against Google alone and not against their customers who use Google services, which are constantly changing. The suit targets the mechanism of Google and the cause of action relates to all activities where the registered trademark of the plaintiff is used to direct internet traffic to the website of the infringer and seeks injunction from using the same as a keyword / meta tag, etc.

9. He has pointed out, that at the time of filing of the suit brand infringement was permissible on Google by use of registered trademarks in the ad-title and ad-text as also in the URL and of course keywords. However, Google has agreed to block the trade mark "Agarwal Packers & Movers" and other similar marks of the plaintiff from appearing in the Ad-title and Ad-text. According to him, on URL, the defendants in their written statement in paragraph 14 have also stated that, in terms of the policies of Google Inc., which are implemented by Google Inc, itself no registered trademarks will be displayed in the Ad-text and Ad-title of an advertisement or sponsored link. The trademarked term would also not appear in the URL of the advertisement and that the said policies would be applicable to the plaintiff as well.

10. According to him, on the issue of keywords, Google had asserted that it only implements the policy to restrict keywords in certain countries which include China but does not include India. Mr. Lall has pointed to the policy of Google as existing before the Madras High Court in Consim Info Pvt. Ltd. vs. Google India Pvt. Ltd. & Ors. 2011 (45) PTC 575 (Mad) (SJ) ('Consim I' hereinafter) and Consim Info Pvt. Ltd. vs. Google India Pvt. Ltd. & Ors. 2013 (54) PTC 578 (Mad) (DB) ('Consim II' hereinafter) to list the countries where it restricts the use of keywords. However, when it comes to India the defendant Nos. 1 and 3 have stated that Google would not investigate or restrict the use of a trademark term in keywords, even if a trademark complaint is received. According to him, Google does not consider use of trademarks as keywords as use, or infringement of a registered trademark.

11. As per Mr. Lall in the earlier cases before the Madras High Court viz. Consim I and Consim II both Google India and Google Inc. were parties and the stand taken by Google has changed from 2009 to 2014 which is when the current suit was filed.

12. According to Mr. Lall, the Division Bench of the Madras High Court held the Plaintiff/Appellant therein to be entitled to an injunction. He stated that the Court had given a finding stating that Google had discriminated against the appellants therein and also arbitrarily used the trademark words as keywords; and that Google could have used some other words as keywords on sponsored link and also held that Google's action would only create confusion in the minds of the public. Further that Google was bound by the policy that has been reproduced in the order of the Division Bench.

13. He further pointed to the written statement of the defendant No. 1 to state that they have in paragraph 20 admitted to the applicability of judgment in the case of Consim I to the instant case and therefore the change in policy now is completely mischievous and contumacious. Further, he stated that in an affidavit filed by Google there was an admission that right up to 2009 the AdWords Policy applicable to India did not allow trademarks as part of keywords. According to him, Google asserts that they revised their Ad Policy on June 4, 2009 to allow use of trademarks as keywords in more than 100 countries including India. The decision in Consim I is dated September 30, 2010 wherein Google was bound to follow the keyword policy in India prior to amendment. The policy that was to be followed for India was also clarified in paragraph 51 of Consim II.

14. Mr. Lall relied on the judgment of the Bomaby High Court in the case of People Interactive (I) Pvt. Ltd. vs. Gaurav Jerry, MIPR 2014 (3) 101, to state that, meta-tags are special lines of code embedded in the web pages which provide structured data (meta data) about the web page and that these meta-tags are used by search engine robots to assess webpage contents and other relevant material relating to a webpage in the building of search engine indices. The illicit use of meta-tags could be severely damaging and that this is a form of hijacking the plaintiff's reputation and goodwill. Similarly, Mattel Inc. & Ors. vs. Jayant Agarwalla & Ors., 2008 (38) PTC (416) (Del) held that meta-tags are machine readable codes used by search engines to index sites. Additionally, he stated that meta-tags are included in the code that defines the functionality of a website by a website owner and that the use of trademarks as meta-tags constitutes infringement and passing off since the defendant Nos. 1 and 3 through such tags divert internet traffic away from the plaintiff's website.

15. By placing reliance on Consim I, he also argued that keywords are meta-tags which have been commercialised and are available to third parties for a price. According to him, defendant No.3 describes a keyword as words or phrases you

choose that can trigger your ad to show on search and other sites; these keywords are used synonymously with 'search terms' and 'AdWords'.

16. Mr. Lall argued that Google is not an intermediary, but rather a direct beneficiary through the sale of keywords. As per the judgement of Consim II, Google explained that advertisers who vie with one another are asked to bid upon the basic price fixed by the search engine for selection of the keyword; and parties can advertise their services on the sponsored links by paying necessary charges to Google. According to the written statement of defendant No.3, Google India is the reseller of Adwords Program in India and as per Consim I. Google guides the advertiser in selection of the keyword and charges them either a fixed rate or gives it to the highest bidder.

17. Mr. Lall has pointed to Google's policy to state that Google maximises its revenues by linking keywords with the goods/services of the advertisers and that these keywords enable the advertisements to appear on diverse Google platforms. The relevant section of Google's policy has been reproduced as under.

"With a keyword-targeted ad on Google and its search partners, your bid is based on your maximum cost-per-click (max. CPC) bid, the maximum amount you're willing to pay for each click on your ad (though the final amount you're charged per click - your actual CPC - could end up being less). Your Quality Score is based on the relevance of your keywords, the quality of your landing page, your ad's click through rate (CTR), adjusted for its position on the page, and a few other factors. xxx xxx xxx Keywords can trigger your ads to appear next to search results on Google and other search sites. But keywords can also trigger your ads to show on other sites across the Internet - Google-owned properties like YouTube as well as Google's partner sites like NYTimes.com or Families.com, for example. We call these placements, which are part of what we call the Display Network." 18. Mr. Lall points out to the averments made by the defendant No.3 in their written statement that the sponsored results / ads are obtained by the mechanism put in place under the AdWords Program. Only advertisers having an AdWords account can access the AdWords Program, which allows advertisers to create, select, edit and manage keywords based on which their advertisements can show up as a 'sponsored links' / ads in response to a search query entered by any user. He stated that the defendant admitted that the keyword mechanism is at the heart of Google's programming, as they have stated in the written statement that, the automated response which Google search engine makes to a user's search request by displaying a sponsored

link is wholly determined by the keywords and other content of the sponsored link which the advertiser has chosen.

19. Mr. Lall has pointed to the Plaintiff's affidavit with a screenshot of how the keyword Planner which assists the advertisers in selecting certain terms and combinations thereof as keywords under the AdWords Program which can help improve the likelihood of an advertisement receiving a higher relevancy score of Ad rank; which reads that the keyword 'agarwal packers and movers' has 170 as average monthly searches and the screenshot reads that the competition against this keyword as 'High' and suggests a bid of 168.69. The keyword planner tool according to them provides data and information to an advertiser relating to popular keywords in the same field of business and gives information such as average monthly searches for any popular keyword or a suggested value of the bid amount to help the advertiser plan its bid value, keeping in mind other advertisers in the same field of business. Mr. Lall argued that by the virtue of the above acts, Google cannot be termed as an intermediary, as the term has been defined under the Information Technology Act, 2000 ('IT Act' for short). It is not entitled to claim the harbour of Section 79 of IT Act as it is Google itself which provides the service of keywords, selects the people who can participate and actually shepherds them through the process and conspires and abets the commission of unlawful acts. Mr. Lall has placed reliance on the affidavit of Ramesh Agarwal filed on April 19, 2014, wherein screen-shots of the Keyword Suggestion Tool which shows the advertiser the Ad group ideas along with keyword ideas as well as country specific options, language, negative keywords, etc. This is also succeeded by a column for Keyword filters with Keyword options, Show broadly related ideas, Hide keywords in my account, Hide keywords in my plan. The prospective advertiser is offered a menu of keywords to choose with the following information:

20. He argued that Google's argument is merely an afterthought. Its AdWords Policy itself acknowledged that the use of trademarks as part of keywords constituted violation of trademark rights and merely because they now unilaterally decide to change that policy, the legal position remains unchanged and Google is estopped from claiming to the contrary. He further anchors his argument on the fact that the use of keywords by search engines require licenses, a fact which has been acknowledged by Google; as per the plaint wherein the plaintiff has submitted that the plaintiff also participates in the Google AdWords Program and when it does, in such a case the plaintiff licenses the use of its registered trademark to the defendant No.1 and the defendant No.3 for use as a keyword. According to him defendants specifically admit the position that its AdWords

Policy, Terms of Service requires the trademark owner to grant to Google a license to use the keywords in future. The need to obtain a license by Google constitutes an admission that unlicensed use is not authorised.

21. He submitted, that as per section 29(7) of the Trade Marks Act, 1999 (TM Act 'for short') clearly sets out that a registered trademark is infringed by a person who applies such registered mark to a material intended to be used for advertisement of goods or services and here the goods or services are not restricted to goods/services for which the trademark is registered.

22. Mr. Lall has argued that defendant No.2 Just Dial is another service provider which collaborates with Google and its AdWords Policy; when one searches for the plaintiff's registered trademark a Just Dial advertisement appears on top. The name of Just Dial is in juxtaposition to the trademark of the plaintiff. Just Dial is then able to direct traffic to a telephone number who pays them the highest fee, just like Google. The first number that appears on Just Dial is of the person who pays the highest fee for the listing.

23. Mr. Sandeep Sethi and Mr. Arun Kathpalia, learned Senior Counsels who appear with Mr. Neel Mason and Mr. Saransh Jain on behalf of defendant Nos. 1 and 3 (collectively referred to as 'Counsels for Google'), argued that the Google Ads program, is an advertising service where any advertiser can create and display an online advertisement in relation to its website, including search-based advertising on the Google search engine. The search results on the first page of the Google Search engine are of two types, i.e., 'Sponsored Search Results' and 'Organic Search Results'. The former comprises of advertisements and appear separately from the organic search results; and are differentiated from the label 'Ad'.

24. The Counsels for Google have submitted that for creation of an advertisement, the advertiser inter alia has to provide the text of his Ad, i.e., the Ad-Text and also provide the search terms or phrases, which are known as keyword(s), which the advertiser believes are most relevant to its business. When the said keyword is typed in by any internet user on the Google Search Engine, as a search query, the Ad of the advertiser may be eligible for display on the Google Search Engine Results Page. Counsels for Google have maintained that each and every element of the Ad is created and provided solely by the advertiser, whereas the Google Ads program merely provides an advertising platform and interface for creating and placing such an Ad on Google Search. A keyword provided by the advertiser is treated as just a backend trigger for an Ad to be displayed and is never used in a trademark sense. Keywords provided by the Advertiser are not visible

anywhere within the advertisement nor are they used in any tangible or perceptible manner to the end user.

25. The Counsels for Google have explained that the search- based Ads are triggered by a way of automated software algorithms that match the search query entered by a user with the set of keywords provided by various advertisers and algorithmically determines which Ad is most relevant to the search query and should be triggered, if at all. The actual display and ranking of an Ad is not determined by the selection of keywords alone nor the highest bid, but is a function of a combination of the bid amount, quality score (that factors the relevance of the Ad), the context of a user's search and the expected impact of Ad formats and extensions. It is the case of Google that revenue is not earned or generated by Google merely by an advertiser participating in the Google Ads program or upon the mere display of an Ad. A charge is made to the advertiser only if the Ad is clicked upon by the end user.

26. It has been argued by the Counsels for Google that the keywords are neither sold by Google nor are they purchased by the advertiser in the sense of exclusively reserving the term or phrase for the purpose of triggering Ads. Google has stated that none of the Advertisers acquire any proprietary rights in the keywords provided by them to Google and that multiple advertisers can select the same keyword.

27. With regard to the keyword Planner Tool, the Counsels for Google have argued that, this is a standalone research tool, i.e., the keyword planner which was earlier known as Keyword Suggestion Tool. They have submitted that this is a tool for the benefit of advertisers to gain statistical information and understanding about the kind of words, expressions, combinations that may be relevant for an advertiser to consider as keywords for triggering their advertisements. They state that, the keyword planner tool is not a mandatory step for creating or running advertisements on Google Ads and is simply a free facility or a software tool that is separately available to the advertiser and can be used to help plan an advertisement campaign, should the advertiser choose to avail of it. This keyword planner is only for the internal reference of advertises and is not publicly accessible except to advertisers who specifically look for this tool on the Google Ads program. According to them, prospective advertisers can use this tool to generate and compile lists containing some relevant statistical data e.g., number of average monthly searches, the competition level, the amounts bid by advertisers for a keyword, etc., regarding a given business field and learn which keywords and search phrases would

generate an optimum value for the advertiser. They have stated that, the information that is ultimately displayed using this tool is based on the millions of bits of data that is being stored dynamically to the extent it matches with the queries fed in by the user of the tool; and Google has taken a stand that the advertiser is free at all times whether or not to use the keyword planner tool and has the full discretion and choice to provide or not provide a keyword, irrespective of whether it forms a part of keyword planner or not and may even provide a keyword that is not a part of the keyword planner at all. Google has maintained that the said tool is line, both with the applicable law in India as well as honest commercial/industrial practices.

28. In context of their trademark policy vis-a-vis the Google Ads, the Counsels for Google have stated that the Google Ads Trademark policy explicitly prohibits any advertisements that infringe the trademark rights of others. They have also stated that under the policy, Google investigates the use of trademarked terms in the Ad-Text of competitor ads, i.e., in the visible portion of the ad that appears on the search results page. Google does not restrict or investigate use of trademarks as keywords. They have stated that the, trademark policy permits use of the trademark term in the Ad-text by resellers, informational sites and authorized advertisers, if they meet the necessary requirements, consistent with the applicable law in India. According to them, Google Ads Trademark policy which is applicable globally including in India is aligned with global legal precedent, finding that a mere use of a trademark as a keyword, without more, does not amount to infringement or unfair competition. They have stated that the said policy had been recorded and accepted in Consim I and reiterated by the Division bench in Consim II. The said policy has not undergone any significant change since then, contrary to what the plaintiff has alleged. They have stated that the only issue subsisting in the present matter is whether permitting a third party to register a keyword that is a registered trademark amounts to infringement, which according to them is a question answered in the negative, based on the findings of numerous foreign Courts.

29. It is the case of Google that, once the Ad is created or edited by an advertiser, the Ad is reviewed in an automated manner for compliance with the Google Ads policies and applicable laws. The process of review involves the Ad being reviewed in an automated manner and algorithmically without any human intervention to check any Ad that may be placed in the system for violations of applicable laws. The content, including headline, description, keywords, destination and any images and videos are reviewed within one business day. Ads which on the face of it violate Google Ad policies; for instance, Google

algorithms will automatically track and block advertisements which are prohibited under the Pre-Conception and Pre-natal Diagnostic Techniques Act, 1994 ('PCPNDT Act', for short). At the same time, for certain policy violations such as trademark violations (in the Ad Text), the Ads tools can detect and block the misuse of a trademarked term in the Ad Text once the owner of such rights has informed Google of its valid and existing rights and as to how a particular advertisement is in violation of such rights. It is Google's case that the plaintiff itself has benefitted from the said feature and is very well aware of the nature and functioning of review of Ads by Google.

30. According to the counsels for Google, Google Advertisement Policies also include the Misrepresentation Policy. The thrust of the said policy is to route out ads that seek to mislead users or misrepresent themselves to offer genuine or authorised goods or services or in any manner seek to play a fraud on the users. For instance, Ads scamming users by impersonating brands or businesses by referencing the brand content in the ads, URL, destinations or an advertiser misrepresenting itself as the brand or business in user interactions is not permitted under the said policy. An Ad which is suspended for violation of this policy also leads to suspension of the associated accounts of advertisers of such Ads, since this is considered to be a gross violation of the Ad policies. It had also been submitted, that the Plaintiff in the present proceedings had reported certain Ads for violation of their trademark rights. However according to Google, such ads were not found to be in violation of the Trademark policy of Google Ads because they did not feature the plaintiff's trademark in the Ad Text, the same were found to be in violation of the Misrepresentation policy and had been acted upon accordingly. It has been submitted that, Google Ads program does not permit bad ads, that are intended to deceive users by excluding relevant information or providing misleading information and such ads will be reviewed under the Misrepresentation Policy, as and when reported by the Plaintiff.

31. Another limb of argument advanced by the Counsels for Google, has been that keywords are not meta-tags. According to them, meta-tags are neither used by Google in the organic search result nor are they part of sponsored links/Ads section. On the specific issue of meta-tags the Counsels for Google addressed the following issues:

i. That there is neither any pleading nor any factual foundation laid down in the plaint to allege what meta- tags are or how Google is allegedly infringing the Plaintiff's trademark rights through meta-tags. According to them the only reference

is in the prayer clause of the plaint, which is entirely unsupported by pleadings. The arguments raised regarding meta-tags have been raised for the first time in rejoinder arguments and that too only in oral submissions. It is a well settled principle that a party cannot be allowed to bring a fresh cause of action at the stage of rejoinder. ii. It is their argument that the plaintiff should be precluded from raising this argument at this stage. It has been their submission that meta-tags are 'website descriptors' or 'tags' that can be words, expressions or phrases that are put in the source coding of any website to help describe the contents of their website. If the website owner puts certain keywords in his website's source coding and designates them as met-tags, they are referred as 'keyword meta-tags'. However 'keyword meta-tags' cannot be confused with 'keywords'. A keyword is conceptually different from a meta-tag. A keyword is a word/phrase that is provided by an advertiser to act as a trigger for its ad. It is not embedded, included or incorporated into any source code or other text of either the ad or the advertiser's website. On the other hand a meta-tag is a word /phrase put in source code by a website developer. iii. According to them the difference had been discussed by the Federal Court of Australia in the judgement of Veda Advantage Ltd. vs. Malouf Group Enterprises Pvt. Ltd. [2016] FCA 255, wherein it has been noted that "keyword meta-tags" were trademarked words embedded in the source code of a website and its pages by the creator/editor of the site. It had also been that unlike the 'keywords' employed by Google as a trigger at the backend, 'keyword meta-tags' were not entirely invisible and were visible to those who know what to look for, in the source data. iv. They have argued that the reliance placed by the plaintiff on the judgments in the cases of People Interactive (supra) and Mattel (supra), is misplaced and unsustainable. According to them the Courts have not in any way held a search engine responsible for use of meta-tags by a website owner in his website's coding and are being read by the Plaintiff to suit his own case. They have argued that the aforesaid cases are inapplicable to the facts of the present case and that the plaintiff has read orders as well as concept of meta-tags to its own liking and same does not reflect the correct position of facts. 32. Another argument taken by the counsels for Google has been that the use of Trademarks as keywords does not amount to "use" under the TM Act. According to them, section 2(2) (b) requires a trademark to be used "in a printed or other visual representation" as a prerequisite before use under section 2 (2)(c) can even be examined. The key requirement here is that the use of a trademark is in some visible or tangible form which is "represented" to an end user / consumer. Mere providing of a trademark term as a keyword as a back-end trigger by the advertiser to display its ads does not in any manner amount to such "representation" and does not qualify as "trademark use"

particularly by Google. 33. It has been their case that as per the Federal Court of Australia in Veda Advantage (supra) wherein the Court had held that the use of a trademark as a keyword "which is invisible to the consumer" is not a use as trademark. The Court rejected the proposition that using the words which are invisible and inaudible, indeed imperceptible, to consumers, amounts to trademark use. Further, the UK Court of Appeal in the case of Reed Executive Plc & Anr. vs. Reed Business Information Ltd. and Ors., [2004] EWCA (Civ) 159 had stated in relation to use of trademarks as keywords, that an invisible use of such sort, may not be use at all, for the purpose of the trademark legislation as there is no meaning being conveyed to anyone -

"no sign". In another decision given by the Moscow City Arbitrazh (Commercial) Court in the case of Nebo vs. Almazakh, Case No. A40-128465/17-91-1116 (2017) had held that using a trademark as a keyword does not constitute use of a trademark and observed that keywords cannot be viewed as means of using a trademark as such words do not carry the "branding" capacity. The Court had observed that keywords do not form part of the advertisement proper, they are not included in its content and are not shown to the user. Keywords cannot even be used for identifying a particular ad as the same keywords may be used for multiple advertisements. Therefore, users do not know on the basis of which keyword a particular advertisement is shown nor can they determine which exact keywords correlates with the said advertisement. 34. It is their case that section 2(2)(c) further requires that the Plaintiff's trademarks be used "as or as part of any statement about the availability, provision or performance" of its services for it to qualify as trademark use. Mere providing of a trademark term as a keyword as a back-end trigger by the advertiser to display its ads does not in any manner amount to a "statement" to the end user / consumer and does not qualify as "trade mark use", especially by Google. The High Court of New Zealand in the case of NZ Fintech Limited T/A Moola vs. Credit Corp Financial Solutions Pty Ltd T/A Wallet Wizard [2019] NZHC 654 held that an advertiser is not using a keyword as a "badge of origin" for its goods or services, but rather it is being used in Google's paid service "to place its comparative or competitive offering" in the search results along with the trademark owner's offering which indicates that there is "no use as a trademark"; and also in the case of Veda Advantage (supra) it was observed that keywords being indiscernible to the consumers are not being used by the advertiser to "distinguish the services of one trader from another" and cannot denote a connection in trade between them. Such use by the advertiser is merely to "identify internet users who may have interest in using its services".

35. Counsels for Google, have argued that section 29(6) is to be read in addition and as a further elaboration of use under Sections 2 (2)(b) and 2(2)(c) that particularly identifies four specific forms of "use" of a trademark, which may qualify as infringement under section 29. Use of trademarks as keywords at the "back end" for triggering ads does not qualify as use, including under any of the subsections of section 29(6), especially by Google. It is their case that it has been held across various international Courts that internal use of the trademark at the backend for triggering ads does not amount to use and hence cannot amount to trademark infringement.

36. It is their case that, if there is no use of trademark for five years as contemplated under section 47(1)(b), which provides that a trademark may be removed from the register, if a trademark owner is permitted to claim to be making "trade mark use" of a trademark solely by using the term as a keyword at the backend without it otherwise appearing anywhere in the trademark owner's advertising materials or business activities, "non-use" as contemplated under Section 47 and its purpose would stand defeated.

37. The Counsels for Google have argued that, even if use is established, there are no elements for infringement and/or passing off under the TM Act which have been established. According to them section 29(1) stated that the use of a trademark is infringing only if it is "likely to be taken as being used as a trademark". The High Court of New Zealand in Intercity Group (NZ) Limited vs. Nakedbus NZ [2014] NZHC 124 had held that use of a trademark as a keyword is an act which is not "seen" or "known" or understood by the consumer, it could thereby not be "taken as" anything, let alone amounting to use that this is "likely to be taken as being used as a trademark". This view was also accepted by a Court of the United States of America in the case of Merck & Co. Inc. & Anr. vs. Mediplan Health Consulting, 425 F. Supp 2d 402 and it was observed that internal use of a trademark as a keyword on Internet Search results does not constitute a trademark use. They state that, Courts have around the world held that in cases of no visible appearance of a third-party trademark in keyword advertising, it cannot amount to infringement. Reliance has been placed on Reed Executive (supra) and Veda Advantage (supra). They also submitted the judgement of the Chancery Division Court in the case of Cosmetic Warriors Ltd. & Anr. vs. Amazon.uk. Ltd & Anr., [2014] EWHC 181 (Ch), wherein it was held that the use of third party trademarks as keywords to trigger advertisements does not constitute trademark infringement.

38. Google has taken a stand that there is no prima facie evidence of confusion for infringement under sections 29(2) and 29(3) of the TM Act which state that use of a trademark is infringing if it is "likely to cause confusion on part of the public". They have contended that it is settled law that confusion to the public or even likelihood of confusion cannot be automatically assumed in a vacuum where the actual advertisement and corresponding website does not mislead the consumer in any way. In absence of any actual or visible use of a trademarked term within the text of an advertisement, no question of likelihood of confusion or deception arises. Mere triggering of an advertisement of a third party cannot per se give rise to an assumption of confusion in public. Counsels for Google have also relied on McCarthy on Trademarks and Unfair Competition to state that a computer user who sees a search engine results page and clicks on a non-deceptive advertising link resulting from a trademark keyword purchased by a competitor is not confused as to the source of affiliation of any ultimate purchase that is made from that website and after trial, almost all Courts have found no likelihood of confusion exists. They have placed reliance on the judgement of District Court of New York in Alzheimer's Disease & Related Disorders Association vs. Alzheimer's Foundation of America Inc. 307 F. Supp. 3d 260 (2018), to state that purchase of competitor's trademarks as keywords alone, without additional behaviour that confuses consumers is not actionable.

39. Moreover, the relevant class of consumers who access the internet and, more particularly, use the Google Search Engine to search for the Plaintiff's alleged marks are likely to be discerning class of users that is literate or at the very least semi- literate, having a basic understanding of how to search websites on the internet, having a basic knowledge of English language, understand how search results appear, and understand the difference between normal organic search results and Ads, and also are aware of the various industry players in the packing and moving business. Such users are also likely to be familiar with the websites like www.amazon.in, www.flipkart.com, www.bing.com, in.search and yahoo.com, all of which includes results for alternatives to the brand searched in a user's query. Such users accordingly anticipate that they will encounter ads promoting alternatives to the term they searched, and they are very much in a position to make well-informed choices. The likelihood of confusion in respect of such a select class of consumers is even less likely and is in fact negligible, especially when Plaintiff is appearing prominently in the organic results and that the entire right-hand side of the page which displays the search results on the desktop, features information about the Plaintiff; as well as in sponsored links. They have stated that in any case consumers are unlikely to be confused by the appearance of the advertisement as the advertisement is clearly marked as 'Ad'

and depicts the details of the advertiser and therefore there is no likelihood of initial interest of confusion.

40. Reliance has been placed on the judgement of District of Utah and North Carolina respectively of the United States of America in Jive Commerce LLC vs. Wine Racks Am., Inc Case No. 1:18-CV-49 TS-BCW and Passport Health LLC vs. Advance Health System, Inc., Case No. 5:17-CV-187-BO. They have also placed reliance on the case of Nebo (supra) wherein it had been observed that the use of a trademark as keyword does not create the possibility of confusing any products of the claimant with those of the advertiser and it is merely one of the technical criteria provided by the advertiser for displaying its ad in the online advertising spaces. The Supreme Court of South Africa (Court of Appeals) in the judgements in the cases of Cochrane Steel Products (Pty) Ltd. vs. M-Systems Group (Pty) Ltd & Anr. (227/2015) [2016] ZASCA 74 and Esquire Electronics Ltd. vs. Roopanand Bros., [1991] R.P.C. 425, had observed that it would be unnatural for a consumer to get misled by a clearly labelled ad, which clearly identifies the source. If neither the advertisement nor the advertiser's website contains any reference to the trademark owner then consumers ought to conclude that it is not related to the trademark owner's products or services, causing no confusion, and this was supported by absence of any evidence of actual confusion. Reliance is also placed on a judgment of a Coordinate Bench of this Court in Havells India Ltd. & Anr. vs. Amritanshu Khaitan & Ors., 2015 SCC OnLine Del 8115, to contend that advertising forms a part of commercial speech and it is an essential facet covered by Article 19(1) of the Constitution of India. Moreover, counsels for Google have stated that comparative advertisement is permissible and in the interest of public enlightenment and competition. Such use is permissible under the umbrella of fair use. Any comparison which is unfavourable to a competitor does not mean that it is dishonest or detrimental to the mark of the owner.

41. The Counsels for Google have argued that there is no prima facie basis to establish ingredients of section 29(4) of the TM Act, as there is no basis to establish that the use of Plaintiff's alleged trademark as a backend trigger is without due cause or takes unfair advantage of the Plaintiff or is detrimental to the distinctive character or repute of the trademark. They have also argued that a case under section 29(5) of the TM Act is also not made out, as plaintiff's case is that the advertiser or Google has used the Plaintiff's alleged trademarks as its trade name or part of its trade name, business concern or part of the name, of its business concern dealing in goods and services in respect of which the plaintiff's alleged trademarks are registered.

42. It is the case of Google that comparative advertising is permitted under sections 29(7) and 29(8) assuming that the use of trademark as a keyword is presumed to be "use" under section 29(6)(d). The trademark laws permit comparative advertising where a person can lawfully use his competitor's registered trademark within the advertisement itself to compare his goods/services to those of the competitors' and offer consumers with choices to make informed decisions. If the law permits honest usage of trademarks within the advertisement, it can be permitted as a back-end, invisible trigger for advertisements, even more so when the "overall effect" of the advertisement is neither misleading nor deceptive.

43. Another argument that has been advanced, is that the plaintiff has failed to make out any case of passing off, in the absence of establishing any confusion or misrepresentation to the end user or any harm to the plaintiff's reputation and goodwill by any advertiser's use of the Google Ads program. In relation to passing off, reliance has been placed on Vancouver Community College vs. Vancouver Career College (Burnaby) Inc. & Ors. 2017 BCCA 41 to state that mere bidding on a keyword is not sufficient to amount to a component of passing off and factors like how the advertiser has presented himself and his advertisement is what needs to be considered to test any misrepresentation. Reliance has also been placed upon Reed Executive (supra) to state that when the user clicks through the advertisement and then finds misleading material on the website of the advertiser and not on the advertisement of a search engine result page.

44. The Counsels for Google have argued that Google has not used the plaintiff's trademarks "in course of its trade" or "in relation to the goods or services in respect of which the trademark is registered" or "within its advertising" or "in a manner to have taken unfair advantage of or in a manner detrimental to alleged distinctive character or repute of the plaintiff's trademarks" or "in a manner likely to be taken as being used as a trademark". According to them, a reliance on keywords at the backend for triggering Ads does not amount to either "use" of a trademark or "infringing use" or "passing off", on the part of Google. This proposition, which has also been accepted by Courts of the European Union in Google France SARL vs. Louis Vuitton Malletier SA C-236/08 to C- 238/08 (2010). In L'Oreal SA vs. eBay International AG C- 324/09 (2010) it was held that the use of a trademark, if any in relation to the course of their commercial activities, such as offers for sale, signs corresponding to trademarks by the online service provider does not amount to use of those signs / trademarks by the service providers. Reliance has also been placed on Victor Andrew Wilson vs. Yahoo! UK Ltd. & Anr. [2008] EWHC 361 (Ch) and Fischerwerke GmbH & Co. vs. Beijing

Baidu Netcom Science Technology Co. Ltd. & Others., [2013] Gao-Min-Zhong-Zi No.1620 They have quoted McCarthy on Trademarks and Unfair Competition to note that there is no sale of trademarks by the service provider, only sale of advertising space.

45. The stand taken by Google is that even if it were to be assumed that the "use" and "infringing use" of trademark on Google's part, such use by Google is fair and in line with industry practice and is therefore exempt under section 30(1). It is their case that several other notable search engine providers such as Yahoo and Microsoft (Bing) also provide for a similar keyword advertising service, whereby they permitted use of registered trademarks not only as keywords but also within the text of the advertisement itself. Many e-commerce providers, such as FlipKart and Amazon, use registered trademarks in their backend systems to trigger offers for alternative brands and products. They have drawn an analogy to Netflix to state that even it shows alternatives to a particular title searched by a user, presumably using that information in its backend systems as well. The TM Act itself permits descriptive use of a trademark under Section 30(2)(a) or under Section 35; nominative fair use of a trademark under section 30(1) of the TM Act.

46. It is their case that the Competition Commission of India in the case of Matrimony.com Ltd. & Ors. vs. Google LLC & Ors., 2018 CompLR 101 (CCI), observed that the Google's keyword bidding policy promotes competition and provided similar consumer benefits and choice as compared to traditional advertising. They place reliance on the case of Private Career Training vs. Vancouver Career College (Burnaby) Inc. 2010 BCSC 765, the Canadian Court held that the keyword advertising is no different than the accepted marketing practice of a company locating its advertisement close to that of a competitor's in a traditional media such as Yellow Book and the said practice was not found to be false, deceptive or misleading. They have submitted that similar views have been taken by Courts of other jurisdictions such as Spain, South Africa and Canada, in the cases of Chocolat Lamontagne Inc. vs. Humeur Groupe-conseil Inc., [2010] Q.J. No. 7172; Cochrane Steel Products (supra); Google Ireland Ltd., Google Inc. & Google Spain S.L. vs. Fotoprix, SA, Appeal 151/2016.

47. Another submission made by the Counsels for Google is that the present suit is bad in law for non-joinder of necessary parties. It is their case that the issues in the present suit cannot be decided in the absence of the parties whose use of the Google Ads program the Plaintiff wants to restrain. It has been argued that the plaintiff is praying for an in rem decision that would affect all potential

advertisers without making those advertisers as party to the proceedings. They state that entities such as Safe Packers Movers Pvt. Ltd., Gati Ltd., DTC Cargo Packers and Movers Pvt. Ltd., Leo Packers and Movers India Pvt. Ltd., etc. which have been impugned in the present proceedings without taking any steps to implead the owners of such websites as parties to the suit and that in their absence the interim injunction cannot be effectively adjudicated.

48. Mr. Kshitij Parashar learned Counsel who appears for defendant No.2, Justdial Ltd. has argued that the main objective of defendant No. 2 is to provide people with immediate access to fast, reliable and comprehensive information on businesses, products and services across India and that the database of defendant No.2 comprises of approximately 6 million business listings across various cities and towns in India as of June 30, 2011. It has been submitted that defendant No.2 Company provide two types of listing i.e. Free/Non-Paid listing and Paid Listing to the business entities who want to register at the search engines of the defendant No.2. It was also submitted that many users or business entities register themselves as the Free/Non-paid Listers and that these Free/Non-paid Listing of the user or the business entity can be created by any person by just logging on the website of the of the defendant No.2 Company and thereafter by entering the details of their business entity or services which they intend to provide. In this regard he has placed reliance on the screenshots of the website of defendant No.2 reproduced in their written statement. He stated that the information so entered needs to be validated through a mobile verification of the person making such an entry and once the validation is done the entry goes live. Once this is done, the users can visit and change the company details as per their requirement. He has stated that the defendant No.2 also provides an option of "REPORT ABUSE", through which if any wrong details have been updated for any company the user or the affected party can comment on it which gets rectified on a priority basis.

49. He then went onto to explain the Paid listing option which is available on the website of defendant No.2 where any prospective user who wishes to avail the services of the defendant No.2 has to pay a certain amount to defendant No.2. The process of paid listing has been explained as under:

i. A telemarketing executive of the defendant No.2 would schedule an appointment with the prospective Advertiser. ii. Thereafter the prospective Advertiser would be visited by the Marketing Executive of the defendant No.2, who would then explain to him the various categories of listing e.g. platinum, diamond, gold, etc. along with the different payment options. iii. Once the mode of payment and the contract amount

is finalised, the prospective Advertiser would then sign a contract with defendant No.2 after agreeing to the terms and conditions therein. iv. Only after the contract is finalised and the formalities completed the information of the said Advertiser would go live on the website of defendant No.2. v. Any customer who calls the defendant No.2 for an inquiry regarding the services which are also provided by the said Advertiser, only once a confirmation is received from the said customer the defendant No.2 shares the customer's number with the advertiser. 50. He explained that the basic difference between the Free/Non-Paid listing and the Paid Listing is that the Paid Listing Advertisers would get leads from the defendant No.2 Company on the instance when any customer calls the helpline number of the defendant No.2 for certain inquiries regarding any service/goods. That the information retrieval officer (IRO) after responding to the said inquiry of the customer also suggests similar services which are also being provided by other company(s) and once the customer is satisfied and confirms that his information can be shared, it is then forwarded with the paid listing advertisers of defendant No.2.

51. It is the case of the defendant No.2 Company, that it cannot keep a regular watch on the free listing or the paid listing. Defendant No. 2 Company believes the information provided by any prospective advertiser to be correct and genuine. That in case a person is listed as a free lister/paid lister he can change his information as and when he wants and it is practically impossible for the defendant No.2 to keep a regular watch on it. He reiterated the option of "REPORT ABUSE"

wherein if a wrong detail is updated for any company, the user or the affected party can comment on it, after which it gets rectified on a priority basis. Mr. Parashar has referred to the Warranty Disclaimer Policy on its website, which clearly states that the defendant No.2 would not examine the authenticity/reputation of the advertisers and the same would be the sole responsibility of the advertiser. He has referred to the terms and conditions of the contract which specifically states that defendant No.2 does not have any liability towards the information which is being provided by the listers and the same belongs to the listers alone. 52. It is the case of Defendant No.2 that, it has not put any advertisement on its website infringing the trademarks/copyright of the plaintiff. It has been argued that the listing which has been questioned, does not belong to the plaintiff as it is DRS LOGISTIC and not DRS LOGISTICS. Mr. Parashar has referred to the screenshots which have been reproduced in the written statement of defendant No.2. It is the case of defendant No.2 that it has not infringed upon the trademark or copyright of the plaintiffs and that it is also not gaining any monetary benefits from the free listing as the same

have been provided by defendant No.2 for the sake of convenience to the general public.

53. Mr. Lall in his rejoinder arguments has stated that the plaintiff's grievance is against the defendants' services which enable third party infringers and counterfeiters to direct internet traffic towards themselves and receive inquiries and deliver on packing and moving services by deceiving consumers into believing that the services are being provided by the Plaintiffs. He has argued that many users have lost articles and household goods on account of such deception and the services of the defendants enable dubious operators to set up fraudulent accounts with the defendants temporarily, deceive consumers and then disappear. Had it not been for the services of the defendants, such parties would have no means of promoting or advertising their services and perpetrating such fraud. The services offered by defendant Nos. 1 and 3 include, Google Adwords, Google Maps and Just Dial, i.e., defendant No.2 enables third parties to provide users fraudulent websites, fraudulent telephone numbers and fraudulent addresses, due to which ultimately people have lost their household items and valuables. In this regard Mr. Lall has referred to affidavits of Ramesh Agarwal and Gaurav Bakshi, the latter who got confused and suffered huge damages due to such confusion created by the Defendants. Additionally, he has also referred to newspaper articles in order to establish this point.

54. Mr. Lall argued that the algorithm developed by Google permits the mischief that has been complained of by the plaintiff. According to him, Google developed algorithms that look for relevance, i.e., it connects the Keywords to the relevant service provided which in this case "APM" is linked to moving services. They have argued that these keywords are sold to third parties by Google on bidding and Google then charges a fee for such bids and for successful clicks. It is his argument, that it is correct that keywords are never sold, by them; they are kept under ownership of Google and leased to the highest bidder. This he states is the case of Google trading in Trademarks of third parties.

55. Mr. Lall has argued that there is an admission on behalf of Google that its Keyword Suggestion Tool provides the necessary historic information to induce third parties to select keywords consisting of well-known trademarks. Google admits that it collects information on the plaintiff and its use of the keyword such as 'Agarwal Packers and Movers' and this data is then used to induce third parties to select this trade mark as their keyword and attaches it to their

website. In the case when someone looks for 'Agarwal Packers and Movers', Google is able to direct that traffic meant for the plaintiff, to the site of infringing third parties. Mr. Lall, has argued that this is a classic case of direct infringement and inducement to infringe.

56. He has referred to the statement by defendant No.3 in its written submission, "Trademark Policy permits use of the trademarked term in the Ad-Text by resellers, informational sites and authorized advertisers, if they meet the necessary requirements, consistent with the applicable law in India", which does not form part of the Court order dated January 22, 2020 and cannot be an exception now sought to be carved out by Google. The same is liable to be disregarded. He argued that, such permission can only be granted by Google which, according to their own statement, makes a determination whether the user of the trademark term is a reseller or authorised agent or not. This he stated was proof that Google plays an active role in granting keywords to third parties.

57. Mr. Lall has countered the submissions made by the Counsels for Google with respect to Google's review of an advertisement by stating that such submissions are beyond pleading and therefore liable to be disregarded. He stated that this too would go to show that Google plays an active role in selection of keywords and that Google possesses the capability to assess and reject mischievous ads and keywords selected by advertisers, but chooses to ignore them with an incentive for profiteering.

58. Mr. Lall argued that in the pleadings Google has admitted that keywords are meta-tags. In the plaint these terms have been used synonymously by the plaintiff, which according to him, are admitted in the pleadings. He stated that, the reliance placed on Veda Advantage (supra) is misplaced as in paragraph 130 it was stated that keywords are "words embedded in metatags"; and that meta-tags are used in indexing and ranking of websites, which is exactly what keywords are used for, i.e., they are one and the same thing. He argued that it was the Defendants who failed to distinguish the two binding precedents of law in People Interactive (supra) and Mattel Inc. (supra).

59. Mr. Lall has countered the argument advanced by the Counsels for Google that use of trademarks as Keywords does not amount to "use" under the TM Act by stating that when an entity participates in the Google AdWords Program it licenses the use of its registered trademark to Google for use as a keyword. He referred to paragraph 60 of Veda Advantage (supra) to state that it had been recorded in the said judgment that, sponsored links were advertisements, which

Google's AdWords program allows advertisers to create, change, and monitor. They are triggered by keywords privately supplied by the advertiser to Google. Courts while discussing the law in the context of the United Kingdom ('UK' for short) and European Union ('EU' hereinafter) stated that in the European context it was stated that the keywords used in course of trade in respect of goods or services would amount to use as a trademark. However, it was held that the laws in Australia were different from the laws in the UK and similarly the laws in India are different and recognise that the use of keywords / meta-tags constitute use and infringement of a trademark.

60. Mr. Lall has argued that the interpretation of the decision by Google in Reed Executive (supra) is incorrect as the Court in that case had categorically expressed itself when it in paragraph 140 stated that, whether the use as a reserved word can fairly be regarded as use in course of trade or not, on which the Court expresses no opinion. In paragraph 142 the Court again restrained itself from expressing opinion and hence there is no finding at all on the question that the use of keywords does not equal to use in trade.

61. He argued that reliance placed on Nebo (supra) is misplaced as the Article 1484 of the Civil Code of the Russian Federation is very different from the Indian Law. Similarly, the laws of New Zealand are completely different from Indian Laws and therefore the decision in the cases of Intercity Group (NZ) (supra) and NZ Fintech (supra) would not be applicable in the present case.

62. He stated that section 29(6) is to be read with section 29(7) and indeed is in addition to the definition of "use" under section 2(2). Admittedly use of a trademark in the keyword by Google amounts to use "in advertising" as per sections 29(6), 29(7) and 29(8) and it is also admitted that a Google advertisement cannot be triggered without keywords. This indicates that it is an integral part of "use" in advertising and in background of the instant case where the question of "use in advertising" amounting to "use" is concerned, foreign cases cannot be relied on as the laws in India are very specific when it comes to "use in advertising" constituting "use" of a trademark. If a registered trademark is used in a keyword, it would constitute use of trademark and can be used to ward off an action for cancellation.

63. The argument, that even if the use is established, elements of infringement/passing off under the TM Act have not been established, has been opposed by Mr. Lall by arguing that there is no requirement of visibility of a trademark to constitute infringement. Such limitations to infringement are only figments of imagination of Google and are not supported by law. A trademark,

need not be visible which is apparent from section 29(9) wherein it is stated that infringement may occur even by spoken use. So is the case of a keyword. He argued that the use in any case is not invisible as Google actually makes the plaintiff's trademark visible to its customers/ prospective advertisers by offering it to be selected by third party advertisers.

64. He submitted that in the case of Mattel Inc.(supra) and People Interactive (supra) it was held that use of trademark in meta-tags constituted use and therefore the visibility of a trademark is not a prerequisite to constitute infringement. Since it is his case that meta-tags are keywords, the use of keywords would constitute infringement and in the direct applicability of aforementioned judgments on the issue, foreign laws should not be relied upon. He argued that Google has misread section 29(3) of the TM Act which categorically states that where marks are identical, confusion on part of the public is presumed; in this case Google admittedly sells and pawns an identical trademark of the plaintiff and in fact correlates the use of an identical mark to identical services, by its specially made algorithms, which amounts to "taking unfair advantage" and is detrimental to the distinctive character and repute of a mark.

65. Google relied on McCarthy on Trademarks and Unfair Competition and asserted that a computer user who seeks a search engine results page and clicks on a non-deceptive advertising link resulting from a trademark keyword purchased by a competitor is not confused as to the source or affiliation of any ultimate purchase that is made from that website. Mr. Lall stated that even if this is taken to be true, would Google ensure that the advertising is non-deceptive. He contends that Google has stated that it does not control the content in the advertising. He argued that this submission of Google is not relevant to the case as advertisers use a host of techniques to confuse its consumers and Google intentionally pawns well-known trademarks to such parties. According to him, as per section 29(7) there is no requirement of confusion, mere use in advertising amounts to infringement and similarly for the use in advertising, confusion is not a pre-requisite under section 29(8). The use of plaintiff's trademark as a keyword is not authorised by the plaintiff which is a pre-requisite under section 29(7). Moreover section 29(8) has been violated since the plaintiff's trademark is being sold as a keyword. Use by Google cannot be said to be honest use under any circumstances, especially when Google does not ensure that the overall effect is neither misleading nor deceptive. He also stated that on the basis of the material placed on record which shows instances of actual confusion and passing off, the submissions made by Google that there

is no case of passing off, is unacceptable. In contradiction Google's argument that no case of use of a trademark or infringement is made out under any part of section 29 of the TM Act. Mr. Lall stated that the terminology used in Section 29(7) of TM Act is "material intended to be used....for advertising goods or services" and keywords are used by Google to trigger advertisements. It is therefore admittedly a "material" intended to be used for advertising. The term "within its advertising"

used in the note by Google does not exist in TM Act. It is the case of the plaintiff that there is no exception to section 29(7) for fair use; there is no fair use as evidence has been filed by the plaintiff showing actual confusion on account of mischievous advertising and that none of the assertions with regard to statutory exemption under sections 30 and 35 of the TM Act have been pleaded and there is no evidence that other e- commerce providers also use keywords in their back-end programming. 66. Google also asserts that discerning class of users have basic understanding of how to search for websites on the internet and have basic knowledge of English language and understand the difference between organic search results and Ads. Mr. Lall argued that Google is available in a number of different languages and English is not the primary language of Google. Even otherwise, majority of the people in India are not well versed in English and are likely to be confused between organic results and Ads which are not clearly demarcated. He stated that Google has not placed any evidence to prove these submissions and this argument is covered by the judgment of Baker Hughes Ltd. & Ors. vs. Hiroo Khushlani & Ors. 2004 (29) PTC 153 wherein it was held that the argument of well informed consumers is not a ground available in defence for an action of infringement and passing off.

67. Mr. Lall cited the case of Merck & Co. (supra) wherein the Court held that there is nothing improper with defendant's purchase of sponsored links to their websites from searches of keyword "ZOCOR", because the defendants therein actually sold "ZOCOR" manufactured by plaintiff on their website. According to him, the Court relied upon the Geico case to hold that Google's sale to advertisers of right to use specific trademark as keywords to trigger their ads would constitute use in commerce.

68. Google relies on foreign decisions of Jive Commerce LLC (supra), Passport Health (supra), Nebo (supra) and Cochrane Steel Products (supra) to assert that consumers cannot be misled by a labelled ad. Mr. Lall rebutted this submission by stating that Google gives no assurances, those advertisements which use the plaintiff's trademarks as keywords would have all these features. He pointed out

that the plaint shows many instances where it is impossible to discern to whom a website belongs to. He stated that in many instances the keyword triggers the advertisement, which shows a phone number and the consumer, under the impression that he is calling the plaintiff, calls on the phone number and gets duped by the advertiser, i.e., a fraudulent party.

69. He argued that in the Cochrane Steel Products (supra) the Court found that Google earns revenue through keywords, that advertisers purchase keywords and that the highest bidder gets the keyword. The Court in that case questioned, whether the Google advertisement which appears in response to the search using the keyword does not enable normally informed and reasonably observant internet users, or enables them only with difficulty, to ascertain whether the goods or services referred to in Google advertisement originates from the proprietor of the trademark or an undertaking economically connected to it or, which originate from third parties. He stated that in that case too, the Court cautioned against use of foreign law and that the ads should be clearly marked different from organic results and held that use of trademarks as keywords could only be permitted if there is no confusion. In the case of Vancouver Community College (supra) the Court held that keywords can cause confusion.

70. Mr. Lall argued that the case of Google France SARL (supra), supports the case of the plaintiff, the conclusion arrived by the Grand Chamber was use of a trademark as keyword does constitute use in relation to goods or services. Such "use" has been further held to have the capability of adversely affecting the function of indicating the origin of the mark. There was also a finding that that even the Internet Service Provider is liable if the role played by the Internet Service Provider is not neutral and the moment it acquires knowledge of the unlawful nature of those data or of that advertiser's activities, it fails to act expeditiously to remove or to disable access to the data concerned.

71. He stated that in the case of L'Oreal SA (supra) there were several findings in favour of the plaintiff, he stated the said judgment was based on article 14 of the EU Directive 200/31 which stipulates a requirement wherein the intermediary does not have actual knowledge of the illegal activities and upon obtaining such knowledge acts expeditiously to remove or disable access to the information. The Court ultimately found that the proprietor of a trademark is entitled to prevent an online marketplace operator from advertising - on the basis of a keyword which is identical to his trademark and which has been selected in an internet referencing service by that operator. The Court also

stated that the use of a keyword is also objectionable. This is especially so where the intermediary plays an active role as to give it knowledge of, or control over, the data. The Court had held that when an operator played an active role in promoting the product, the safe harbour provisions would not apply to such an operator.

72. In case of Victor Andrew Wilson (supra) it was held that the plaintiff therein was the owner of the "Mr. Spicy" trademark and attempted to sue third parties and Yahoo for choice of descriptive words such as "Spicy", "spicy soup", etc. as keywords. It was on this basis that the Court concluded that there was no infringement and there could be no objections to Yahoo soliciting third party use of "Mr. Spicy" as a keyword in return for payment, if the keyword is going to attach goods and services that are different from those protected in that case. This case too Mr. Lall argued is favourable to the plaintiff but recognises the weakness of such a descriptive mark to be restricted to goods/services for which it is registered.

73. Mr. Lall went on to argue that Google's argument that the Google Ads program is pro user choice and permissible is completely flawed as the same is contrary to law. The DG report set out in Matrimony.com Ltd. (supra) tells how Google runs its AdWord policy and how it is actively involved in the selection process of keywords by advertisers.

74. He stated that the case of Private Career Training (supra) relates to specific advertising by law. The case concerned the name of particular university leading to the students getting confused. In that case it was stated that the sponsored links were displayed along with organic search results separated by a vertical line and within either a yellow or blue shaded box. In both the cases the search results are clearly designated as such or as "sponsored results". Conversely, in the present case Google has refused to make such a demarcation. In that case the Court opined that selection of the university had a high financial cost and personal commitment, hence the students are expected to exercise a high degree of care, which is contrary to the present case and that these findings are contrary to the decision in Baker Hughes (supra).

75. Mr. Lall has submitted that the decision in Chocolat Lamontagne (supra) is concerned it has been clearly recorded therein that Google sells keywords which is contrary to their claims that keywords are never sold or purchased. In this case too Google used a yellow shaded box to identify the sponsored links. The plaintiff in that case had not been successful in showing customer

confusion on account of defendant's activities of a fundraising drive and use the of the term "Alternative to" the plaintiff's brand.

76. He relied on the decision of the Competition Commission of India in the case of Google India Pvt. Ltd. vs. Addl. Commissioner of Income Tax, LNINDORD 2017 ITATND 3508, to state that Google reviews keywords. Google has certified partners who help manage advertisers' AdWords accounts and that Google monitors user behaviour and the keywords planner tool suggests the suitability of keywords that are useful in particular month of the year. He stated that it was recorded that Google's AdWords program changes advertisements daily and that Google does not merely sell advertising space but is actually rendering services. FINDINGS

77. Having heard the learned counsel for the parties, and perused the record, the grievance of the plaintiff is when a user on internet searches for the plaintiff by typing "Agarwal Packers and Movers" despite the plaintiff having a registered trademark in its favour with regard to the said mark. The website of the advertiser who may be a competitor of the plaintiff or having similar / deceptive mark pops up over and above the organic results pertaining to the plaintiff within the sponsored results by using Google's services. This is because of the AdWord program of the defendant Nos.1 & 3 under which an advertiser having AdWord account can create, select, keywords based on which their advertisement shows up as a sponsored link thereby diverting the traffic from the plaintiff's website to the advertiser.

78. It is clear from the above that google being a search engine does give information about the number of searches made, using any popular keyword, that too in the same filed of business. So, assuming that, the advertiser chooses the keyword, but that is with the help of the information provided by Google. In the case in hand, the keyword is "Agarwal Packers and Movers", which keyword, has been selected by the advertiser on the basis of statistical information provided by Google and the keyword is the registered mark of the plaintiff. This factum is not disputed by Mr.Sethi and Mr.Kathpalia. So, I proceed on the basis that the keyword being "Agarwal Packers and Movers" is also the registered trademark of the plaintiff. The question which needs to be determined is whether this use of the mark as a keyword shall amount to infringement of trade mark and or passing off.

79. The submission of Mr.Sethi was that the use of the keyword does not amount to "use" under the TM Act, inasmuch as section 2(2)(b) requires a trademark to be used in a printed or other visual representation; before "use" under Section 2(2)

(c) can be examined. In other words, a trade mark used as a keyword which is invisible to the consumer, is not a use of the trademark. He also stated that Section 2(2)(c) of the TM Act requires the plaintiff's trademark to be used as a part of any statement availability, provision or performance of its services for it to qualify as a trademark "use".

80. To understand the submission, it is necessary to reproduce the relevant provisions of Sections 2(2)(b) and 2(2)(c) along with Sections 29(6), 29(7), 29(8) and 29(9) of the TM Act on which reliance was placed by Mr. Lall:

"(2) In this Act, unless the context otherwise requires, any reference- xxx xxx xxx (b) to the use of a mark shall be construed as a reference to the use of printed or other visual representation of the mark; (c) to the use of a mark,- (i) in relation to goods, shall be construed as a reference to the use of the mark upon, or in any physical or in any other relation whatsoever, to such goods; (ii) in relation to services, shall be construed as a reference to the use of the mark as or as part of any statement about the availability, provision or performance of such services; xxx xxx xxx 29. Infringement of registered trade marks. xxx xxx xxx (6) For the purposes of this section, a person uses a registered mark, if, in particular, he-- (a) affixes it to goods or the packaging thereof; (b) offers or exposes goods for sale, puts them on the market, or stocks them for those purposes under the registered trade mark, or offers or supplies services under the registered trade mark; (c) imports or exports goods under the mark; or (d) uses the registered trade mark on business papers or in advertising. (7) A registered trade mark is infringed by a person who applies such registered trade mark to a material intended to be used for labeling or packaging goods, as a business paper, or for advertising goods or services, provided such person, when he applied the mark, knew or had reason to believe that the application of the mark was not duly authorised by the proprietor or a licensee. (8) A registered trade mark is infringed by any advertising of that trade mark if such advertising-- (a) takes unfair advantage of and is contrary to honest practices in industrial or commercial matters; or (b) is detrimental to its distinctive character; or (c) is against the reputation of the trade mark. (9) Where the distinctive elements of a registered trade mark consist of or include words, the trade mark may be infringed by the spoken use of those words as well as by their visual representation and reference in this section to the use of a mark shall be construed accordingly." 81. On a reading of the aforesaid provisions it is clear, that Section 2(2) of TM Act states, that unless the context otherwise provides the use of the mark shall be construed as a reference to the use of printed or other visual representation of the mark in relation to the goods or services, but the reading of Sections 29(6), 29(7) and 29(8) of the TM Act, it is seen that the legislature has expressly departed from the ordinary

construction of the expression "use" under this Act to include instances to construe "use" under Section 29 of the Act.

82. Mr.Lall is right in saying that Sections 2(2)(b) and 2(2)(c) have to be read in addition to Section 29(6), 29(7), 29(8) and 29(9). Having said that a perusal of Section 29(9) makes it clear that an infringement of a trademark can be by way of spoken use which is different from printed or visual representations of the mark. That is invisible use of the mark can also infringe a trademark.

83. This I say in view of the Judgment of this Court in the case of Hamdard National Foundation & Ors. vs. Hussain Dalal & Ors., 202 (2013) DLT 291, wherein the Court while considering the suit for infringement, passing off and disparagement held that on a reading of Section 29 (9) it is clear that the said section provides that it is an infringement of the trademark by way of spoken use of the words which are contained in the trademark and the visual representation thereof. So, it follows, what is infringement, is not merely visual representation of the product in bad light under the provision of Section 29(9) but it is infringement of the trademark if the same is caused by way of spoken use of the words and the visual representation of the said words. Furthermore, a Division Bench of this Court in the case of Kapil Wadhwa & Ors. vs. Samsung Electronics Co. Ltd. & Ors., 194 (2012) DLT 23 has found usage of a trademark in the source code i.e., through meta- tagging even though invisible to the end-user / consumer to be illegal. Albeit the appellant therein sold imported goods manufactured by the respondent therein although without the consent of the latter.

84. Having said that, the question is whether the "invisible use" of a mark, as contended by Mr. Sethi shall not amount to "use" within meaning of Sections 2(2)(b) and 2(2)(c) of the TM Act as it is not a case which falls within the meaning of Section

85. This issue is no more res integra, at least in view of the Judgment in the case of Amway India Enterprises Pvt. Ltd. and Ors. vs. 1MG Technologies Pvt. Ltd. and Ors., 260 (2019) DLT 690, wherein a Coordinate Bench of this court while considering the use of the Mark "Amway" by third party e- commerce platforms, for promoting their own sales, has held the use of a mark in meta-tags or in advertising without the consent of the proprietor as a violation of trademark rights of the owner. In fact, the Court also held that Section 29 (8) also makes it clear that if any advertising of a mark takes unfair advantage of the mark or is detrimental to its distinctive character even without sale taking place there is an infringement.

86. On similar lines, is the Judgment of the Bombay High Court in People Interactive (I) Pvt. Ltd. (supra) wherein the Court observed that the defendant No.1 was using the plaintiff's proprietary mark shaadi.com and its domain name www.shaadi.com as part of meta-tags in the first defendant's website, which was held by the Court to be an attempt to misappropriate the plaintiff's mark and hijack the internet traffic from the plaintiff's site by a thoroughly dishonest and malafide use of plaintiff's mark and name in the meta-tags of his own rival website. Paragraph 14 of the Judgment is reproduced as under:

"14. I believe the Plaintiffs have made out not just a strong, but an overwhelming prima facie case. Dishonesty is writ large on the actions of the 1st Defendant. He has used the Plaintiffs' mark shaadi.com as a suffix to another expression. He has attempted to misappropriate the Plaintiffs' mark. He has made false claims regarding the extent and size of his service. He has, plainly, hijacked Internet traffic from the Plaintiffs' site by a thoroughly dishonest and mala fide use of the Plaintiffs' mark and name in the meta tags of his own rival website. The distinctive character of the Plaintiffs' mark is thus diluted and compromised by the actions of the Defendant. The 1st Defendant's action is nothing but online piracy. It cannot be permitted to continue." 86. Having noted the above Judgments, it is clear that the use of the mark as meta-tags was held to be infringement of trademark. It follows, that invisible use of trademark to divert the traffic from proprietors' website to the advertisers' / infringers' website shall amount to use of mark for the purpose of Section 29, which includes Section 29 (6) and 29(8), related to advertising.

87. It is the submission of Mr. Sethi that there is a difference between the meta-tags and keywords, inasmuch as meta-tags, which are words inserted in the HTML code of the website; unlike keywords which are only a component of the AdWord Program of Google. This submission of Mr.Sethi is denied by Mr.Lall by contending keywords are commercial meta-tags used in the AdWord Program of Google on payment of charges on a pay-per-click basis. The concept of meta-tags and keywords can be understood in the following manner which I have culled out from the judgments given by various High Courts of this country and also pleadings of the defendant Nos.1 and 3 which I reproduce below:

Meta-tags Keywords i. Meta-tags are words i. Keywords are used in the inserted in the HTML Google AdWords Program.

codes of the website.

[HTML coding is used to construct a website] ii. The words used as ii. Only advertisers who have meta-tags provide data enlisted themselves for the about the

website which AdWords Program can access is known as meta-data. the keyword selection tool which is optional. Google provides a menu of the most searched queries in the form of keywords.

iii. These meta-tags are iii. Keywords are invisible and neither visible to the are provided by the general public nor does advertisers themselves. it affect the display page of the website.

iv. Used as indices in iv. Keywords are used as a back-

organic searches. end trigger not in a TM sense.

v. Meta-tags form a part of the website. v. Keywords are neither owned by any of the users of the AdWords Program, nor sold by Google.

vi. Effect: According to vi. Effect: According to various relevancy, websites are parameters such as bid ranked and most amount, choice of keyword, relevant is displayed on relevancy the Ad which is top of the organic most relevant is displayed on results. the top of the sponsored results.

It must be stated here that the working of the meta-tags and also the keywords, as contended by Mr. Sethi is governed through the use of algorithms. The use of meta-tags within codes and keywords with respect to the sponsored search produces a desired result which is on the basis of Google's algorithm. According to the Oxford Reference website, algorithm has been defined as, a "documented series of steps which leads to the transformation of some data. For example, in order to calculate the sum of a series of numbers a possible algorithm would involve repeatedly adding the numbers to be summed to a running total. Computer programs are a manifestation of algorithms which allow them to be executed very quickly". Whereas the Collins online dictionary defines algorithm as, "a series of mathematical steps, especially in a computer program, which will give you the answer to a particular kind of problem or question".

88. It is contended by Mr.Sethi, Google's use of its advertising / sponsored result algorithm is different from that of the algorithm involved in producing organic search result through use of meta-tags. It is the case of Mr. Sethi that it is the use of Google's algorithm in the AdWord program which triggers a sponsored result i.e., the advertisements, which is different from the use of meta-tags,

which produces Google's organic result. He stated that the sponsored result is triggered, based on many parameters, wherein each ad is given a quality score which is an aggregate of many factors such as relevancy of ad to search query, landing page quality, number of ad extensions, past history of the advertiser, geographical relevance of Ads to the webpage user; which goes to show that the AdWords Program is not driven by monetary consideration alone. No doubt, that meta-tags and keywords may be conceptually different however, both are used to show relevancy and appear on the top of the search engine result page, whether in organic or sponsored result. The question now is whether the use of mark as a keyword, results in diversion of traffic from the website of the original proprietor to that of the advertiser, this aspect has not been disputed / contested by Google, nor it has been argued that the end result from use of meta-tags and keywords is different; inasmuch as both are instrumental for a search result (whether organic or sponsored) to appear on the top of the search engine result page, except that sponsored links to the advertiser's web page is marked with the symbol denoting which is followed by the URL, displayed in the following manner: .

89. I must also state that it is Google's policy that it will only investigate the Ad content and not the keywords, the former includes the ad text and ad title but not the keywords. In order to assess the quality score, Google also sees the quality of the landing page which is primarily the website of the advertiser which may or may not have / display the infringed trademark. In other words, it is not the case of Google that as keywords are not visible to a consumer the use of same shall not amount to an infringement of trademark. However, under the AdWords Program they also see the landing page i.e., website of the advertiser, which in a given case shall have the infringing trademark, which is also used as a keyword, in such a scenario, Google cannot absolve themselves from the liability of ensuring that the keyword is not an infringement of trademark.

90. It is important to note, that had the AdWords Program of Google not existed, the only option available to the infringer / prospective advertiser in order to achieve the same result would have been to change their meta-tags (source coding) which has already been held to be "use" of trademark and as such infringement. This aspect also highlights the fact that the same result is sought to be achieved through different means.

91. It may also be necessary for me to refer to the AdWords Policy of Google. Before I refer to the same, it is also necessary to mention that Google in their affidavits dated March 16, 2015, August 13, 2015 and August 03, 2017 has referred to two

documents, viz. privacy policy and agreement of Google with the advertiser i.e., the AdWords Program Agreement. This Court may not require to go into the privacy policy and the agreement Google has with the advertiser as the same may not have any bearing on the issue which has arisen for consideration.

92. Mr.Sethi and Mr.Kathpalia have now relied upon AdWords Trademark Policy which reads as under:

"AdWords Trademark Policy xxxx xxxx xxxx If a trademark owner files a complaint with Google about the use of their trademark in AdWords ads, Google will investigate and may enforce certain restrictions on the use of that trademark in AdWords text ads. More help for trademark owners There are multiple factors that determine when trademarks can be used in AdWords text ads. Along with the factors described below, these policies apply only to trademarked terms where the owner submitted a valid complaint to Google and requested that the terms be restricted in Google ad campaigns. Trademark terms used in ad text Google will investigate and may restrict the use of a trademark within ad text. Ads using restricted trademarks in their ad text may not be allowed to run. This policy applies worldwide. Exceptions: Here are some cases when the policy for ad text doesn't apply in the way described above; • Ad campaigns targeting Australia, New Zealand, the United States, Canada, the United Kingdom, or Ireland may use a trademark in ad text if the ad is in compliance with our policy on resellers and informational sites. xxx xxx xxx • Advertisers can use a trademarked term within ad text if they are authorized, meaning that the trademark owner sent Google the necessary form allowing an advertiser's particular account to use a certain term.

- Authorization policy A trademark owner (or contact person listed on the trademark complaint) can provide Google with authorization to let specific AdWords accounts use the trademark in ad campaigns. Here are some important things to know about authorizations: xxx xxx xxx o We can either prohibit all use or allow all use of a particular term by an advertiser. Therefore, we cannot accept conditional authorization requests that include a time expiration or limitations on use of the term in specific contexts. o The trademark owner may change or rescind authorization at any time by sending an email to ads- trademarks@google.com. • An ad can use a trademarked term in its text if either of these conditions is true: o the ad text uses the term descriptively in its ordinary meaning rather than in reference to the trademark o the ad is not in reference to the goods or services corresponding to the trademarked term EU and EFTA policy For ad campaigns targeting the European Union and EFTA regions, the ad text policy above applies. Therefore, we do not

prevent the selection of trademarks as keywords in the EU and EFTA. However, in response to a complaint, we will do a limited investigation as to whether a keyword (in combination with particular ad text) is confusing as to the origin of the advertised goods and services.

- Details of EU and EFTA policy In response to a complaint, we will do a limited investigation to see whether the use of a trademarked term as a keyword in combination with particular ad text is confusing as to the origin of the advertised goods and services (such as a keyword and ad that falsely imply affiliation with the trademark owner). If the combination of a keyword and ad text is confusing, we will disapprove the specific ad mentioned in the complaint so that it can't run.

Under our EU and EFTA policy, the following types of ads may use a trademark as a keyword, provided that the combination of the keyword and ad is not confusing (as described above). The following are examples, and not an exhaustive list;

• Ads using a trademarked term when that term is being used in its ordinary meaning rather than in reference to the trademark • Ads for competing products or services • Ads for resale of the trademarked goods or service • Ads for the sale of components, replacement parts, or compatible products corresponding to a trademark • Ads for informational sites about a product or service corresponding to the trademark

- List of affected regions • Åland • Greece • New Caledonia • Austria • Guadeloupe • Norway • Bassas da India • Guernsey • Poland • Belgium • Hungary • Portugal • Bouvet Island • Iceland • Reunion • Bulgaria • Ireland • Romania • Clipperton Island • Isle of Man • Saint Barthelemy • Croatia • Italy • Saint Martin • Cyprus • Jan Mayen • Saint Pierre and • Czech Republic • Jersey Miquelon • Denmark • Juan de Nova • Slovakia • Estonia Island • Slovenia • Europa Island • Latvia • Spain • Finland • Liechtenstein • Svalbard • France • Lithuania • Sweden • French Guiana • Luxembourg • Switzerland • French Polynesia • Malta • Tromelin Island • French Southern • Martinique • United Kingdom and Antarctic Lands • Mayotte • Wallis and Futuna • Germany • Monaco • Gibraltar • Netherlands • Glorioso Islands Trademark terms used in keywords Google will not investigate or restrict the use of trademark terms in keywords, even if a trademark complaint is received.

Other uses of trademark terms The trademark policies described here apply only to the use of trademarks in Google AdWords text ads.

See information about our policy on the use of trademarks in these areas:

- Ad display URLs As described in the section above, Google can investigate and may restrict the use of trademarks in ad text. This process does not apply to trademarks used in an ad's display URL (the website address shown in green within an ad). Google will not investigate and restrict use of the trademark in display URLs because the presence of trademarked term within a URL may not necessarily constitute trademark use, such as in the case of post- domain paths or subdomains. Trademark owners can contact the advertiser directly regarding any concerns about display URLs. Please understand that Google is not in a position to be the arbiter of third-party disputes. Additionally, if the domain name contains or is similar to a trademark, but is actually owned by the advertiser, the trademark owner is the appropriate party to handle the matter, such as through the Uniform Domain Resolution Process (UDRP).
- Google search results The trademark policies described here apply only to the use of trademarks in Google AdWords text ads. These ads are clearly marked as "Ads" on Google search results pages and as "Ads by Google" on our Display Network. Other types of trademark complaints, like trademarks used in sites that appear in Google search results, are not covered under our investigation process. For any such concerns, please see how to contact the site owner directly.
- Promoted YouTube videos About the use of trademarks in promoted YouTube videos xxx xxx xxx"

93. I find it necessary to reproduce the list of countries / territories where the use of the trademark as a keyword would be investigated by Google along with the countries / territories where such practice is not followed as per the copy of the AdWords Policy filed before the Madras High Court in Consim I and Consim II:

"What Is Google's AdWords and AdSense trademark policy? Google recognizes the importance of trademarks. Our AdWords Terms and Conditions with advertisers prohibits intellectual property infringement by advertisers. Advertisers are responsible for the keywords they choose to generate advertisements and the text that they choose to use in those advertisements. Google takes allegations of trademark infringement very seriously and as a courtesy we investigate matters raised by trademark owners. Trademarks are territorial and apply only to certain goods or services. Therefore, different parties can own the same mark in different countries or different industries. Accordingly, in processing complaints, Google will ask the trademark owner for information regarding where the mark is valid and for what goods or services. Please note the following about our complaint process: • The trademark owner doesn't need to be a Google AdWords advertiser in order to

send a complaint. • Any such investigation will only affect ads served on or by Google. • Google's trademark policy does not apply to search results. Our investigations only apply to sponsored links. For trademark concerns about websites that appear in Google search results, the trademark owner should contact the site owner directly. xxx xxx xxx • Because Google is not a third-party arbiter, we encourage trademark owners to resolve their disputes directly with the advertisers, particularly because the advertisers may have similar ads running via other advertising programs. AdWords Trademark Policies in Sponsored Links Below, you can find information on our trademark complaint procedure across different regions as well as on our advertiser authorization procedure. "I see an unauthorized ad using my trademark. What is Google's trademark policy? Depending on the regions in which you have trademark rights, we may investigate the use of trademarks in ad text only or in ad text and keywords. • Please note the regions we will investigate ad text only. We will not disable keywords in response to a trademark complaint. Furthermore, our investigation will only affect ads served on or by Google. Regions in which we investigate use in ad text only Afghanistan Ghana Palmyra Atoll Albania Greenland Panama Algeria Grenada Papua New American Samoa Guam Guinea Andorra Guatemala Paraguay Anguilla Guinea Peru Antarctica Guinea-Bissau Philippines Antigua and Barbuda Guyana Pitcairn Argentina Haiti Islands Armenia Holy See Puerto Rico Aruba (Vatican City) Qatar Azerbaijan Honduras Russia The Bahamas Howland Island Rwanda Bahrain India Saint Helena Baker Island Indonesia Saint Kitts Bangladesh Iran and Nevis Barbados Iraq Saint Lucia Belarus Ireland Saint Vincent Belize Israel and the Benin Jamaica Grenadines Bermuda Japan Samoa Bhutan Jarvis Island San Marino Bolivia Johnston Atoll São Tomé Bosnia and Jordan and Príncipe Herzegovina Kazakhstan Saudi Arabia Botswana Kenya Senegal British Indian Kingman Reef Serbia Ocean Territory Kiribati Seychelles British Virgin Islands Kuwait Sierra Leone Brunei Kyrgyzstan Singapore Burkina Faso Laos Solomon Islands Burundi Lebanon Somalia Cambodia Lesotho South Africa Cameroon Liberia South Georgia and Canada Libya the South Sandwich Cape Verde Macedonia (FYROM) Islands Cayman Islands Madagascar Sri Lanka Central African Malawi Sudan Republic Malaysia Suriname Chad Maldives Swaziland Chile Mali Syria Colombia Marshall Islands Tajikistan Comoros Mauritania Tanzania Congo Mauritius Thailand Cook Islands Mexico Timor-Leste Costa Rica Micronesia Togo Côte d'Ivoire Midway Islands Tokelau Croatia Moldova Tonga Cuba Mongolia Trinidad and Democratic Republic Montenegro Tobago of the Congo Montserrat Tunisia Djibouti Morocco Turkey Dominica Mozambique Turkmenistan Dominican Republic Myanmar (Burma) Turks and Ecuador Namibia Caicos Islands Egypt Nauru Tuvalu El Salvador Nepal Uganda Equatorial Guinea Netherlands Antilles Ukraine Eritrea Nicaragua United Arab Ethiopia Niger Emirates Falkland Islands Nigeria United

Kingdom (Islas Malvinas) Niue United States Faroe Islands Northern Mariana Uruguay Fiji Islands Uzbekistan Gabon Oman Vanuatu The Gambia Pakistan Venezuela Gaza Strip Palau Vietnam Georgia Virgin Islands Wake Islands West Bank Western Sahara Yemen Zambia Zimbabwe o In the U.S., we allow some ads to show with a trademark in ad text if the ad is from a reseller or from an international site. However, if our investigation finds that the advertiser is using the trademark in the ad text in a manner which is competitive, critical or negative, we will require the advertiser to remove the trademark and prevent them from using it in similar ad test in the future. Learn more about our U.S. trademark policy. o Outside the US. If our investigation finds that the advertiser is using the trademark in ad text, we will require the advertiser to remove the trademark and prevent the, from using it in ad text in the future. o Google is dedicated to providing relevant advertising to our users, advertisers and publishers alike. Accordingly, our trademark policy not to investigate the use of trademarks as keywords in the regions listed above aims to provide users with choices relevant to their keywords. At the same time, we investigate trademark violations in ad text, both as a courtesy to the trademark owner and to ensure that the ads are clear to users. • In certain regions, we may investigate use of trademarks in ad text, in keywords, or in both ad text and keywords. Regions in which we investigate use in both ad text and keywords Åland Guadeloupe Saint Martin Ashmore and Guernsey Saint Pierre Cartier Islands Heard Island and and Miquelon Australia McDonald Islands Slovakia Austria Hong Kong Slovenia Bassas da-India Hungary South Korea Belgium Iceland Spain Bouvet Island Isle of Man Svalbard Brazil Italy Sweden Bulgaria Jan Mayen Switzerland China Liechtenstein Wallis Clipperton Island Lithuania and Futuna Cocos (Keeling) Luxembourg Islands Macau Coral Sea Islands Malta Cyprus Martinique Czech Republic Mayotte Denmark Monaco Estonia Netherlands Europa Island New Caledonia Finland New Zealand France Norfolk Island French Guiana North Korea French Polynesia Portugal Germany Reunion Gibraltar Romania Greece o When we receive a complaint from a trademark owner, our review is limited to ensuring that the advertisements at issue are not using a term corresponding to the trademarked term in the ad text or as a keyword. If they are, we will require the advertiser to remove the trademarked term from the ad text or keyword list and will prevent the advertiser from using the trademarked term in the future. Any such investigation will only affect ads served on or by Google. o We do not take any action in situations where an advertisement is being triggered by non-trademark terms even though the search query contains a trademarked terms. This occurrence stems from the fact that google allows advertisers to use a broad matching system to target their ads. For example, if an advertiser has selected the keyword "shoes" that advertiser's ad will appear when a user enters the word "shoes" as a search query, regardless of

other search terms that may be used. So, the ad would show if the user entered any of the following search queries: "tennis shoes", "red shoes" or "Nike shoes." This system eliminates the need for the advertiser to specify each of the myriad different search query combinations that are relevant to the ad. How do I file a trademark complaint? Trademark owners may submit either a specific or general trademark complaint. A specific complaint means that we will investigate a trademark term(s) in specific advertisements only. The trademark owner is required to provide the exact URLs in question and we will not investigate the trademark in any other advertisements. A general complaint means that we will investigate in all relevant advertisements. The trademark owner does not need to provide the specific URLs in question. However, if there are specific advertisers that are authorized to use the trademark(s), the trademark owner is required to provide the corresponding customer ID(s) or login email(s). If you have concerns about the use of your trademark in AdWords ads or keywords showing in a region listed above, file a trademark complaint. If your complaint concerns use of your trademark in multiple regions, please send us one complaint with ownership information for your trademark in these regions. We'll follow the appropriate procedure for each regions submitted in your complaint. I have previously filed a trademark complaint, but now I want to allow an advertiser use my trademark. What is Google's trademark authorization policy? If we have processed a complaint for a trademark advertisers using the mark in the regions and industry of the trademark owner will have their keywords and / or ad text disapproved according to the process outline above. xxx xxx xxx ..... We are only able to prohibit or allow all use of a particular term by an advertiser. Trademark owners may revoke the authorization at any time. xxx xxx xxx AdWords Counterfeit Goods Complaint in Sponsored Links' A Google advertiser is selling counterfeit goods. What is Google's Counterfeit Goods policy? Google AdWords prohibits the sale or promotion of counterfeit goods. Counterfeit goods contain a trademark or logo that is identical with or substantially indistinguishable from the trademark or another. Counterfeiters attempt to deceive consumers into believing the counterfeit is a genuine product of the brand owner or sell the goods as faux, replicas, imitations or clones of the original product. Counterfeit goods differ from standard trademark infringement in that counterfeiters attempt to pass off their goods as the originals instead of merely using a similar mark in a confusing manner. Counterfeit goods differ from pirated products or copyright infringement because it is the trademark that is copied, rather than software, books, artwork, etc. We will investigate all reasonable complaints: our actions may include disapproving or disabling ads and / or terminating advertisers. Any such investigation and action will only affect ads served on or by Google. Please note, that upon request and approval, a complainant's contact details may be forwarded to the affected

advertiser(s). If you have concerns about the sale of counterfeit goods in AdWords ads, please file a complaint. Note: this information is only available in English. Learn more about the Google AdWords Copyright policy. xxx xxx xxx" 94. From the aforesaid, it is noted that in Consim I and Consim II, Google relied upon their policy that they would investigate any infringement of trademark in the Ad-titles, Ad- text and also keywords. The investigation with regard to keywords was only confined to countries listed in paragraph 93 above. As per the Annexure-3 of the affidavit dated March 16, 2015 the change in the AdWords trademark policy was brought about in the year 2015, wherein Google has changed the policy to mean that they shall "not investigate or restrict the use trademark terms in keyword". It appears, the same is for the reason already stated above under the submissions of Mr.Sethi i.e., the use of trademark as keywords does not imply "use". I may also state here that as per Google's policy they investigate use of the trademark as a keyword but i.e., only confined for the EU. This is in addition to the investigation undertaken for an infringement of trademark in Ad-title and Ad-text. From the above, it is clear that the fact that Google is investigating an Ad where use of trademark as a keyword is being used, there cannot be any reason why such a procedure is not followed in India. It appears this stipulation has been incorporated in their policy with regard to EU countries for the reason that there might be a chance of deception / confusion in a given Ad which pops-up on the basis of search query which has also been chosen as a keyword, which may trigger the advertisement consisting of the infringed trademark / references to it.

95. It can also be a case where the search query itself is a trademark which triggers the advertisement consisting of infringed trademark and / or material which may cause confusion. For example, a hypothetical advertiser may use the following hypothetical advertisement:

www.aggarwal.com Best Packers | Top transporters in India Fastest movers for your transportation, courier, moving and packing needs. Over 300 branches all over India. Providing services of domestic shifting, international moving, car transportation and corporate moving. A case where use of trademark as a keyword triggering a sponsored result does not depict a product or services of that Ad in a pictorial form and the consumer does not have the aid of reference to the device marks/logo and colour combinations associated with the mark. The average consumer has to rely upon the words alone which form the Ad-content i.e., Ad-text, Ad-title and URL which may not directly represent a trademark, rather the words comprising of a trademark which may be strewn with generic words but, on a totality, reading the Ad- content the average consumer is deceived to form an opinion that the product or the services reflected in the Ad-content is the same which he is looking for. If a

consumer were to search for a hypothetical company by the name of "Beetroute Transport" the search engine result page may return the following hypothetical sponsored links in seriatim: A.1. www.beetroute.com Transport services | Best in India Awarded best transporters award for the year 2019. Providing quick and cheap transport services through-out India. Hire vehicles for transport purposes. Special deals available. 011-852XXX A.2. www.beetroot.com Transport services | Best in India Awarded best transporters award for the year 2019. Providing quick and cheap transport services through-out India. Hire vehicles for transport purposes. Special deals available. 011-852XXX B. www.transportindia.com Discounted Transport Services | Pan India Moving made easy by transport India. Domestic transport, corporate transport, goods transport and much more. Contact us through our tollfree number now. 1800- XXXXX C. www.quick.bt-transport.com Transporters | India Goods Carrier Providing services freight and luggage transport services. Best transport services. Beetroute Transport services. Visit our website for hiring transport services. Call us and get discount. +91- 9418XXXXXX It may be seen from the above, that according to Google's AdWords Policy only ad appearing at 'C' would be treated as infringing their AdWords Policy. No doubt, it would also cause confusion in the minds of the average consumer who is looking for Beetroute Transport. Whereas the average consumer may differentiate Ad appearing at 'B' to be not what was searched for. However, the Ads appearing at 'A.1' and 'A.2' with its combined use of parts of a mark and its variants in URL along with Ad-title may cause confusion in the minds of the average consumer, ride on the original owner's goodwill and still not be investigated by Google as it would be deemed to be policy compliant according to them. This advertisement though not in violation of Google's AdWords Policy may still cause confusion in the minds of the average consumer. Needless to say, that it is ultimately the owner of the trademark whose goodwill is getting tarnished. 96. It has to be noted that in such a scenario the advertisement in the sponsored result may not feature the trademark of the plaintiff as a whole which is why the overall effect of the Ad-content (Ad-title, Ad-text and URL) has to be taken into consideration, inasmuch as the idea that is sought to be conveyed, i.e., the advertiser is the plaintiff or somehow associated with the plaintiff. It is Google's case that it does not investigate use of a trademarked term in the URL, i.e., Google restricts its investigation to Ad-text and Ad-title. Whereas it is trite law that use of trademarks in URLs or deceptively similar terms would amount to passing off [Ref: Satyam Infoway Ltd. vs. Sifynet Solutions Pvt. Ltd., (2004) 6 SCC 145]. This I say so, because any Ad-content consisting of Ad-title, Ad-text and URL which is likely to deceive or cause confusion to an average person with imperfect recollection [Ref: Amritdhara Pharmacy vs. Satyadeo Gupta, AIR 1963 SC 449], in the context of India shall constitute infringement of trademark or passing off. A defence may be taken

that the trademark of the plaintiff does not feature in the said advertisement. This defence may sound appealing at a first blush however, it can be seen from such advertisement that using the written part / words of a trademark an attempt is sought to be made to take advantage of the trademark owner's goodwill. The judgment of the Supreme Court in the case of Cadila Health Care Ltd. vs. Cadila Pharmaceuticals Ltd., (2001) 5 SCC 73, held as under:

"19. With respect, we are unable to agree that the principle of phonetic similarity has to be jettisoned when the manner in which the competing words are written is different and the conclusion so arrived at is clearly contrary to the binding precedent of this Court in Amritdhara case [AIR 1963 SC 449] where the phonetic similarity was applied by judging the two competing marks. Similarly, in Durga Dutt Sharma case [AIR 1965 SC 980] it was observed that: "In an action for infringement, the plaintiff must, no doubt, make out that the use of the defendant's mark is likely to deceive, but where the similarity between the plaintiffs and the defendant's mark is so close either visually, phonetically or otherwise and the court reaches the conclusion that there is an imitation, no further evidence is required to establish that the plaintiff's rights are violated." 20. Lastly, in Dyechem case [(2000) 5 SCC 573] it was observed in para 54 as under

"54. As to scope of a buyer being deceived, in a passing-off action, the following principles have to be borne in mind. Lord Romer, L.J. has said in Payton & Co. v. Snelling, Lampard & Co. [(1900) 17 RPC 48] that it is a misconception to refer to the confusion that can be created upon an ignorant customer. The kind of customer that the courts ought to think of in these cases is the customer who knows the distinguishing characteristics of the plaintiff's goods, those characteristics which distinguish his goods from other goods in the market so far as relates to general characteristics. If he does not know that, he is not a customer whose views can properly be regarded by the Court. (See the cases quoted in National Sewing Thread & Co. Ltd. v. James Chadwick & Bros. Ltd. [AIR 1948 Mad 481] which was a passing-off action.) In Schweppes case [Schweppes Ltd. v. Gibbens, (1905) 22 RPC 601 (HL)] Lord Halsbury said, if a person is so careless that he does not look and does not treat the label fairly but takes the bottle without sufficient consideration and without reading what is written very plainly indeed up the face of the label, you cannot say he is deceived." These observations appear to us to be contrary to the decision of this Court in Amritdhara case [AIR 1963 SC 449] where it was observed that the products will be purchased by both villagers and townsfolk, literate as well as illiterate and the question has to be approached from the point of view of a man of average intelligence and imperfect recollection. A trade may relate to goods largely sold to illiterate or badly educated persons. The purchaser in India cannot be

equated with a purchaser of goods in England. While we agree that in trade mark matters, it is necessary to go into the question of comparable strength, the decision on merits in Dyechem case [(2000) 5 SCC 573] does not, in our opinion, lay down correct law and we hold accordingly."

(emphasis supplied) Then in such a case allowing individuals who are not owners of a trademark to choose a keyword which is a trademarked term or use parts of the trademark interspersed with generic words in the Ad-title and / or Ad-text may constitute an infringement of a trademark and / or passing off. It is for this reason, reliance on foreign jurisprudence may be misplaced as the European Courts have held the average consumer to be normally informed and reasonably attentive [Ref: Google France SARL (supra)]. It is unclear that on what basis has a distinction been drawn by Google between certain countries with regard to the trademark policies so formulated and followed. Be that as it may, it is clear from Google's EU and EFTA policy that Google provides a higher duty of care in a jurisdiction where large portions of the population are internet literate. This aspect further fortifies my finding as to why such a policy should be followed in India. Mr. Lall is right in relying on the judgment of Baker Hughes Ltd. & Ors. (supra) to state that even sophisticated consumers can be confused and the affidavit filed by Mr. Gaurav Bakshi dated October 27, 2015 supports the proposition advanced by Mr. Lall.

97. Google has stated that it also factors in the quality of the landing page which is what the consumer would be directed to in case if he were to click on the sponsored results.

98. One of the pleas of Mr. Sethi was that the keyword planner tool is an optional software and keywords provided by the advertisers may have been provided by the keyword planner tool or may not be part of the keyword planner tool at all. This submission of Mr. Sethi has no bearing on the issue that is being decided by this Court in these applications, though on a prima facie view, in the eventuality a trademark is used as a keyword and what is the effect thereof in the context of TM Act. Suffice to state, if the keyword is not a trademark then there cannot be a question of infringement or passing off of the trademark. However, it is a conceded position that an advertiser can provide a keyword which is not part of the keyword planner tool only goes to show that in such a case registered trademarks including well known trademarks should be accorded a higher degree of protection by Google through its policies so as to ensure that the goodwill of the marks is safeguarded. In a situation where these safeguards are not in place the trademark owner must enter the Google

AdWords program in order to protect its own goodwill, which is the case of the plaintiff as well.

99. Although Mr. Sethi has stated that the keyword planner tool is an optional software, however, the same is contrary to the stand taken by Google wherein it has been stated that the quality score of the advertisement is based on an aggregate of factors such as relevancy of Ads, keywords, quality of landing page, etc., it is clear that the advertiser has much to gain from bidding on trademark as keywords. The advertiser would want his own Ad to appear on top of the sponsored results list in order to gain maximum publicity. Even though, the keyword planner tool may not be mandatory but if not used by an advertiser, may result in poorer quality score of the Ad thereby reducing the chances for the Ad to appear in the sponsored result list. Resultantly, it may be stated that the same though not mandatory has become essential for an advertiser. It was also the plea of Mr. Sethi that trademarks are even permitted in ad- text by resellers, informational sites and authorized advertisers and as such may not constitute an infringement. This plea of Mr. Sethi is not vehemently opposed by Mr. Lall in his rejoinder submission while countering the reliance placed by Mr. Sethi on the Judgment of Merck & Co. (supra) by stating that the defendant (advertisers) therein being the resellers of the plaintiff's (Trademark owner's) product can be permitted to use the trademark being a fair use. In other words, where the use of trademark as a keyword as fair / bonafide use, is an exception to infringement and / or passing off.

100. Though Mr. Sethi did argue that Google algorithmically reviews the advertisements submitted in violation of Google ad policies such as ads supporting advertisements under the PCPNDT Act and the same are blocked, but the review does not remove the trademark infringing ads and the same are only investigated after complaint under the trademark / misrepresentation policy, but the same does not answer the issue raised by Mr. Lall that use of trademark as a keyword need to be reviewed and acted upon by Google. The advertisement not featuring a trademark and using trademark as a keyword even if not infringing Google's policies creates confusion as to the origin of goods and services, the keyword along with the overall effect of the advertisement, (including Ad-title, Ad-text and URL) needs to be investigated in terms of paragraph 96 above.

101. The plea of Mr. Sethi that if the use of trademarks as keywords were to be considered as use under the TM Act, then Section 47 of the TM Act would be defeated as it states, non- use of trademark for five years would open the

possibility of cancellation proceedings; this plea is unmerited. In the case in hand, the issue pertains to the use of a trademark as keyword by a third party and not non-use of the trademark by the original owner. This Court need not go into this issue as the instant suit pertains to use of trademarks by third parties and not non-use of the trademark.

102. I must at this stage state that it is a conceded position that up to 2009, Google in terms of its AdWords Policy as applicable to India did not allow the trademark as a keyword. It was only during the hearing of the Consim I before the Madras High Court, did Google come up with a policy that they shall not investigate the use of trademark as a keyword. But this aspect demonstrates that it was the thought process of Google that a trademark cannot be used as a keyword. In fact, it is a policy which is being followed by Google to the extent that they shall investigate the use of trademark as a keyword in EU & EFTA countries and not in India.

103. One of the pleas of Mr. Sethi was that the suit is bad for non-joinder of necessary parties such as Safe Packers and Movers, Gati Ltd., DTC Packers and Movers which according to him are the competitors of the plaintiff in the business. The plea is unmerited for the simple reason inasmuch as it is not the case of the plaintiff that the names as suggested by the plaintiff have in fact used the trademark of the plaintiff as a keyword to score over the plaintiff and pop-up above the plaintiff in the Google search result page. In the absence of parties which have bid for the trademark of the plaintiff and any statement on record to that effect that the entities so named by Mr. Sethi have bid upon the trademark of the plaintiff as a keyword, they are not a necessary party. Hence to that extent, there is no cause of action for the plaintiff against those entities to be made parties in this suit. Be that as it may, the submission of Mr. Sethi does suggest that the said entities being competitors of the plaintiff may bid for a trademark of the plaintiff as a keyword under the AdWords Program of Google. So, it is not disputed that a competitor may bid for a trademark of an entity to ensure its ads pop-up above the entity owning the trademark in the search results.

104. Regarding the reliance placed by the parties on the case of Consim I and Consim II, the observations on the issue of functioning of meta-tags and keywords have been relied upon by this Court in the paragraphs above; however, it may be stated that the issue before the Madras High Court was that the Trademark of the plaintiff / appellant therein was appearing in the Adtext and Adtitle of the defendants / respondents therein. The Madras High Court also looked into the

generic / descriptive nature of the words appearing in the Ad-text and Ad-title, which is not the case here. It is the stand taken by Google and so submitted by Mr. Sethi that the current Google policy states that "Google does not allow any third party to put / publish / refer to a Trademark of an owner in the Adtext / Adtitle as per its policy". Since this statement has already been taken on record that the Trademarks of the plaintiff shall not appear in the Adtext and Adtitle, the factual situation has departed from what was the issue before the Madras High Court. I may also state that the appearance of the sponsored links was different from what it is today, i.e., earlier (at the time of Consim I and Consim II) the sponsored links appeared on the search engine results page with a yellow / blue background. The issue that whether these ads appeared on the top of the organic search results or on the right-hand side of the organic search results; Mr. Lall states that the former was the scenario, whereas the counsels for Google have pointed to the policy as existing then to state that the sponsored results could have also appeared on top of the search engine results page. Be that as it may, the position which exists today is that the sponsored links appear on top of the organic search results.

105. The Division Bench of Madras High Court in Consim II while stating that the appellant / plaintiff is entitled for injunction observed that Google has been adopting double standards as the benefits given to the respondent Nos. 2 - 4 (advertisers) therein were not given to the appellant (Trademark owner). Even in the instant case, it is unclear as to how exactly a sponsored link is given the first rank and placed on top of the sponsored search results, over above the organic search results i.e., it is unclear whether some components as listed out by Mr. Sethi being; bid amount, quality of landing page, relevancy of ads etc. are given more weightage than others. It has also not been explained by the defendants the functioning of their current policy (as available online) which also incorporates a broad search and negative search option [Ref. Paragraph 50 expert witness testimony in judgment of Intercity Group (NZ) (supra)]. Since, it is Google's proprietary algorithm, which controls not only the ranking, place of appearance and review of ads, this issue would have to be looked into at the time of trial. It is clear from the current Trademark policy of Google that it can "either prohibit all use or allow all use of a particular term by an advertiser" and despite such prohibition on use of a Trademark term in Adtext and Adtitle, there are possibilities of passing off. In Consim II it had been clearly stated by the Madras High Court that it is clear that the search engine has control over selection of keywords by an advertiser but the search engine may not be aware of all the registered trademarks in various jurisdictions and in respect of various goods and services. I am in agreement with this observation and state that once

the search engine has been made aware of a registered Trademark in a certain jurisdiction, it is incumbent upon the search engine to exercise a higher duty of care to ensure protection of the goodwill attached to such Trademark. Especially in light of the Judgment of a Coordinate Bench of this Court in the case of DRS Logistics (P) Ltd. vs. Rajesh Agarwal & Ors., 2013 SCC Online Del 1299 wherein the mark of the plaintiff in paragraph 15 has been declared as a well- known trademark.

106. While considering the judgments relied upon by the counsels for Google, I may refer to the judgment of the Supreme Court in the case of Forasol vs. Oil and Natural Gas Commission, AIR 1984 SC 241, wherein the Court while recognizing the high persuasive value of decision of the foreign Courts cautioned by stating that the rule laid down in those particular cases must be judged in the Indian contextual background including the prevalent statutes and the legal procedure and the realities which exist in this country. This observation becomes relevant in the context of evaluating the aspect of confusion since in the cases of Google France SARL (Supra), L'Oreal SA (supra), Google Ireland Ltd. (supra), Cosmetic Warriors (supra), Intercity Group (NZ) (supra), NZ Fintech (supra), Private Career Training (supra), Chocolat Lamontagne (supra), Vancouver Community College (supra) and Cochrane Steel Products (supra), wherein the average consumer has been taken to be normally informed and reasonably attentive or liable to exercise a higher duty of care while searching on the internet, which as held by this Court above is not the definition of an average consumer in this country. Hence reliance on these judgments is misplaced.

107. In so far as the reliance placed by Mr. Sethi on the judgment of the Australian Court in the case of Veda Advantage (supra) is concerned, he contended that keyword meta-tags are trademarked words embedded in the source code of a website by the creator, unlike the keywords used by Google in the AdWords Program, meta-tags are not entirely invisible. They can be located by someone who knows what to look for, whereas trademarked as keywords are invisible to the consumer; and they are not used as a trademark and their invisible use shall not amount to infringement, nor does a keyword denote connection in trade between the advertiser and the trademark owner. Keywords are also not being used to distinguish the service of one trader from another. Suffice to state, I have already in paragraph 88 above held that the effect of meta-tags and keywords is the same. I have also held above that even invisible use of a trademark would constitute "use" within the meaning of the provisions of the TM Act. That part, I have also held that the result of use of meta-tags and keywords is not different as both are instrumental for a search result to appear

on the top of the search engine result page except that the sponsored links to the advertisers' web page is marked with the symbol denoting "Ad", which is followed by the URL. So, the keyword even assuming is invisible, the effect it has for advertising is that the traffic of the website of the trademark owner is diverted to that of the advertiser which shall have the effect of passing off of the goods and services of the trademark owner as that of the advertiser.

108. Mr. Lall is right in stating that the keywords embedded in meta-tags are used in indexing of website, which is what keywords of Google AdWords Program are used for and in any case, Mr. Sethi has not been able to distinguish the precedents in the case of People Interactive (supra) and Mattel (supra). Even on the facts, this case can be differentiated since in that case the advertiser was providing services which were ancillary to the trademark owner. In other words, the trademark owner was providing financial services related to credit rating whereas the advertiser conducted a business assisting the consumers with poor credit rating and rectifying errors in the credit reports given by the proprietor of the trademark. Furthermore, it was stated that an ordinary and reasonable consumer in the context of Australia would not get confused between the organic search result and the sponsored search result, which appears within a yellow ad box. Even in that case the Court has stated in paragraphs 253 and 263 that certain words in the Adtext including the single word trademark of the owner which was visible, suffixed with generic words was likely to cause confusion. The definition of an average consumer in India has been well settled. For the reasons above, this judgment has no applicability in the facts of this case.

109. In so far as the reliance placed by Mr. Sethi in the case of Reed Executive (supra) making similar submissions that invisible use may not be use at all as no meaning is being conveyed to anyone and it is only when the user clicks through the advertisement, he finds misleading material on web page of the advertiser and not on advertisement appearing on search engine results page and the same may not be attributable to Google, is concerned, I have already held, that even invisible use of trademark more specifically would constitute a use and in fact the precedents being available in the country in the form of People Interactive (supra), Mattel (supra), Amway India (supra) and Christian Louboutin SAS vs. Nakul Bajaj & Ors., (2018) 253 DLT 728 the reliance place on the judgment of Reed Executive (supra) is misplaced. The issue is well settled. The question is not when the user clicks through the advertisement, he finds misleading material on web page of advertiser, but whether by the use of invisible use of a trademark, the advertisement of the advertiser scores a march

over the organic search result, where the website of the trademark owner appears. I may state here, Mr. Lall by drawing my attention to paragraph 140 of the judgement has stated that the Court has clearly stated that use as a reserved word can be regarded as use in course of trade, the Court has not expressed its opinion. In any case, the law in this regard even in that jurisdiction has changed since the judgments of the European Court of Justice in the cases of Google France SARL (supra), L'Oreal SA (supra) and the judgment in the case of Interflora Inc. vs. Marks & Spencer, [2015] F.S.R. 10. Needless to state that this case can be differentiated on the ground of the average consumer being normally informed and reasonably attentive. Be that as it may, the laws prevailing in the UK are different and the issue in the present case has to be judged in the context of Indian Laws and precedents [Ref: Forasol (supra)]

110. While relying on the judgment of Merck & Co. (supra), Mr. Sethi stated that the internal use of trademark does not constitute as trademark use. The United States District Court held that the advertiser bidding on the trademark as a keyword, was selling the trademarked drug "ZOCOR" for cholesterol medication which was manufactured by the Canadian affiliate of the trademark owner and the same does not amount to infringement in context of the laws prevalent in the United States. Based on the judgments delivered by the Courts in India, this reliance is totally misplaced. I must state here that Mr. Lall has fairly conceded, the fair use of trademark may not constitute infringement inasmuch as there is nothing wrong in the purchase of trademark as keyword where the advertisers sold medicines manufactured by the trademark owner.

111. In Victor Andrew Wilson (supra), on which reliance has been placed by Mr. Sethi to contend that the use of trademark as a back-end trigger does not amount to infringement and passing off which requires some commercial activity such as offers for sale, signs, corresponding to trademarks by the online service provider. This judgment may not be applicable to the facts of this case as in that case, the trademark was "Mr. Spicy" and the owner attempted to sue third-party and Yahoo for use of descriptive words such as "spicy", "spicy soup", etc., as keywords. Firstly, respondent therein was Yahoo and not Google. Even the policy that is being followed by Yahoo has not been placed on record. That apart, it was held that there is no infringement if the keyword is going to be attached to goods and services which are different from those protected in that case. In any case, the weakness of such a descriptive mark was held to be restricted to goods and services for which it is registered.

112. Insofar as the reliance placed on the judgments by Mr. Sethi of the Canadian Courts do not aid the case of Google. Private Career Training (supra) has been relied on by Mr. Sethi to contend that keyword advertising is not different from accepted market practice of a company locating its advertisement close to a competitor's in a traditional advertising space such as yellow book and such practice is not misleading. Suffice to state the judgment is distinguishable on facts inasmuch as the Court held that the students who are concerned with the Ads had to exercise higher duty of care while distinguishing ads from the organic search result and secondly the sponsored result which was appearing in a yellow shaded box was sufficient to distinguish the website of the parties and the parties before the Court were the advertiser / owner and not Google or YAHOO or any search engine. In Chocolat Lamontagne (supra), the submission of Mr. Sethi was, keyword advertising is not different from accepted market practice. In this case too the search results appearing which were in French in the sponsored results were clearly distinguishable as the hyperlinks listed under the heading sponsored links were preceded by the phrase 'Alternative to Lamontagne chocolate and other products' Similar is the position in so far as the judgment relied upon by Mr. Sethi in the case of Vancouver Community College (supra). The Courts of Canada have also proceeded in terms of Canadian laws on the subject and also on a premise that the average consumer is internet literate and can differentiate sponsored results from organic results. The Court in this case however, made certain findings which may be noted such as in paragraph 55, the aspect of confusion is to be determined on the search engine result page and the Court came to a conclusion in that case, the components of the tort of passing off were met. Therefore, one cannot overlook the fact that there is a possibility of confusion even in cases where the consumers are aware of the functioning of search engines. These judgments do not act as a bulwark for the case as presented by the counsels for Google.

113. Reliance placed by Mr. Sethi on the Judgement of Google France SARL (supra) to contend that the use of trademark as back-end trigger does not amount to infringement and passing off. According to him, Google has not used their mark in course of its trade or in relation to goods or services in respect of which the trademark is registered or within its advertising or in a manner to have taken unfair advantage or in a manner detrimental to distinctive character or repute of plaintiff's trademarks or in a manner likely to be taken as being used as a trademark. In other words, Mr. Sethi agrees that the use of trademark as a keyword held to be use, but only where the advertisement does not enable an average internet user or enables the user with great difficulty to ascertain the origin of goods or services referred therein.

114. I am unable to agree with the submission of Mr. Sethi as the judgment on which reliance has been placed by Mr. Sethi is from a European Court. The observation of the Court has to be read in the context of a purchaser in Europe unlike a purchaser in India. It is a settled law that an average consumer in India is of average intelligence and imperfect recollection [Ref. Amritdhara Pharmacy (supra)]

115. In so far as the judgment in the case of L'Oreal SA (supra) and Google Ireland Ltd. (supra) is concerned, similar would be my conclusion as concluded by me in the case of Google France SARL (supra), inasmuch as the issue before the European Court of Justice was to an extent similar to that in the present case, wherein the trademark owner had agitated that third parties had been using the trademark of the owner as the keyword in order to feature prominently on the search engine results page. However, the Court had examined this issue in the context of the average consumer in Europe and the European Laws / Directives wherein in the Court primarily examined the adverse impact of use of such mark on functions of a trademark. However, there was a caveat that even in such a scenario the Court had remarked in paragraph 83 that whether the function of a trademark is adversely affected would depend on a particular manner in which the Ad is presented and such presentation does not enable the average consumer therein to ascertain the origin of goods and services. The Court further went on to note that in cases where the Ad does not suggest an economic link but remains vague to the origin of goods and services and the internet consumer is unable to determine on the basis of the advertising link and commercial message attached thereto whether the advertiser is a third party with regard to the proprietor of the trademark or not, or economically related to it, or is a third-party, the Court held that the conclusion must be that there is an adverse effect on the function of the trademark. This question, the European Court of Justice left open for the National Courts to assess on a case-by-case basis and even the role played by the service provider whether neutral or not is to be assessed by the National Courts. To this extent I am in agreement with the findings in Google France SARL (supra). The question of neutrality of the service provider in this case being Google would be subject matter of trial. A Coordinate Bench of this Court in Christian Louboutin (supra), while answering the questions related to meta-tagging vis-à-vis intermediaries held as under:

"82. In the world of e-commerce, IP owners face challenging times. This is because sellers of counterfeit or infringing products seek shelter behind the platform's legitimacy, like in the case of Darveys com. Darveys com is involved in the promotion and sale of luxury products. The seller is located on a foreign shore. It is not even

clear as to whether the seller is in fact selling a genuine product. As stated above, Darveys com promotes the products to its members who sign up on Darveys com. Without becoming a member, one cannot effect a purchase on Darveys com. In such cases giving exemptions of Section 79 would in fact amount to legalizing the infringing activity. The seller is not known, the person from whom the seller purchases the goods is not known. It is also not known if the product is genuine, though Darveys com represents to be same to be genuine. In view of these factors, Darveys com cannot be termed as an intermediary that is entitled to protection under Section 79 of the IT Act. The use of the mark, Christian Louboutin, the name, the photograph of the founder, without the permission of the Plaintiff, and without ensuring that the products which are sold are in fact genuine, would constitute violation of Plaintiff's rights. The Defendant has relied on a judgement of a Ld. Single Judge in Christian Louboutin v. Abubacker, 250 (2018) DLT 475 the court was considering protection for the red sole trademark. In the said judgement the court held that the red sole mark is not distinctive as there can be no monopoly on the colour red. The present suit does not relate to the red sole mark in isolation but the use of the plaintiffs marks, name of its name of its founder, use of the words constituting the mark in various ways including on the website, images, packaging material, invoice etc. by the Defendant which is an e-commerce platform. Thus the said judgement does not help the Defendant in the present case. 83. Meta-tagging: The plaintiff has relied upon a judgement in respect of meta-tags. A single judge of the Delhi High Court has held that use of meta-tags is illegal as it enables the Defendant to ride on the reputation of the Plaintiff. Meta tags are links which are provided using keywords. If a trade name is used as a keyword and a link is provided, the website comes up whenever a customer searches for the said trade mark. The trade mark used in the code as a keyword is invisible to the end-user or customer. Such use, though invisible to the customer, has been held to be illegal in the case of Kapil Wadhwa v. Samsung Electronics Co. Ltd., 194 (2012) DLT 23. The Plaintiff claims that when a web user enters the Plaintiffs mark in a search engine such as Google, Darveys com website is amongst the search results and an analysis of the code shows that the marks of the Plaintiff are used as meta- keyword-tags, with a view to increasing the hits which the Defendant's website obtains from search engines like Google.

84. The trademark owner loses its huge customer base especially in the case of luxury products. If the products turn out to be counterfeit or not up to the mark, then it is the trademark owner's brand equity which is diluted. The seller himself does not suffer. Such immunity is beyond what is contemplated to intermediaries under Section 79 of the IT Act. While Section 79 of the IT Act is to protect genuine intermediaries, it cannot be abused by extending such

protection to those persons who are not intermediaries and are active participants in the unlawful act. Moreover, if the sellers themselves are located on foreign shores and the trade mark owner cannot exercise any remedy against the said seller who is selling counterfeits on the e-commerce platform, then the trade mark owner cannot be left remediless."

(emphasis supplied)

116. Having noted the aforesaid position of law and it is the case of Google as contended by Mr. Sethi that Google is an intermediary is unmerited, surely there is an obligation on part of Google to ascertain that the keyword chosen by the advertiser is not a trademark and even if it is a trademark the same has been licensed / assigned. Not ascertaining this factum by Google, it cannot take / seek the benefit of exemption under Section 79 of the IT Act as it has been held in the above judgment as amounting to legalising the infringing activity. That apart, the conclusion of the Coordinate Bench in paragraphs of 83 and 84 shall apply on all fours to the facts of this case. In view of this conclusion, the plea of Mr. Sethi that Google is not an arbiter of third party disputes and shall not investigate complaints of violation of trademark infringement is unmerited, hence rejected.

117. The reliance placed by Mr. Sethi in Cosmetic Warriors (supra) to contend that use of third-party trademarks as keyword does not constitute trademark violation is also not appealing. This judgment seems to be an after effect of the decisions in Google France SARL (supra) and L'Oreal SA (supra) since I have dealt with the issue in the above paragraphs the reliance on European Law would not help the case of Google. In any case, the matter therein pertained to Amazon and its advertising policies which is not the case here. The Court had considered three scenarios for a possibility of confusion, out of which only the first and second scenarios are of interest. The first and second scenario pertained to sponsored links on intermediary websites wherein a consumer would be able to see the trademark in the advertisement and in the other where the consumer cannot see the trademark term in the advertisement. In the case of the former it was held to be detrimental to the function of a trademark and in the latter, it was stated that the consumers would be aware of appearances of sponsored links. Whether this awareness exists in this country is unclear and would be subject to Trial especially so when there are chances of the advertisements of the trademark owner often appearing in the sponsored results with blurred lines of distinction between sponsored results and organic results in a case where an average Indian consumer has specifically typed a trademarked term.

The third scenario concerned the layout of Amazon website and the appearances of the trademark therein that too when there was no overt statement that Amazon did not sell the products of the trademark owner, which is not a question for consideration before this Court.

118. In Intercity Group (NZ) (supra) and NZ Fintech (supra), the same were relied upon by Mr. Sethi to contend that trademark as keyword are not seen or known or understood by a consumer and the same is not be taken as anything let alone amounting to use of trademark. The said judgment is in the context of laws of New Zealand which are different from those in India and Mr. Lall is right in contending that Section 89 of the New Zealand Act does not include advertisement as infringement, which position is otherwise in this country as I have referred to the provisions of Section 29 (6) and Section 29 (8) of the TM Act. Even in Intercity Group (NZ) (supra), the average consumer has been taken to be well-informed and reasonably observant but even so the Court has observed that there may exist a possibility of confusion as the case before the New Zealand Court was that the advertiser had bid on the trademark as keyword being InterCity, which appeared on the search engine results page along with the website of the advertiser. In NZ Fintech (supra), the plaintiff therein had alleged that the defendant therein was using its mark "MOOLA" as a keyword. Whether such use resulted in sufficient number of consumers perceiving such use by the defendant therein to be a use of the trademark, was to be a matter of trial. These judgments therefore are distinguishable on facts. However, the New Zealand Court too in both the aforementioned judgments had interpretated their own law to mean that the use of trademark as a keyword, amounts to use in the course of trade. The question which further needs to be tried through the trial is whether there is a difference in the search engine results page when searching with capital letters, spaces, symbols such as hyphens, etc. and the difference thereof.

119. In so far as the reliance placed in Cochrane Steel Products (supra) is concerned, Mr. Sethi contended that it is unnatural for a consumer to get mislead by a clearly labelled Ad which identifies the source. If neither the advertisement nor the advertisers' website contains any reference to the trademark owners products or services, then no confusion exists nor there is any evidence that any actual confusion existed and as per common market practice, advertisements are placed close to the competitors' advertisements in a yellow book. The trademark of the appellant therein was "CLEARVU" which was itself an unregistered mark. Wherein it was also held by the Court that the organic search result were clearly distinguishable from that of the sponsored search

result. The said judgment has no applicability as the judgment has held that the average consumer in South Africa to be a person who is normally informed and reasonably observant internet user, which may not be the position in the Indian context. The case of Esquire Electronics Ltd. (supra) is distinguishable from the case at hand as the issue to be decided by the South African Court pertained to trading in prerecorded video tapes upon which a registered trademark was recorded through magnetic signals. Needless to state, that the facts at hand are very different to the one sought to be relied upon by the counsels for Google even so the judgment has to be read in the context of the South African Laws.

120. Reliance has been placed in Nebo (supra) by Mr. Sethi to contend that the keywords do not form part of advertisement cannot be used for identifying a particular ad as the same keyword may be used for multiple advertisements. Users do not know the basis of which keyword, a particular advertisement is shown or which keyword co-relates with the said advertisement. In other words, keywords do not create a possibility of confusion of any products of owner with that of the advertisement. I am not in agreement with the submission made by Mr. Sethi more so with regard to my conclusions above and in the context of law laid down by the Indian Courts of which a reference has been given above. Even on facts this case is distinguishable as the search engine involved in the said case was Yandex and the policies governing the advertisements through keywords is different from that of Google in the present case. Be that as it may, the statutory law governing trademark law is very different in Russia as compared to that of the Indian Laws. As I have already concluded above, that use of trademarks as keywords amounts to use in the course of trade in terms of the TM Act and the judgments of the Indian Courts in this regard, this case provides no succour to the case of the counsels for Google.

121. By relying upon the judgment in the case of Alzheimer's Disease and Related Disorders Association (supra) the contention of Mr. Sethi primarily is that trademark as keywords alone without additional behavior that confuses consumers is not actionable. In Jive Commerce LLC (supra), consumers are unlikely to be confused as the sponsored links clearly marked as Ad and the owner's Ad being directly below the sponsored search result in the organic search result there cannot be any confusion. These judgements of the Courts of the United States of America do not avail the case of Google, since in the case of Alzheimer's Disease and Related Disorders Association (supra) the Court therein had opined that the mark in question was weak and since the consumers were searching for a generic term, therefore the likelihood of confusion was less. Similar position exits in the case of Jive Commerce LLC (supra) wherein the mark

of the plaintiff / owner was not registered, it remained unclear under which class the said mark therein was to be categorised even in which case the Court came to a conclusion that the mark was either descriptive or suggestive which is not the case here. Similar is the position in Passport Health (supra) where the mark of the trademark owner being "PASSPORT HEALTH" was considered to be weak and the Court had observed that the sponsored results could easily be differentiated from the organic results as they were appearing on the right-hand side titled with the words "related searches", this position no longer exits as of now.

122. Mr. Sethi has also placed reliance on the judgment in the case of Matrimony.com Ltd. (supra) of Competition Commission of India to contend that Google keyword bidding process promotes competition and provides some benefits and choice as compared to traditional advertising. To this submission, Mr. Sethi has accepted the fact that the trademark can be used as a keyword to divert the traffic from the website of the owner to that of the advertiser to encourage competition this according to this Court may in a given case amount to infringement and / or passing off.

123. Mr. Sethi has relied upon Havells India Ltd. (supra) to contend that advertisement is a part of free speech and right to carry any business. Competitors use of trademark is protected within the ad-text of a competitor provided the competitive advertisement under Section 29 (6) and 29 (8) of TM Act are complied with. There cannot be any dispute, that the advertisement is part of free speech, but surely that free speech cannot be at the cost of the trademark of an owner which amounts to a misleading advertisement.

124. Fischerwerke GmbH & Co. (supra) is on similar proposition that use of third-party trademarks does not constitute trademark infringement. Reliance on this case is misplaced due to the reason that firstly, that the search engine involved in that case was Baidu and not Google and; secondly the advertising policy of the said search engine has not been produced before this Court and even the law related to trademarks in that case is different to the case at hand. As per the stand of Google that up to 2013, even they did not allow the trademarks to be used as keywords in China, whether this position changed after the judgment in the relied upon case is unclear.

125. In so far as the submission of Mr. Sethi that Google investigates the Ads which under its counterfeit / misrepresentation policy is concerned, the same does not answer the use of trademark as keyword by an advertiser as infringement of trademark. Even if Google under the misrepresentation policy investigates an

infringing Ad but only after a complaint, there is no doubt that the usage of trademark as keyword results in diversion of the traffic from the website of the trademark owner to the webpage of the advertiser which causes prejudice to the owner of the trademark in terms of goodwill and credibility with respect to the services and should be investigated by Google. In a way the advertiser through oblique motives is cashing upon the goodwill of the trademark owner for his own benefit and through which process Google is earning revenue and as such is equally liable for the omissions and commissions of the advertiser. It also follows that when the use of trademark as a keyword constitutes infringement / passing off which amounts to violation of rights accrued in favour of the proprietor under the provisions of the TM Act then on the same analogy that Google investigates advertisements which are prohibited under law, Google should also investigate the advertisements in this case as well.

126. This Court also at this stage cannot overlook the affidavit dated October 27, 2015 filed by Gaurav Bakshi wherein he has stated as under:

"2. That I wished to avail the services of old and reputed Agarwal Packers and Movers and searched for the same in google search engine which displayed 03/04 Agarwal Packers and Movers companies and I picked up one and contacted them over the given number. 3. That one Mr. Amit and Mr. Vinod was contacted who represented themselves as Agarwal Packers and Movers company that has an India-wide presence by the name Aggarwal Goods Movers and Packers which is one and the same i.e. Agarwal Packers and Movers Ltd. to which I was searching. 4. That I am persuaded by them to believe that they are the same old and reputed Agarwal Packers and Movers Ltd. Believing their statement and their website display in google Search engine, entrusted the task of shifting my personal household belongings and a car from Noida to Panjim Goa against payment of freight charges of Rs. 74, 294/- vide Goods Consignment Note No. 1306 dated 03/08/2015. 5. That I received my household belongings at the destination on 16/08/2015 in deplorable condition as most of the furniture items were broken and a large number of other items were heavily damaged. The car was received on 18/08/2015 with dents and scratches all over the body. 6. That soon after conveying the receipt of goods and car in above conditionI encountered with a horrible experience of harassment, abusive behavior, criminal threats with dire consequences to me and to my family if insisted upon for repairs of damaged goods and if pursued the case further. 7. That I realised that I had not picked up genuine Agarwal Packers and Movers and was cheated by above fake mover company who falsely projected themselves as reputed Agarwal Packers and Movers Ltd and deliberately used similar and confusingly identical name by inserting a very small almost indecipherable word "goods" in

between Agarwal Packers and Movers to cheat me and the public at large and such fake companies are displayed in google plate form[sic] along with genuine Agarwal Packers and Movers Ltd by which innocent people are misguided and have to face tough time in finding real Agarwal Movers on google as many Agarwals appears on google map." The aforesaid does prima facie reveal that with usage of trademark of plaintiff as a keyword the traffic from the webpage of the plaintiff is being diverted to the webpage of the competitor / advertiser which means that a normal consumer who on typing the trademark of plaintiff as a search query was led to a webpage which had caused confusion regarding the origin of the webpage, whether belonging to the plaintiff or not. In cases of intellectual property, the Courts must also be mindful of the fact that it is ultimately the public at large which gets cheated and feels the brunt of spurious goods and services in the market [Ref: Hindustan Pencils (P) Ltd. vs. India Stationery Products Co. & Ors., AIR 1990 Delhi 19].

127. I must state here that the plaintiff can seek protection of its trademarks which are registered in view of Section 28 of the TM Act, but cannot have any right on surnames / generic words like Packers or Movers individually. Having said that in view of my above discussion, the applications are liable to be allowed, subject to final determination of the suit in the following manner:

(I) The defendant Nos.1 and 3 shall investigate any complaint to be made by the plaintiff to them alleging use of its trademark and its variations as keywords resulting in the diversion of traffic from the website of the plaintiff to that of the advertiser. (II) The defendant Nos.1 and 3 shall also investigate and review the overall effect of an Ad to ascertain that the same is not infringing / passing off the trademark of the plaintiff. (III) If it is found that the usage of trademark(s) and its variations as keywords and / or overall effect of the Ad has the effect of infringing / passing off the trademark of the plaintiff then the defendant Nos.1 and 3 shall restrain the advertiser from using the same and remove / block such advertisements. 128. I must also state here that the case of defendant No.2, who has been made as a party, is as noted in paragraphs 48 to 52 above, it is clear that defendant No.2 is not using the mechanism of providing trademarks as keyword for triggering the ads. This stand has been taken on record and the defendant No.2 shall remain bound by their statement.

129. The above directions are subject to the final determination of the suit. The aforesaid conclusion of mine is only a prima facie conclusion and nothing stated above shall be construed as a final determination of the suit. The applications being I.As. 21153/2011 and 4474/2014 are disposed of. List this suit and pending

applications subject to the orders of Hon'ble the Chief Justice before the Roster Bench on the date fixed. No costs.

V. KAMESWAR RAO, J OCTOBER 30, 2021/aky/jgMadras High Court Nippon Paint Holdings Co. Ltd vs Suraj Sharma on 21 March, 2024 Author: Abdul Quddhose Bench: Abdul Quddhose A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024

IN THE HIGH COURT OF JUDICATURE AT MADRAS

Reserved on : 13.03.2024

Pronounced on : 21.03.2024

CORAM:

THE HON'BLE MR. JUSTICE ABDUL QUDDHOSE

A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024

1.Nippon Paint Holdings Co. Ltd.
Through its Power of Attorney
Subash Gaijes Selvaraj

2.Nippon Paint (India) Private Limited
Through its Power of Attorney
Subash Gaijes Selvaraj .. Applicants/plaintiffs

vs.

1.Suraj Sharma

2.M/s.Nippon Paints & Chemicals .. Respondents/defendants

For Applicants/plaintiffs : Mr.P.S.Raman,
Senior Counsel
for Mr.Arun C.Mohan

For Respondents/defendants : Mr.Davesh Vashishtha

ORDER

The issue that arises for consideration in this application is whether this Court is having the territorial jurisdiction to transfer to itself https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 by way of consolidation the Rectification Petition filed by the applicants/plaintiffs under Section 57 of the Trade Marks Act, pending before the Trademarks Registry at New Delhi.

2.The following facts are un-disputed:

a) The applicants/plaintiffs have obtained trademark registration for their trademark "NIPPON PAINT" only from the Trademarks Registry at Chennai; b) The applicants/plaintiffs have pleaded in the plaint that their trademark has been infringed by the respondents/defendants at Chennai and the respondents/defendants are selling the infringed products at Chennai; c) Both the applicants/plaintiffs and the respondents/defendants have obtained trademark registration for their respective marks. d) The applicants/plaintiffs have obtained their trademark registration from the Trademarks Registry at Chennai, whereas the respondents/defendants have obtained the trademark registration for their trademark from the Trademarks Registry at New Delhi. The applicants/ https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 plaintiffs, prior to the filing of the suit, on coming to know that the respondents/defendants have copied their trademark and obtained trademark registration, have filed an application before the Trademarks Registry at New Delhi, seeking for rectification of the respondents'/defendants' trademark. The said application is still pending on the file of the Trademarks Registry, New Delhi. Till date no application has been filed by the respondents/defendants seeking for rectification of the applicants'/plaintiffs' registered trademark either before this Court or before the trademark registry. 3.The applicants/plaintiffs have filed this infringement suit on 09.01.2024 and immediately, thereafter they have filed this application seeking to transfer the Rectification Petition filed by them before the Trademarks Registry, New Delhi, to the file of this Court.

4.The respondents/defendants have opposed this application by questioning its maintainability on the ground that this Court does not have territorial jurisdiction over the Trademarks Registry at New Delhi. https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024

5.The applicants/plaintiffs contends the following:

a)This Court is empowered to consolidate all proceedings and hear the same together as per Rule 14 of the Madras High Court Intellectual Property Rights Division Rules, 2022; b)As part of cause of action has arisen within the jurisdiction of this Court, the respondents/defendants being the infringers cannot take the plea of forum non-conveniens, especially when they are advertising their goods within the territorial limits of this Court; c)There is no express statutory bar for this Court to hear the rectification proceedings pending on the file of the Trademarks Registry, New Delhi and the present infringement suit together. d)Since the dynamic effect of the impugned registration pending on the file of the Trademarks Registry, New Delhi is felt within the jurisdiction of this Court, there is no prohibition for this Court to entertain and allow this transfer application. 6.In support of the aforesaid contentions, Mr.P.S.Raman, learned Senior Counsel appearing for the applicants/plaintiffs drew the attention https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 of this Court to the following authorities:

a)The order dated 11.12.2023 passed by this Court in W.P. (IPD)/30/2023 in Asia Match Co. Pvt. Ltd. vs. Deputy Registrar of Trademarks and G.I. and another; b)Jumeirah Beach Resort LLC vs. Designarch Infrastructure Pvt. Ltd. and another reported in MANU/DEOR/194894/2022;

c)University Health Network vs. Adiuvo Diagnostics Pvt. Ltd. and others reported in 2024 SCC Online Mad 185;

d)Dr.Reddy's Laboratories Ltd. vs. Fast Cure Pharma and others reported in 2023 SCC Online Del 5409.

7.On the other hand, the learned counsel for the respondents/ defendants would question the maintainability of this transfer petition on the following grounds:

a)Since the Rectification Petition filed by the applicants/plaintiffs seeking for rectification of the respondents'/defendants' trademark is pending before the Trademarks Registry, New Delhi, this Court does not have the territorial jurisdiction to decide this application as the Registrar of Trademarks at Delhi falls under the original jurisdiction of the High https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 Court at Delhi; b)This Transfer Application is not maintainable in view of Section 124 of the Trade Marks Act, 1999, wherein the present suit proceedings will remain stayed until the Rectification Petition is adjudicated by the Registrar of Trademarks at New Delhi; c)This Court is having original jurisdiction under Section 57 of the Trade Marks Act, 1999 only in respect of the matters before the 'IPO' concerned, which in the present case is the Trademarks Registry at Chennai. Since the Rectification Petition is pending on the file of the

Trademarks Registry at New Delhi, this Transfer Petition filed by the applicants/plaintiffs is not maintainable before this Court. As per Section 57 of the Trade Marks Act, 1999 read with Rule 11(4) of the Madras High Court IPD Rules, 2022, this Court has original jurisdiction only over the concerned IPO, which in the instant case is the Trademarks Registry at Chennai. If this Transfer Application is entertained by this Court, the statutory right of the parties to file an Appeal before the IP Division at High Court of Delhi in respect of the Rectification Petition will be lost.

https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024

8.In support of the aforesaid contentions of the respondents/ defendants, the learned counsel for the respondents/defendants drew the attention of this Court to Section 124(1)(i) of the Trade Marks Act, 1999 and would submit that the Court trying the infringement suit shall if any proceedings for rectification of the register in relation to the applicants/plaintiffs or respondents'/defendants' trademarks are pending before the Registrar or the Appellate Board, stay the suit pending the final disposal of such proceedings and therefore, he would submit that this present application seeking for transfer of the rectification proceedings pending on the file of the Trademarks Registry at New Delhi is not maintainable.

9.Learned counsel for the respondents/defendants also drew the attention of this Court to Rule 11(4) of the Madras High Court IPD Rules 2022 and would submit that as per the said rule, it is clear that any order of the High Court in any IPR cases or proceedings involving any proceedings before the IPO, shall be served upon the IPO concerned and the said IPO shall cause such changes to the entry in the respective https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 register or proceed in the matter as directed therein. According to him, it is clear that the IPO concerned in the present case is not situated at Chennai over which this Court has territorial jurisdiction, but is situated at New Delhi and hence, this Transfer Application is not maintainable. Learned counsel for the respondents/defendants would also submit that the statutory right of both the parties to file an appeal or challenge the order of the Registrar of Trademarks in respect of the Rectification Proceedings against the mark registered at Delhi will only be before the High Court at Delhi having original jurisdiction over the matters pending before the Trademarks Registry at Delhi. If this Transfer Application is allowed, the statutory right of both the parties to file an appeal before the IP Division at Delhi High Court in respect of the Rectification Proceedings pending before the Trademarks Registry at New Delhi will be defeated. Learned counsel for the respondents/defendants would also submit that the Single Bench judgment of

the Delhi High Court in the case of Dr.Reddy's Laboratories Ltd. vs. Fast Cure Pharma and others reported in 2023 SCC Online Del 5409, relied upon by the learned Senior Counsel for the applicants/ plaintiffs, has been referred for further consideration to a Larger Bench of the Delhi High Court in the case of https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 "The Hershey Company vs. Dilip Kumar Bacha and others" and therefore, the said judgment cannot be relied upon for the purpose of giving territorial jurisdiction to this Court.

Discussion:

10. Trademark disputes can often lead to multiple legal proceedings across different Courts and branches of the Trademarks Registry, creating complexities and the potential for conflicting rules. One such case is the case on hand. The plaintiffs have filed the trademark infringement suit before this Court. But, prior to filing of the suit, the plaintiffs had filed an application under Section 57 of the Trade Marks Act before the Trademarks Registry at New Delhi seeking for cancellation of the defendants' identical trademark. The rectification proceedings are still pending on the file of the Trademarks Registry. The plaintiffs seek for transfer of the rectification proceedings pending on the file of the Trademarks Registry to the file of this Court in this transfer application for the purpose of consolidating both the proceedings viz., the infringement suit, which is pending before this Court and the https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 rectification proceedings initiated by the plaintiffs seeking for rectification of the defendants' identical trademark for the purpose of holistic and complete adjudication of the disputes.

11. The traditional approach of jurisdiction invites the Court to ask whether it has territorial, pecuniary or subject matter jurisdiction to entertain the case brought before it. With the advent of internet, the question of territorial jurisdiction in intangible disputes like Intellectual Property diputes gets complicated largely on account of the fact that the internet is borderless. Therefore, while there are no borders between one region and another within a Country, there are no borders even between Countries. However, under the Trade Marks Act, 1999, there is a geographical limitation to Intellectual Property rights. Where a trademark is registered at any Trademarks Registry in India, the said registration protects the proprietor of the registered trademark against any infringement not alone within the region over which the Trademarks Registry is having its jurisdiction to register trademarks but also throughout India.



Generated with https://kome.ai

12. Efforts were made by Courts in different Countries to consolidate proceedings in I.P.R. disputes. The Courts in U.S.A. applied

(a) Minimum contacts test, where the plaintiffs have to show that the defendants have sufficient minimum contacts in the forum state;

(b) Purposeful availment test, where it was not necessary for the defendants to be physically present within the jurisdiction of the forum Court but the forum Court may however, exercise jurisdiction over a non-resident where the alleged injuries arise out of or relates to actions by the defendant himself that are purposefully directed towards residents of the forum state;

(c) The Zippo-sliding scale test, which is an extension of the purposeful availment test, which is the three prompt test for determining whether the exercise of specific personal jurisdiction over a non-resident defendant is appropriate:

a. The defendant must have sufficient minimum contacts with the forum state; b. The claim asserted against the defendant must arrive within those contacts; https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 c. The exercise of jurisdiction must be reasonable; (d) Effects test and 'Intentional targeting' under which the Courts have moved from a 'subjective territoriality' test to an 'objective territoriality' or 'effects' tests in which the forum Court will exercise jurisdiction if it is shown that effects of the defendant's trademark are felt in the forum state. In other words, it must have resulted in some harm or injury to the plaintiff within the territory of the forum state. The 'dynamic effect' test applied by a learned Single Judge of the Delhi High Court in Dr.Reddy's Laboratories Ltd. vs. Fast Cure Pharma and others reported in MANU/DE/5890/2023 is akin to the case on hand and it gave power to the Delhi High Court to transfer the proceedings pending on the file of the Trademarks Registry situated outside the jurisdiction of that High Court to the file of Delhi High Court and be heard along with the infringement suit if the dynamic effect of the impugned registration of the defendants trademark is felt within the jurisdiction of that particular High Court.

13. The other common law jurisdictions viz., Canada, United Kingdom, Australia have also formulated other tests for determining https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 jurisdiction, amongst others being "the real and substantial connection test".

14. While determining the jurisdiction, the following factors are normally considered by the Court:

a) The connection between the forum and the plaintiff's claim; b) The connection between the forum and the defendant; c) Unfairness to the defendant in assuming jurisdiction; d) Unfairness to the plaintiff in not assuming jurisdiction; e) Involvement of other parties to the suit; f) The Court's willingness to recognize and enforce an extra- provincial (State) judgment rendered on the same jurisdictional basis;

g) Whether the case is inter-provincial (State) or international in nature;

h) Comity and standards of jurisdiction, recognition and enforcement prevailing elsewhere.

15. The aforementioned factors are taken into consideration by the Courts for determining jurisdiction, since the dynamics of jurisdiction is https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 based on reasonableness and fairness to the parties to the dispute.

16. The Honourable Supreme Court in the case of Shah Newaz Khan and Others Vs. State of Nagaland and Others reported in 2023 SCC Online SC 203, after referring to Sections 24 and 25 of C.P.C., giving power to the High Court and the Supreme Court respectively to transfer proceedings, observed that the "access to justice" has to be real. In the said decision, the Gauhati High Court which is the common High Court for the states of Assam, Nagaland, Mizoram and Arunachal Pradesh, presided over by the Bench at the Principal seat by Gauhati, rejected an application seeking transfer of a suit from the Court of a District Judge at Dimapur, Nagaland to the Court of District Judge, Gauhati, Assam. The issues that were raised before the Honourable Supreme Court in that appeal are as follows:

a) Is the Supreme Court the sole repository of power in terms of Section 25 of the C.P.C. to direct the transfer of suit, appeal or other proceeding from a civil Court in one state to a civil Court in another state?; b) Is it open for a High Court, if it is the common High Court for https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S. (Comm.Div.)No.7 of 2024 two or more states, to entertain an application for transfer under Section 24 of C.P.C. and transfer a suit, appeal or other proceeding from a civil Court to another civil Court, both of which are subordinate to such High Court but situate in different states in relation to which it exercises jurisdiction, for consideration and decision? 17. The Honourable Supreme Court held that a narrow interpretation of Section 25 C.P.C. imposing bar for entertainment of an application under Section 24 for transfer of a suit, appeal or other proceeding by a common High Court like a Gauhati High Court, inter se, the four states in relation to which it exercises jurisdiction could place a heavy burden and might pose an

unsurmountable obstacle for litigants of the far flung areas of the North East, if they were made to approach the Supreme Court for such transfer on the specious ground that the Civil Court to which the same is proposed to be transferred is in a state other than the state in which the suit has been instituted.

18. The Honourable Supreme Court also further observed, that an interpretation of the law that seeks to address the mischiefs, that is https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 consistent with the constitution and promotes constitutional objectives and that which responds to the needs of the nation must be adopted. The Honourable Supreme Court further observed that if "access to justice"

has to be real, it becomes the moral responsibility of the Supreme Court, the supreme guardians / protectors of the rights of people guaranteed by the Constitution and the laws, not to construe the substantive part in Section 25 of the Code in a pedantic manner to bring about a situation that would thwart the initiative of making "access to justice" real. 19. The following are the undisputed facts, in so far as trademark registrations under the Trade Marks Act, 1999 are concerned:

a) At present, India is having five trademarks registries situated region wise; b) Registration of any trademark before any trademark registry in India is valid throughout the territory of India and protects the proprietor of the registered trademark all over India; c) Under Section 4 of the Trade Marks Act, 1999, the Registrar of Trademarks (Controller General of Patents, Designs and Trademarks) in writing by giving reasons can withdraw or transfer any pending matter https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 before him to another officer and it is his discretion to decide if the subject is to be dealt either de novo or, from the stage from which it was withdrawn or transfered. The Registrar of trademarks (Controller General of Patents, Designs and Trademarks) has supervisory control over all the trademark registries in India. 20. Under Section 125 (1) of the Trade Marks Act, 1999, in a suit for infringement of a registered trademark, if the validity of the registration of the plaintiff's trademark is questioned by the defendant or where in any such suit, a defendant raises a defence under clause (e) of sub section (2) of Section 30 and the plaintiff questions the validity of the registration of the defendants trademark, the issue as to the validity of the registration of the trademark concerned, shall be determined only on an application for the rectification of the register and, notwithstanding anything contained in Section 47 or Section 57, such application shall be made to the High Court and not to the Registrar. Under the Trade Marks Act, 1999, High Court has not been defined and therefore, it cannot be construed that the High Court must be the

High Court having supervisory jurisdiction over the Trademark Registry concerned which in the instant https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 case is the Trademarks Registry, New Delhi. When the registration of the trademarks before any Trademark Registry in India gives protection all over India, the intention of the legislature would not have been to curtail the powers of the High Court to restrict its territorial jurisdiction in trade marks matters, despite the fact that the effect of the registration is felt in the place where a particular High Court is situated.

21. Under Section 125 (2) of the Trade Marks Act, 1999, where an application for rectification of the register is made to the Registrar under Section 47 or Section 57, the Registrar may, if he thinks fit, refer the application at any stage of the proceeding to the High Court. Therefore, the Registrar is having Suo Motu power to transfer the rectification proceedings pending on its file to the file of the High Court.

22. On April 4, 2021, the Tribunals Reforms (Rationalization and Conditions of Services) Ordinance, 2021 (later replaced by the Tribunals Reforms Act, 2021) was promulgated, which abolished the Intellectual Property Appellate Board (IPAB). This development marked a significant shift in the country's IP practice as all matters pending before https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 the IPAB were transfered to the respective High Courts. The creation of the IP division by Delhi and Madras High Courts is a distinct and specialized division that was set up to exclusively adjudicate matters pertaining to Intellectual Property law subsequent to the abolition of the IPAB. The purview of the IP division would include all matters relating to intellectual property, such as:

a) Fresh and pending infringement suits; b) Appeals against the decisions of the patents / trademarks / copyright offices; c) Revocation / cancellation actions; and d) Applications for rectification of the patents / Trademark Registry. 23. All IP cases in India are now 'commercial cases', which are subject to strict timelines and procedures to shorten the duration of litigations. Inflexible deadlines are set for the completion of pleadings; case management procedures allow Judges to supervise, control and monitor the speed of litigation; summary judgments can be passed against either party if it has no prospect of winning at trial; and instances https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 of appeal to a larger bench of High Court against interim orders of a singe Judge are greatly reduced.

24. Both Delhi High Court and the Madras High Court have framed their separate Intellectual Property Division Rules which are more or less in conformity to one another.

25. In the past, the Principal Act governing trademarks in the Country has been repealed and were re-enacted multiple times. Prior to the 1999 Act, the law relating to trademarks were governed by the Trade and Merchandise Marks Act, 1958 (1958 Act) which was brought to amend the prior Trade Marks Act, 1940 (1940 Act).

26. Intellectual Property Appellate Board (IPAB) was incorporated under the Trade Marks Act, 1999 (In short 1999 Act) pursuant to Article 41 of the Trade-Related Aspects of Intellectual Property Rights (TRIPS). Both 1940 and 1958 Act define 'High Court'. The former defines it as "in relation to any state, the High Court for that state..." while the later defined 'High Courts' as "...within the limit of whose territorial jurisdiction, the office of the Trademarks Registry is situated". https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024

27. Subsequently, as the 1999 Act came into effect, which provided for the setting up of IPAB, the powers to preside over trademark cancellation petition was transfered to IPAB and 'High Court' was deleted from the statutes. Later, 1999 Act stood amended once again vide the Tribunal Reforms Act, 2021. The Tribunals Reforms Act reinstated the powers of the High Court to hear cancellation petitions. However, the amended Trade Marks Act, 1999 did not define 'High Court' as was done in the previous acts viz., 1940 and the 1958 Acts.

28. Currently, the Trademarks Registry has its head office at Mumbai and branch offices in Ahmedabad, Chennai, Delhi and Kolkatta. Therefore, if we were to go back to the old status quo, only Bombay, Gujarat, Madras, Calcutta and Delhi High Courts would have the jurisdiction to decide over rectification petitions. The 'static' and 'dynamic' effect doctrine was discussed by the Delhi High Court in the case of "Girdhari Lal Gupta Vs. K.Gian Chand Jain and Co., reported in AIR 1978 Del 46" (Girdhari Lal case) and "Dr.Reddy's Laboratories Ltd. vs. Fast Cure Pharma and Others" ('Dr.Reddy's case'). The above https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 cases delved into similar questions with regard to the Patents Act and the Trade Marks Act respectively. The static effect signifies that only the High Court under the jurisdiction in which the trademark registry lies must hear cancellation petitions, however, dynamic effect of trademark doctrine goes a

step further and takes into consideration the fact that granting of a trademark gives the holder a monopoly over the mark throughout the territory of India and as such if there is an infringement of ones trademark in some jurisdiction apart from the states where the registry lies, those High Courts must have the jurisdiction to hear rectification applications too. Essentially, High Court within whose jurisdiction, the interest of any trademark holder are negatively impacted must have the jurisdiction to hear application to cancel the same.

29. In Girdhari Lal case, referred to supra, a Full Bench of the Delhi High Court has observed with respect to applications under the Designs Act that such applications can always be made to a High Court within the local limits of which part of cause of action and / or subject matter of the application may arise which is irrespective of the place of the registry. The same was relied upon by the Single Judge of the Delhi https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 High Court in Dr.Reddy's case with respect to applications under the Trade Marks Act as well.

30. In the decisions relied upon by the learned counsel for the applicant, the following ratio-decidendi was laid down:

Case law citation: (1) Asia Match Co. Pvt. Ltd. vs. Deputy Registrar of Trademarks and G.I. and Another 2023:MHC:5361, W.P. (IPD)/30/2023 (Madras High Court) Ratio: It is appropriate that the Registrar exercises his discretionary power under Sub section (2) of Section 125 by acceding to the request for transfer in case, where infringement suits are pending before Civil Courts; (2) Jumeirah Beach Resort LLC vs. Designarch Infrastructure Pvt. Ltd. and Another reported in MANU/DEOR/194894/2022; (Delhi High Court) Ratio: If the Registrar of trademarks could refer the matter to this Court, under Section 125 (2) of the Trade Marks Act, there is no reason why the High Court could not direct transfer of the matter to itself, https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 especially where all other connected petitions, including petitions for passing off and cancellation / removal / rectification petitions which were pending before IPAB stood transfered to the High Court consequent to the enactment of the Tribunals Reforms Act, 2021;

c) University Health Network vs. Adiuvo Diagnostics Pvt. Ltd. and others reported in MANU/TN/0015/2024; (Madras High Court) Ratio: When part of cause of action arose within the jurisdiction of the Madras High Court, it will be for the petitioner to choose his forum despite the fact that the patent office is situated at Delhi which is outside the jurisdiction of this Court. Moreover, with the advent of the technology, in the times of quick and instant communication and virtual hearings, the very ethos

relating to forum conveniens and prejudice to the parties have all to be re-calibrated.

(d) Dr.Reddy's Laboratories Ltd. vs. Fast Cure Pharma and Others, Centre Consortium, LLC Vs. Krunal Harjibhai Sardhara and Others. reported in MANU/DE/5890/2023; (Delhi High Court) Ratio: If the dynamic effect of the trademark registration is felt at a place within the jurisdiction of a particular High Court, that High Court https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 has the territorial jurisdiction to entertain an application seeking for rectification of registered trademark;

(e) The Hershey Company vs. Dilip Kumar Bacha and Others, Kohinoor Seed Fields India Pvt. Ltd. Vs. Veda Seed Sciences Pvt. Ltd. and Another, Liberty Footwear Co. Vs. Liberty Industrial Group Pte. Ltd., and Others., reported in MANU/DE/0904/2024. Ratio: A Division Bench of the Delhi High Court did not agree to the view taken by the learned Singe Judge in Dr.Reddy's Laboratories Ltd. vs. Fast Cure Pharma and Others (supra), where the 'dynamic effect' principle was applied and therefore, directed placing of the matters before the Honourable Acting Chief Justice of Delhi High Court for constitution of a Larger Bench for deciding the following questions:

i. Whether the decision of the learned Full Bench in Giridhari Lal Gupta (supra), rendered under the Designs Act, 1911, would be applicable in the context of Trade Marks Act, 1999 as amended by the Tribunal Reforms Act, 2021, for determining jurisdiction of a High Court under Section 57 of the 1999 Act?; ii) Whether the jurisdiction of the High Court under Section 57 of the 1999 Act would be determined on the basis of appropriate office of https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 the trademark registry, which granted the impugned trademark registration?; iii) Whether the expression 'the High Court' can be differently construed, in Sections 47, 57 and 91 of the 1999 Act? 31. It is now informed that a Full Bench has been constituted by the Delhi High Court pursuant to the reference made by the Division Bench of the Delhi Court in The Hershey Company vs. Dilip Kumar Bacha and others case (supra) and the hearing is scheduled to take place sometime in May, 2024. With utmost respect to the Delhi High Court, as a coordinate High Court, this Court independent of the view to be taken by the Full Bench of the Delhi High Court is deciding the issue on hand as to whether this Court is having the territorial jurisdiction to transfer a rectification proceeding from the file of the Trademarks Registry, New Delhi to the file of this Court and hear both the infringement suit which is already pending before this Court and the rectification proceeding together.

32. This Court has analyzed the various principles required for https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 adjudication of this transfer application in the previous paragraphs. From the principles discussed supra, this Court before coming to the conclusion as to whether the transfer application filed by the plaintiffs is maintainable or not, will have to answer the following issues:

a) Is there any statutory bar under the Trade Marks Act for this High Court which has already entertained the trademark infringement suit to transfer the rectification proceeding filed by the plaintiffs prior to the filing of this suit pending on the file of the Trademarks Registry, New Delhi to the file of this Court?; b) Whether the statutory rights of the defendants will be affected in the event of transfer of the rectification proceedings from the file of the Trademarks Registry to the file of this Court?; c) Which is the forum conveniens for deciding the rectification application seeking for rectification of the registered trademark of the defendants as sought for by the plaintiffs? Whether it is the Madras High Court or the Trademarks Registry at New Delhi?; d) Whether the dynamic effect of the registration of the defendants' trademark at New Delhi, Trademarks Registry is felt at Chennai within the jurisdiction of this Court?; https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024

e) When the Registrar of trademarks under Section 125 (2) of the Trade Marks Act is empowered to transfer to the High Court the rectification proceeding by exercising his Suo Motu power, should not the High Court being a Constitutional Court and superior to that of the Trademarks Registry should have inherent powers to transfer the rectification application from the file of the Trademarks Registry to itself?;

f) Whether the restricted meaning to High Court as found in the old Act of 1940 and 1958 can be given to the new Act of 1999 when the legislature has thought it fit to omit defining High Court, whereas under

the old Acts, the High Court was specifically defined. When the Registrar of the Trademarks (Controller General of Patents, Designs and Trademarks) is having the power to withdraw / transfer cases pending before any Officer from any Trademarks Registry in India under Section 4 of the Trade Marks Act, 1999, should not this High Court which is already hearing the infringement suit filed by the plaintiffs be empowered to transfer the rectification application filed by the plaintiffs from the Trademarks Registry at New Delhi to this court?; g) Whether, allowing the rectification application to be https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 adjudicated by the Trademarks Registry at New Delhi will result in conflict of decisions i.e., one rendered by this Court in the infringement

suit filed by the plaintiffs and the other rendered by the Trademarks Registry, New Delhi in the rectification application filed by the plaintiffs, as the decision in one will certainly have a bearing on the other?

h) If the test of reasonableness and fairness is applied, would it not be proper to transfer the rectification application pending on the file of the Trademarks Registry, New Delhi to the file of this Court?

i) Whether in the interest of Justice and for consistency, is it not proper to consolidate both the infringement suit and the rectification application together and render a single decision adjudicating both the claims?

j) Whether the Doctrine of Harmonious Construction can be applied for the purpose of transferring the rectification application from the file of the Trademarks Registry, New Delhi to the file of this Court?

k) Will the defendants be prejudiced, if the rectification proceedings pending on the file of the Trademarks Registry, New Delhi is transfered to this Court and be heard along with the Trademark https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 infringement suit?

33. The old Trade Marks Act, 1958 was amended by the new Trade Marks Act, 1999 which is the law applicable as on date. As seen from the objects and reasons of the Trade Marks Act, 1999, it is seen that there was a need for a comprehensive review of the existing laws, in view of the developments in trading and commercial practices, increasing globalization of trade and industries, the need to encourage investment flows and transfer of technologies, need for simplification and harmonization of trademark management systems and to give effect to important judicial decisions. One of the important needs of the new trademark law was to harmonize the trademark management systems i.e., the removal of inconsistencies.

34. As per the doctrine of Harmonious construction of statutes, a provision of the statute should not be interpreted or construed in isolation but as a whole, so as to remove any inconsistency or repugnancy. The Courts must avoid a clash of contradictory provisions and they must construe the best provision so as to harmonize them. Large https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 scale amendments have been made under the Trade Marks Act, 1999, which is the legislation in force. Under the old Trade Marks Act, 1958, 'High Court' was defined and as per the said definition, 'High Court' means having the jurisdiction under Section 3. As per Section 3 of the old

Act, 1958, the High Court having jurisdiction under the Act shall be the High Court within the limits of whose appellate jurisdiction, the office of the Trademarks Registry is situated. However, under the present trademarks legislation in force viz., the Trade Marks Act, 1999, the legislature thought it fit to omit defining 'High Court'. As seen from the statement of objects and reasons of the Trade Marks Act, 1999, the omission to define 'High Court' may be to get over the traditional approach to jurisdiction which was prevalent earlier on account of the increasing globalization of trade and industry and on account of the massive progress in the Information Technology. With the advent of the internet, the question of territorial jurisdiction in intangible matters like Intellectual Property gets complicated largely on account of the fact that the internet is border less. By the usage of the internet through online applications, seeking for statutory remedy, including seeking for rectification of a registered trademark by applying through a computer https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 system, from any where in India, the legislature may have purposely thought it fit not to define High Court under the Act, 1999 and not to give a restrictive meaning to it.

35. Under the old Act, 1958, the High Court was given a restrictive meaning and only the High Court which had appellate jurisdiction over the Trademarks Registry had powers over any proceeding pending before the concerned Trademarks Registry situated within the jurisdiction of that particular High Court.

36. In the case on hand, the rectification application was filed by the plaintiffs seeking rectification of the defendants' registered trademark prior to the filing of this infringement suit. Under Section 125 (2) of the Trade Marks Act, 1999, the Registrar of Trademarks (Controller General of Patents, Designs and Trademarks) is having suo motu power to transfer the rectification proceeding to the High Court. There has been a deliberate omission to define 'High Court' under the Trade Marks Act, 1999, which is the legislation in force though the old acts viz., the 1940 Act and the 1958 Act had defined 'High Court'. When the Registrar of https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S. (Comm.Div.)No.7 of 2024 the trademarks is having suo motu power to transfer the rectification proceedings to the High Court, as a Constitutional Court, it can be inferred that the High Court is having inherent powers to transfer the rectification proceedings to its file, in order to avoid any inconsistencies in the decision making i.e., one made by the Trademarks Registry and the other by the High Court. A decision rendered in the infringement suit pending on the file of

this Court will certainly have a bearing, when the Trademarks Registry at New Delhi decides the rectification application and vice versa.

37. The intention of the legislature would never have been for two forums dealing with the same subject matter to give two conflicting decisions. When part of cause of action has arisen within the jurisdiction of this Court and the plaintiffs have also filed a trademark infringement suit against the defendants as they are having the principal place of business at Chennai and part of cause of action has also arisen at Chennai, this Court is of the considered view that, when the legislature deliberately thought it fit to omit defining 'High Court' under the present legislation in force viz., Trade Marks Act, 1999, this Court is empowered https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 to entertain this transfer application seeking for transfer of the rectification proceedings pending on the file of the Trademarks Registry, New Delhi to the file of this Court. Even the Registrar of Trademarks (Controller General of Patents, Designs and Trademarks) is having the power to transfer proceeding pending on the file of any of the trademarks registries in India, from one officer to another officer. Therefore, the intention of legislature would not have been to curtail the powers of the High Court to transfer the rectification application in a case where the infringement suit filed by the plaintiff is already pending on its file. The defendants will also not be prejudiced, if the rectification application is transfered to the file of this Court since, the defendants are already before this Court defending the infringement suit filed by the plaintiffs. The defendants' contention that, they loose the statutory right of appeal before the Delhi High Court, is also without basis as the right to file the transfer application is admittedly available to the plaintiffs even before the Delhi High Court as well, as the rectification application is pending before the Trademarks Registry at New Delhi. Even if the Delhi High Court entertains the transfer application, the rectification proceeding pending before the Trademarks Registry, New Delhi will get transfered https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 to the file of the Delhi High Court in which event as well, the defendants will lose the statutory right of appeal.

38. By applying the Rule of Harmonious Construction, that too when there is no statutory bar for this High Court to transfer, it is in the interest of justice to consolidate both the proceedings together viz., the infringement suit as well as the rectification application and adjudicate both of them by a single decision, instead of allowing the Trademarks Registry, New Delhi to proceed with the adjudication of the rectification application separately and parallelly this Court

adjudicating the trademark infringement suit which may end up in both the forums rendering two conflicting decisions, which certainly would not have been the intention of the legislature.

39. The plaintiffs have also pleaded in the plaint that, the defendants have infringed their trademark within the jurisdiction of this Court. The entire evidence pertaining to the infringement is available only within the jurisdiction of this Court. The plaintiffs have also questioned the validity of the defendants' trademark registration, which https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 is an identical trademark to that of the plaintiffs' trademark. They have also challenged the registration of the defendants' trademark, by filing a rectification application under Section 57 of the Trade Marks Act, 1999, prior to the filing of this suit, which is the subject matter of this transfer application.

40. The defendants have also entered appearance in the trademark infringement suit and have filed their counter in the interlocutory applications filed by the plaintiffs.

41. In view of the foregoing reasons, the forum conveniens for the effective adjudication of the disputes is only the Madras High Court. The dynamic effect of registration of the defendants' identical trademark is also felt by the plaintiffs at Chennai, where the 2nd plaintiff is having their principal place of business and the 2nd plaintiff has also pleaded that the infringed products of the defendants under the identical trademark is being sold and marketed within the jurisdiction of this Court by the defendant. When the Registrar of the trademarks is having suo motu power under Section 125 (2) of the Trade Marks Act to transfer https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S. (Comm.Div.)No.7 of 2024 to the High Court the rectification proceeding, this Court being a competent Court, as a part of cause of action has arisen within the jurisdiction of this Court, is certainly empowered to exercise its inherent power to transfer the rectification proceeding pending before the Trademarks Registry, New Delhi to the file of this Court.

42. The Honourable Supreme Court in Shah Newaz Khan and Others Vs. State of Nagaland and Others reported in 2023 SCC Online SC 203 though did not deal with an identical issue but while deciding a transfer application seeking for transfer of the suit from the Court of District Judge at Dimapur, Nagaland to the Court of District Judge, Gauhati, Assam, held that a narrow interpretation of Section 25 of C.P.C. imposing a bar on application under Section 24 for transfer of a suit, appeal or other proceeding by the common Gauhati High Court inter

se the four states in relation to which it exercises jurisdiction should not be given which could place a heavy burden and might test an unsurmountable obstacle for litigants of the far flung areas of the North East, if they were made to approach the Supreme Court for such transfer on the specious ground that the Civil Court to which the same is https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 proposed to be transfered is in a state other than the state in which the suit has been instituted.

43. In that case, the Gauhati High Court rejected the transfer application on the ground that the High Court does not have the power under Section 24 of C.P.C. to transfer a suit from one state to another though both the states are under the supervision of the Gauhati High Court. The Honourable Supreme Court while observing that the "access to justice" has to be real, has observed that interpretation of law that seeks to address the mischiefs that is consistent with the constitution and promotes constitutional objectives and that which responds to the needs of the nation must be adopted. The Honourable Supreme Court also observed that, if "access to justice" has to be real, it becomes the moral responsibility of the Supreme Court, the supreme guardians / protectors of the rights of people guaranteed by the Constitution and the laws, not to construe the substantive part in Section 25 of the Court in a pedantic manner to bring about a situation that would thwart the initiative of making "access to justice" real. By giving such a purposeful interpretation, the Honourable Supreme Court has empowered the https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 Gauhati High Court to exercise transfer jurisdiction under Section 24 of C.P.C. from one High Court to another in so far as the four states which are under their control and supervision. Therefore, by applying the same yard stick and in order to give a harmonious interpretation and to enable the parties to have effective justice without any conflicting decisions, this Court deems it fit to allow this transfer application by transferring the rectification proceedings pending on the file of the Trademark Registry, New Delhi to the file of this Court.

44. The decisions rendered by the Delhi High Court in the case of Giridhari Lal Gupta (supra) and Dr.Reddy's Laboratories Ltd. vs. Fast Cure Pharma and others (supra) which has applied the dynamic effect principle i.e., the effect of the impugned registration is felt within the jurisdiction of this Court, this Court is in agreement with the view taken in those decisions and therefore, is allowing this transfer application as prayed for by the plaintiffs.

45. The decision rendered by a Division Bench of this Court in the case of University Health Network vs. Adiuvo Diagnostics Pvt. Ltd. and https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 others reported in MANU/TN/0015/2024 has also held that irrespective of the location of the patent office, allowed the High Court, where a part of cause of action arose and is having the territorial jurisdiction, to decide a patent infringement suit under the Patents Act.

46. The Delhi High Court in Jumeirah Beach Resort LLC vs. Designarch Infrastructure Pvt. Ltd. and another reported in MANU/DEOR/194894/2022 has also allowed the transfer application by transferring the rectification proceeding from the file of the Trademarks Registry, New Delhi to the file of the Delhi High Court eventhough such a specific power has not been given to the High Court under Section 125 of the Trade Marks Act, 1999. The Delhi High Court, while allowing the transfer application, held that if the Registrar of Trademarks would refer the matter to the High Court, there is no reason why the Delhi High Court could not direct transfer of the matter to itself, especially where all other connected petitions including petitions for passing off and cancellation / removal / rectification petitions which were earlier pending before the IPAB should be transfered to the Delhi High Court with the passage of the Tribunal Reforms Act. In the instant case, the trademark https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 infringement suit filed by the plaintiffs is pending on the file of this Court and the defendants have not filed, till date, any rectification application seeking for rectification of the plaintiffs' registered trademark before the Trademarks Registry, Chennai, where the plaintiffs had obtained trademark registration. Therefore, in the interest of justice and that too when there is no statutory bar for transfer, this Court will have to necessarily allow this transfer application.

47. The learned single judge of the Madras High Court by its decision dated 11.12.2023 in W.P. (IPD)/30/2023 in the case of Asia Match Co. Pvt. Ltd. vs. Deputy Registrar of Trademarks and G.I. and Another, has also held, in situations where a Civil suit is pending, it is appropriate that the Registrar exercises discretionary power under sub- section (2) of Section 125 were acceding to the request for transfer and by the said decision, the learned Single Judge directed the registrar to transfer the rectification petition to the file of this Court.

48. The Division Bench of the Delhi High Court in the case of The Hershey Company vs. Dilip Kumar Bacha and others reported in https://www.mhc.tn.gov.in/judis

A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 MANU/DE/0904/2024 did not agree with the view taken by the learned Single Judge of the Delhi High Court in Dr.Reddy's Laboratories Ltd. vs. Fast Cure Pharma and others (supra), who had applied the dynamic effect principle and referred the matter to a larger bench by framing the following points of reference:

"i) Whether the decision of the learned Full Bench in Giridhari Lal Gupta (supra), rendered under the Designs Act, 1911, would be applicable in the context of Trade Marks Act, 1999 as amended by the Tribunal Reforms Act, 2021, for determining jurisdiction of a High Court under Section 57 of the 1999, Act?; ii) Whether the jurisdiction of the High Court under Section 57 of the 1999, Act would be determined on the basis of appropriate office of the trademark registry, which granted the impugned trademark registration?; iii) Whether the expression 'the High Court' can be differently construed, in Sections 47, 57 and 91 of the 1999, Act?" 49. This Court with utmost respect to the view expressed by the Division Bench of the Delhi High Court however is in agreement with https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 the view expressed by the learned Single Judge of the Delhi High Court in Dr.Reddy's Laboratories Ltd. vs. Fast Cure Pharma and others (supra), who had applied the dynamic effect principle. The Larger Bench constituted to hear the reference made by the Division Bench of the Delhi High Court will also have the benefit of this decision rendered by this Court for the purpose of arriving at a just conclusion.

50. For the foregoing reasons, the issues that arose for consideration in this transfer application are answered in the following manner:

a) There is no statutory bar under the Trade Marks Act, 1999, for entertaining a transfer application to transfer the rectification application pending before the Trademarks Registry at New Delhi, to the file of this Court, when already there is an infringement suit pending on the file of this Court, which suit has been filed by the plaintiffs who are having its principal place of business at Chennai and a part of cause of action has also arisen at Chennai; b) The statutory rights of the defendants will not be affected in the event of transfer of the rectification proceeding from the file of the https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S. (Comm.Div.)No.7 of 2024 Trademarks Registry to the file of this Court; c) The forum conveniens for deciding the rectification application seeking for rectification of the registered trademark of the defendants is only before this Court, as only through a consolidated hearing of the infringement suit and the rectification application, an effective adjudication of the dispute can be rendered as the forum conveniens is only the Madras High Court; d) The dynamic effect of registration of the identical

trademark at New Delhi has an effect at Chennai within the jurisdiction of this Court, where the plaintiffs categorically pleaded that the infringed products are advertised and sold by the defendants. Hence, this Court by applying the 'dynamic effect' principle is empowered to transfer the rectification proceeding pending on the file of the Trademarks Registry, New Delhi to the file of this Court; e) When the Registrar of Trademarks under Section 125 (2) of the Trade Marks Act, 1999, is empowered to suo motu transfer the rectification proceeding to the High Court, the High Court being a Constitutional Court and superior to the Trademarks Registry, is having the inherent power to transfer the rectification application from the file of https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 the Trademarks Registry to the file of this Court. f) The deliberate omission to define 'High Court' under the new Act, 1999, will make it clear that there is no statutory bar for this Court to entertain this transfer application and allow the same, that too when a trademark infringement suit filed by the plaintiffs, is already pending adjudication before this Court. When the Registrar of the Trademarks under Section 4 is empowered to transfer proceedings from one officer to another throughout India, this Court being a Constitutional Court is certainly empowered to exercise its inherent powers to transfer the rectification proceedings pending on the file of the Trademarks Registry, New Delhi to the file of this Court; g) Allowing the rectification application to be adjudicated by the Trademarks Registry at New Delhi may result in conflicting decisions i.e., one rendered by this Court in the infringement suit filed by the plaintiffs and the other rendered by the Trademarks Registry, New Delhi in the rectification application filed by the plaintiffs. Undoubtedly, a decision in one will certainly have a bearing on the other; h) If the test of reasonableness and fairness is applied, it would be proper to transfer the rectification application pending on the file of the https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S. (Comm.Div.)No.7 of 2024 Trademarks Registry, New Delhi to the file of this Court as the forum conveniens is only the Madras High Court. i) The Intellectual Property Division Rules of Madras High Court as well as the Delhi High Court, allows consolidation of proceedings in the interest of justice and for uniformity, it is proper to consolidate both the infringement suit and the rectification application together and render a single decision adjudicating both the claims; j) The Doctrine of harmonious construction has to be necessarily applied and in the interest of justice, the rectification proceedings pending on the file of the Trademarks Registry, New Delhi has to be transfered to the file of this Court; k) The defendants will also not be prejudiced, if the rectification proceedings pending on the file of the Trademarks Registry, New Delhi is transfered to this Court and be heard along with the trademark infringement suit, as the defendants are already here to defend the infringement suit. 51. There cannot be multiplicity of legal proceedings across

different Courts and branches of the Trademarks Registry, creating https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 complexities and the potential for conflicting rules. Therefore, consolidation of all the proceedings involving the very same trademark dispute is necessary for an effective resolution of the trademark dispute between the parties.

52. This application has been filed only for transfer of the rectification proceeding pending before the Trademarks Registry at New Delhi. The Trademarks Registry at New Delhi has not yet adjudicated the rectification application filed by the plaintiffs. Instead of adjudication by the Trademarks Registry, this Court will be adjudicating the rectification application once the rectification application is transfered to the file of this Court. Only after the rectification application is transfered to the file of this Court, Section 124 (1) (i) of the Trade Marks Act, 1999, which the defendants rely upon gets attracted as this Court is not deciding the infringement suit for the present. Therefore, the argument that the suit will have to be stayed by applying the provisions of Section 124 (1) (i) is rejected by this Court.

53. In so far as the reliance made by the defendants to Rule 11 (4) https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 of the Madras High Court IP Division Rules is concerned, that any order of the High Court in IPR cases or proceedings involving any proceedings before the IPO shall be served upon the IPO concerned, the IPO concerned in the instant case is the Trademarks Registry at New Delhi as admittedly, the rectification proceedings are pending only before the Trademarks Registry at New Delhi and the IPD Rules also does not specify a particular Trademarks Registry, the reference to IPO concerned in the IPD Rules is only the Trademark Registry. Therefore, this Court is having the power to transfer the rectification proceedings from the file of the Trademarks Registry, New Delhi to the file of this Court.

54. For the foregoing reasons, this application seeking for transfer of the rectification proceedings from the file of the Trademarks Registry, New Delhi to the file of this Court has to be allowed as prayed for. Accordingly, this application is allowed by directing the Trademarks Registry, New Delhi to transfer all records pertaining to the cancellation petition No.280766 instituted by the applicants / plaintiffs against the defendants' registration for the mark "NIPPON PAINTS" under No.1695808 to the Registry of this Court within a period of four weeks https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 from the date of receipt of a copy of this order.

Registry is directed to communicate this order to the Trade Marks Registry, New Delhi for the effective implementation of this order. No Costs. Post the matter for reporting compliance on 30.04.2024.

21.03.2024 Index: Yes/ No Speaking order / Non speaking order Neutral citation : Yes / No vga/ab https://www.mhc.tn.gov.in/judis A.No.556 of 2024 in C.S. (Comm.Div.)No.7 of 2024 ABDUL QUDDHOSE, J.

vga/ab pre-delivery order in A.No.556 of 2024 in C.S.(Comm.Div.)No.7 of 2024 21.03.2024 https://www.mhc.tn.gov.in/judisDelhi High Court Colgate Palmolive Company & Anr. vs John Does & Anr. on 26 September, 2022 Author: Prathiba M. Singh Bench: Prathiba M. Singh $~9

- IN THE HIGH COURT OF DELHI AT NEW DELHI
  Date of Decision: 26th September, 2022

- CS(COMM) 612/2021 & I.A. 15704/2021, 15708/2021
  COLGATE PALMOLIVE COMPANY & ANR. ..... Plaintiffs
  Through: Mr. Pravin Anand, Mr. Saif Khan, Mr. Achuthan Sreekumar and Mr. Rohil Bansal, Advocates. (M:9999756265)
  versus

  JOHN DOES & ANR. ..... Defendants
  Through: Mr. Anurag Ojha, Sr. Standing counsel and Mr. Deepak Somani, Advocates for D-2. (M:8368202116)
  CORAM:
  JUSTICE PRATHIBA M. SINGH

Prathiba M. Singh, J.(Oral)

1. This hearing has been done through hybrid mode.

2. The Plaintiffs- Colgate Palmolive Company, USA, and Colgate Palmolive (India) Ltd. have filed the present suit for permanent injunction, restraining infringement of trademark, copyright, trade dress etc. against unknown Defendants, described as John Doe(s), as also the Central Board of Indirect

Taxes & Customs (CBITC)/Defendant No. 2. The Plaintiffs are the manufacturers and sellers of oral health care, personal care, household surface care and fabric care products including toothpaste under the well- known mark 'COLGATE', which was adopted in 1806. 'COLGATE' is one of the leading products in the oral healthcare segment, across the world, as also, in India. It is one of the Fortune 500 companies and its products are available in over 4 million retail outlets in the world. The Plaintiffs have won several awards since they entered into business in India in 1937, and currently have an employee strength of over 32,000. The plaintiffs have several registered 'COLGATE' marks both in black and white, in logo form, coloured label, etc., which have been set out hereinbelow:

| Sl. No. | TRADEMARK | REG. NOS. | CLASS |
|---|---|---|---|
| | FRESH | | |
| | PROTECTION | | |
| | TOTAL | | |
| | DUOACTION | | |
| | ACTION | | |

3. The 'COLGATE' name, packaging and trade dress, are distinctive of the Plaintiffs, and the use of the mark, name 'COLGATE', trade dress, or any other deceptively/confusingly similar mark or trade dress, would be violative of the Plaintiff's rights, and will also cause confusion in the marketplace among consumers.

4. The present suit has also been filed against the identified Defendant No. 2 which controls customs and ports across India. The Defendant No. 2 has been impleaded in order seeking restraint orders against a particular container which the Plaintiff apprehended as consisting of infringing products bearing marks which are deceptively/ confusingly similar to the Plaintiffs' mark.

5. The grievance of the Plaintiffs is that, in October, 2021, a container bearing number ECNU4006477, containing approximately 3,600 pieces of infringing toothpaste, bearing the mark/name 'CONAETE COOL-ICE' had been shipped from Yiwu City to Ningbo Port (China), and finally the container was to be discharged at Mundra Port, India. The details of the same are set out hereinbelow:

| | |
|---|---|
| Container No. | ECNU4006477 |
| Date of Loading | Oct. 23,2021 |
| Date of Departure | Oct. 24, 2021 |
| Vessel/Voyage | SINGAPORE BRIDGE/2106 |
| Place of Discharge | Mundra, India |
| ET A at place of Discharge | Nov. 10, 2021 |

6. The Plaintiffs tracked the said container on the basis of inputs received from its Chinese counterparts and the tracking details of the container have also been placed on record. Photographs of the cartons containing the toothpastes, the container and the truck carrying the container with the impugned products, have also been extracted in the plaint. It is averred that the products in the said container were named as 'CONAETE COOL-ICE', and are nearly identical or confusingly/deceptively similar to the Plaintiffs' product - 'COLGATE MAX FRESH', as also the carton packaging.

7. The Plaintiffs found that the Defendant No. 1's entire packaging was an imitation of the Plaintiffs' packaging. The distinctive colour scheme, blue and red colour combination with a white cap, bold font, as also the placement of the various features, has been copied. The comparative table of the Plaintiff and Defendant No. 1's product, is set out below:

8. Mr. Anand, ld. Counsel appearing for the Plaintiffs, relies upon the judgment of the Supreme Court in Gramophone Company Of India Ltd. vs Birendra Bahadur Pandey & Ors AIR 1984 667, to argue that importation of infringing goods, even

for the purpose of transit, would be violative of the Plaintiff's rights. Reliance is placed on the following observations in the said decision:

"32. We have, therefore, no hesitation in coming to the conclusion that the word "import" in Sections 51 and 53 of the Copyright Act means "bringing into India from outside India", that it is not limited to importation for commerce only, but includes importation for transit across the country. Our interpretation, far from being inconsistent with any principle of international law, is entirely in accord with International Conventions and the Treaties between India and Nepal. And, that we think is as it should be" 9. Accordingly, the reliefs set out in the prayer, and sought against Defendant No. 1, are for permanent injunction, restraining manufacture, sale, export, import of the infringing goods, delivery up, etc. The reliefs sought against Defendant No. 2, are in the following terms:

"An order directing the Defendant No. 2 to immediately freeze the contents of the Container No. ECNU4006477 coming from Ningbo, China via the vessel called SINGAPORE BRIDGE /2106 and to divulge the details of the goods contained therein, the details of the importer, the value and number of the goods, the documents submitted by the importer etc. to the Plaintiffs;" 10. Vide order dated 29th November, 2021, summons were issued to Defendant No. 2. Ld. Counsel for Defendant No. 2, Mr. Ojha, had sought time to assess the status of the Container at Mundra Port, Gujarat. The said order dated 29th November, 2021, reads as under:

"7. Mr. Anurag Ojha, Advocate accepts summons in the suit and notice in the applications on behalf of the defendant No.2. After some hearing, he seeks time to verify the position from the Mundra Port, Kachchh, Gujarat in view of the letter dated 20th October, 2021 of the Superintendent, Special Intelligence & Investigation Branch (S.I.I.E.), Custom House, Mundra, Kachchh, Gujarat at page 58 of the plaintiffs' documents." 11. On 30th November, 2022, i.e., the next date of hearing, ld. Counsel for Defendant No. 2, had assured that the customs department would not allow the import of the impugned goods found in the impugned container no. ECNU4006477, into India. The said statement was recorded in the following terms:

"5. Mr. Anurag Ojha, learned counsel for the defendant No.2 submits that the Customs Authorities shall not allow the import of the goods in Container No.ECNU4006477 coming from Ningbo, China via the Vessel called Singapore Bridge/2106 from Mundra Port, Kachchh, Gujarat. This assurance is noted and accepted." 12. Since then, it is stated that the Defendant No. 2 has filed the written statement, which is not yet on record due to non-filing of admission/denial affidavit. The Registry is directed to place the written statement on record. However, it is submitted by ld. Counsel for the Defendant No. 2 today, that the import of the

contents of the said container into India, has not been permitted by the custom authorities.

13. At present, a copy of the written statement has been handed over to the Court by the ld. Counsel for Defendant No. 2. The same has been filed by Mr. Mukesh Kumar Karela, from the Deputy Commissioner's Office of the Principal Commissioner Customs, Mundra, Gujarat. In the written statement, it is averred that the import of the impugned goods has not been permitted by the Customs Authorities into India. The relevant portion of the written statement has been copied hereinbelow:

"9. That it is further submitted that on 29.11.2021 this Hon'ble Court was apprised of the fact, based on plaintiff's documents itself that alleged infringing goods are not scheduled for any import at Mundra Customs 4/4/2021 and request was made to take instruction and that on 30.11.2021 while the matter was taken on board, it was argued by the plaintiff that injunctive relief has necessitated requiring answering defendant's aid to intercept the goods there is a possibility of infringing goods being unloaded at that Mundra Port and flooding the Indian Markets. In that connection, upon instructions, it was submitted that Customs authorities will not allow the import of goods in the subject container. The said assurance is complied with and no import from subject container has so far taken place from Mundra Customs." 14. Accordingly, it is submitted by ld. Counsel for Defendant No. 2, that as recorded in the previous order dated 30th November, 2022, and as also stated in the written statement extracted above, the import of the infringing products into India has not been permitted. Mr. Anand submits that even in the future, such imports of infringing products ought not to be permitted.

15. Heard the ld. Counsels and perused the record. The import of goods which violate Intellectual Property Rights is governed by the Intellectual Property Rights (Imported Goods) Enforcement Rules, 2007 (hereinafter "IPR Rules"). As per the said rules, import of any counterfeit products or products which violate IP rights of trademark owners, copyright owners, etc., is not permissible. The customs authorities have to, upon complaint received from any IP owner, or on its own accord, form an opinion qua the infringement of the IP rights. Upon forming an opinion, the import or sale of products which violate rights of IP owners including trademark, copyright, etc., would have to be stopped by the customs authorities. Section 7 of the IPR Rules deals with the suspension of the clearance of imported goods, and has been copied hereinbelow:

16. Suspension of Clearance of Imported Goods: (1)(a) Where the Deputy Commissioner of Customs or Assistant Commissioner of Customs, as the case

may be, based on the notice given by the right holder has a reason to believe that the imported goods are suspected to be goods infringing intellectual property rights, he shall suspend the clearance of the goods. (b)The Deputy Commissioner of Customs or Assistant Commissioner of Customs , as the case may be, may, on his own initiative, suspend the clearance of goods , in respect of which he has prima-facie evidence or reasonable grounds to believe that the imported goods are goods infringing intellectual property rights. (2) The Deputy Commissioner of Customs or Assistant Commissioner of Customs , as the case may be, shall immediately inform the importer and the right holder or their respective authorised representatives through a letter issued by speed post or through electronic mode of the suspension of clearance of the goods and shall state the reasons for such suspension

17. The customs authorities in this case, have already categorically made a statement that the subject container consisting of the infringing products has not been allowed to be imported into the country. Mr. Ojha, ld. Counsel, further submits that the products were in transit and were headed to a European country.

18. The import having been stopped by the customs authorities, ld. counsel for the Plaintiffs does not press for any further relief in this matter. However, if there are any details available with the Customs Department in respect of importer, seller or manufacturer, as per the bill of lading or any other documents, the same may be intimated to the Plaintiffs upon request.

This has also been provided for in Section 9 of the IPR Rules, extracted hereinbelow:

"9. Supply of information to the right holder. - At the request of the right holder, the Deputy Commissioner of Customs or Assistant Commissioner of Customs, as the case may be, shall inform the name and address of the importer and without prejudice to the protection of confidential information the Deputy Commissioner of Customs or Assistant Commissioner of Customs, as the case may be, may also provide additional relevant information relating to the consignment which has been suspended from clearance." 18. The Defendant No. 2 having not permitted imports of the impugned products, paragraph 5 of the prayer clause stands satisfied. None of the goods bearing the impugned mark in the said container no. ECNU4006477, have been allowed to enter India. Accordingly, the injunction is also not required to be passed in view of the statement made in the written statement by the customs authorities. The Plaintiffs are free to take action in accordance with law, either in India, or in other foreign jurisdictions.

19. Binding the customs authorities to comply with the enforcement of IPR Rules in the future, the present suit is disposed of in these terms. No further orders are called for. All pending applications are disposed of.

PRATHIBA M. SINGH, J.

SEPTEMBER 26, 2022 dj/ssBombay High Court Mohtimbas Engineering Pvt.Ltd. And Anr vs Machine N Tools And 4 Ors on 28 January, 2020 Author: S.C. Gupte Bench: S.C. Gupte sg 1/9 nmcd2198-19.doc

```
IN THE HIGH COURT OF JUDICATURE AT BOMBAY

        ORDINARY ORIGINAL CIVIL JURISDICTION

         NOTICE OF MOTION NO.2198 OF 2019
                    IN
        COMMERCIAL IP SUIT NO.1197 OF 2019
                   WITH
          LEAVE PETITION NO.139 OF 2019
                    IN
        COMMERCIAL IP SUIT NO.1197 OF 2019
```

Mohtimbas Engineering Pvt. Ltd. And Anr. ...Plaintiffs vs. Machine N Tools And 4 Ors. ...Defendants .....

Mr. Rashmin Khandekar, a/w. Ms. Janhvi Chadha, i/b. Krishna & Saurastri Associates LLP, for the Plaintiffs/Applicants.

Mr. Aniruddha Walsangkar, a/w. Mr. Prafulla Paranjape and Ms. Saloni Sulakhe, for the Defendants. .....

```
                CORAM : S.C. GUPTE, J.
```

DATE: 28 JANUARY 2020 (Oral Judgement):

. Heard learned Counsel for the parties.

2. This notice of motion is taken out in a Commercial IP Suit, which seeks to protect intellectual property rights in a registered trademark. The suit complains of infringement of a registered trademark as also passing off of goods inter alia

by means of copying the Plaintiffs' trade dress. Since the Defendants carry on business outside sg 2/9 nmcd2198-19.doc the local limits of the jurisdiction of this Court and the Plaintiffs propose to combine the cause of action of passing off with that of infringement, the Plaintiffs have sought leave under Clause XIV of the Letters Patent by Leave Petition No.139 of 2019.

3. There is no serious objection to such leave. The leave petition is, accordingly, allowed.

4. The Plaintiffs' case in the suit is that Plaintiff No.1, incorporated in the year 1988, carries on business as stockist, importer and distributor of engineering tools and equipment. It sells inter alia carbide saw blades, diamond circular saw blades, saw holders, etc. of various sizes and shapes under the mark KYK and in a distinctive packaging material or trade dress. Plaintiff No.1 claims to be a registered proprietor of the trademark KYK in India. The mark is a label mark designated as . Plaintiff No.2 is a company incorporated under the laws of Taiwan. It carries on business as a manufacturer and marketer of similar goods. Its goods are sold inter alia under the trademark KAMIYA. It is the Plaintiffs' case that one Garywell Limited, a company incorporated under the laws of Hong Kong, and Plaintiff No.2, were under common control. Garywell owned various trademarks used by Plaintiff No.2. Garywell was a proprietor of the mark KYK in China. In or around 1993, Garywell started using the trademark KYK in India. Garywell and its group company, i.e. Plaintiff No.2, were distributing or marketing various cutting tools under the trademark KYK with packaging material or trade dress having a distinctive original artistic sg 3/9 nmcd2198-19.doc work, design, layout, get up and colour scheme essentially in two colours, namely, blue and white, and also with the mark KAMIYA printed all over and the mark KYK appearing at the top. Garywell's application for registration, made on 24 July 2003 (in respect of the mark KYK used in India since 1993), culminated into registration of the trademark KYK in its name. The registration certificate was issued on 24 January 2007. By a deed of assignment dated 25 April 2014, Garywell assigned all its right, title and interest in the mark KYK along with its goodwill in India to Plaintiff No.1. The Plaintiffs rely on the deed of assignment executed between the parties in this behalf. Since this assignment, Plaintiff No.1 has become the present proprietor of the mark KYK in relation to saw, carbide saw blades, saw blades (parts of hand tools), saw holders, drills, drill holders (hand tools) cutters, cutting tools (hand tools) (along with the goodwill subsisting therein in India). Considering that the registration of the mark KYK in class 8, in the name of Garywell, had inadvertently lapsed due to non-payment of renewal fees, Plaintiff No.1, who had by then become an

assignee of the trademark, filed a fresh application for registration of the mark KYK on 7 March 2015 in class 8 in India. The application has since been granted and the mark is registered in the name of Plaintiff No.1. Plaintiff No.1, thus, claims to be the registered proprietor of the mark KYK in the class and in respect of the goods referred to above, claiming its user since 1993. Thus, from the year 1993, Plaintiff Nos. 1 and 2 have been using the trademark KYK and marketing their goods in the distinctive trade dress or packaging material referred to above, first as permissible users from its original proprietor Garywell, and later, i.e. since 2014, through registered proprietorship of the mark KYK (Plaintiff No.1, as the sg 4/9 nmcd2198-19.doc proprietor and Plaintiff No.2, as its licensee).

5. The grievance of the Plaintiffs in the present suit is that, in or around October 2015, Plaintiff No.1 came across an identical brand KYK, in connection with carbide tipped saw blades sold in an identical and/or deceptively similar packaging material or trade dress as that of the Plaintiffs and bearing the marks KAMIYA and KYK printed in an identical manner thereon. The Plaintiffs filed a complaint in this behalf before the concerned police station, in whose jurisdiction the goods were found. The police, thereupon, conducted an investigation and found counterfeit goods. A raid was, thereupon, conducted on the Defendants' premises and products bearing the impugned marks and in the impugned packaging/trade dress were recovered from the premises. Upon the matter being further investigated, a charge-sheet was filed against the present Defendants. Criminal Case No.2623 of 2016 has been pending against the Defendants in pursuance of that charge-sheet before the Judicial Magistrate, First Class, Pune. During the pendency of this case, it is claimed that the Defendants even approached Plaintiff No.1 to settle the matter. It is the case of the Plaintiffs that in February 2018, Plaintiff No.1 was served with a notice from the Trademarks Registry informing it about the notice of opposition of Defendant No.1 herein to the Plaintiffs' application for registration of the mark KYK, which was pending before the Registry at that stage. Plaintiff No.1 filed his counter-statement to this notice. Defendant No.1, thereafter, did not file any evidence in support of its opposition and, in course of time, the mark KYK came to be registered in the name of Plaintiff No.1. In the course of the opposition proceedings, the Plaintiffs learnt that Defendant sg 5/9 nmcd2198-19.doc No.1 had applied for registration of the mark KYK in classes 7 and 8 by fraudulently claiming to be the proprietor of the mark KYK in India. The Plaintiffs, thereupon, opposed the application by filing a notice of opposition. Defendant No.1, thereupon, filed a counter-statement in support of its application, whereupon, the parties filed their respective evidence. It appears that during the pendency

of the proceedings, Defendant No.1 has abandoned its application for registration in class 7 and its other application in class 8 is pending consideration before the Trademarks Registry.

6. On these facts, the Plaintiffs have approached this Court alleging infringement of their registered trademark and also passing off of goods by the Defendants.

7. The Defendants oppose the suit and the notice of motion, by filing their written statement in the Commercial IP Suit and an affidavit in reply to the notice of motion. In his reply to the Plaintiffs' notice of motion, learned Counsel for the Defendants raises only one contention. It is submitted that the original registration of Garywell of the trademark KYK had expired on 24 July 2013. It is submitted that the registered proprietor, not having renewed its registration, there is a deemed abandonment of the trademark. It is submitted that the trademark had, thereupon, fallen in public domain and the Defendants were well within their rights to adopt the trademark and market their goods under it.

8. The submission, of course, does not answer the case of passing off. There is no indication why the particular trade dress or sg 6/9 nmcd2198-19.doc packaging material used by the Plaintiffs with their distinctive artistic work, design, layout, get up and colour scheme is adopted by the Defendants for marketing their goods. The attempt is clearly suggestive of an intent to trade on the reputation and goodwill of the Plaintiffs. But be that as it may, it is no answer even to a case of infringement. Gaywell may have ceased to be a registered proprietor of the trademark KYK on 24 July 2013, but it does not cease to be a proprietor of the trademark KYK. As a proprietor, it has assigned the trademark, together with the goodwill, to Plaintiff No.1, who, thereafter, applied for registration of the trademark and even got such registration. It is the Plaintiffs' case that Plaintiff No.1 is the registered proprietor of the mark KYK and Plaintiff No.2 is the former's licensee, both of whom seeking to protect their intellectual property on the basis of such registration. It is no answer to such a case that the assignor of the Plaintiffs (Garywell) is deemed to have abandoned the trademark allowing thereby the trademark to fall into public domain.

9. Learned Counsel for the Defendants relies on a decision of Delhi High Court in the case of Indian Association of Thermometry vs. Hicks Thermometers India (Ltd.) 1. Relying on this decision, it is submitted that a trademark, upon its abandonment by a registered proprietor, can be used by another trader as and by way of a new acquisition and the assignee of the original registered proprietor cannot claim any protection as against the use of the trademark by such rival trader. The argument is merely required to be stated to be rejected. In

Hicks Thermometers India (Ltd.), the trademark "Hicks", which was 1 1981 SCC OnLine Del 196 : (1981) 20 DLT 246 sg 7/9 nmcd2198-19.doc registered in class 9 in respect of thermometers and similar scientific instruments, was in the name of one M.F. Stanley and Co. Ltd. U.K. This company was a wholly owned subsidiary of Stanley & Co., the original proprietor of the trademark "Hicks". By an agreement between Hicks Thermometry India Ltd., the respondent before the Delhi High Court, and Stanley & Co., the respondent was permitted to register itself as a sole registered user of the trademark "Hicks" and, accordingly, it was registered as a sole user of the trademark. The registered user's agreement came to an end on 5 May 1971. The trademark continued to be on the trademark register till about 4 February 1972. The respondent-company thereafter wrote to Stanley & Co. for renewal of the registration of the trademark but that was not done. On 1 March 1973, the respondent-company applied to the Trademarks Registry for registration of the trademark "Hicks" in its own name. Before doing so, it informed Stanley & Co. of its intention to do so. There was no response from Stanley & Co. The court noted that this was probably so, because by this time, Stanley & Co. had been wound up. The registration of the trademark at the instance of the respondent was not opposed by successors of Stanley & Co. but by the appellant, Indian Association of Thermometry. The opposition was on the ground that the alleged proprietorship and use of the trademark "Hicks" by the respondent, who was merely its registered user, was likely to cause confusion and deception. The objection of the association was not countenanced by the Trademarks Registry, who granted registration in favour of the respondent. The challenge before the Delhi High Court arose out of this rejection of opposition. Delhi High Court did not find fault with the order of the Assistant Registrar rejecting the objections of the sg 8/9 nmcd2198-19.doc association. The court noted that the Assistant Registrar had given his decision judicially and judiciously; there was distinctiveness about the trademark; the respondent had established its reputation sufficient for the new acquisition claimed in respect of the abandoned trademark; and that there was, accordingly, no confusion or deception likely to be caused by reason of registration of the trademark in the name of the respondent and, accordingly, the application was liable to be granted. These facts are wholly distinguishable from the facts of our case. The respondent in that case had entered into a registered user agreement with the original registered proprietor, Stanley & Co. After the registration expired, it continued to use the trademark. It applied to the registered proprietor for renewal of the registration and when the registered proprietor did not respond, it applied for registration in its own name, giving notice to the registered

proprietor that it would do so. The registered proprietor did not respond presumably because by then it was already would up. It is in these circumstances that the court treated the original trademark as having been abandoned by its registered proprietor and acquired thereupon by the respondent, who was originally a registered user of the trademark. It does not take an elaborate argument to note that these facts are wholly different and unmistakably distinguishable from the facts of our case. In our case, it is a third party, who is not in any way connected with the use of the registered trademark, who is opposing the assignee of the trademark claiming under the original proprietor, and after having obtained registration of the trademark as such assignee. If at all, the shoe is here on the other foot.

sg 9/9 nmcd2198-19.doc

10. As we have noted above, in addition to the case of infringement, as discussed above, there is a clear case of passing off here. The rival goods, which are exactly identical, are sold by the Defendants in an exactly same packaging material or trade dress; it has the same artistic work; the same design, the same layout, get up and also the same colour scheme. In other words, it is not just a case of passing off of one's goods as the goods of the other but in fact dealing in counterfeit goods.

11. In the premises, the Plaintiffs have made out a clear prima facie case and deserve an interim protection. Notice of motion is, accordingly, made absolute in terms of prayer clauses (a) and (b).

(S.C.GUPTE, J.)

Smita Smita Gonsalves

Gonsalves Date: 2020.02.05 10:39:32 +0530 publishing house created a special dedicated job related website, totaljobs.com. There were several versions of this totaljobs website which contained the word "Reed". The logos containing the word "Reed" also appeared at the bottom of the pages, as banner advertisements. Therefore, they were accused of constituting passing off and infringement of the registered trademark. The Court of first instance found both infringement and passing off to have been established. When the matter was taken on appeal on limited issues, the Court of Appeals (Civil Division), London, pointed out that search engines have elaborate indexing systems, which can take note of visible matter in a website as well as invisible matter, called as metatags. Therefore, whenever a search

is conducted using a word in a metatag, the search results would include that site along with all other sites which use that matter, irrespective of whether the results have anything to do with what one was actually searching for. After pointing this out, the Court of Appeal held that the appearance of the name "Reed" or "Reed jobs" in a banner advertisement by itself may not amount to infringement within the meaning of Article 5.1(b) of Trademarks Directive (89/104). For holding so, the Court gave the following reasons:-

"The web-using member of the public knows that all sorts of banners appear when he or she does a search and they are or may be triggered by something in the search. He or she also knows that searches produce fuzzy results results with much rubbish thrown in. The idea that a search under the name Reed would make anyone think there was a trade connection between a totaljobs banner making no reference to the word "Reed" and Reed Employment fanciful. No likelihood of confusion was established. That is not to say, of course, that if anyone actually clicked through (and few did) and found an infringing use, there could not be infringement. Whether there was or not would depend solely on the site content, not the banner. If this had been an Art.5.1(a) case then the position might have been different. For then there would have been no requirement to prove a likelihood of confusion. The question would appear to turn on whether the use of the word "Reed" by Yahoo at the instance of RBI properly amounted to a "use in the course of trade" as to which, as I say, I reserve my opinion. It may be that an invisible use of this sort is not use at all for the purposes of this trade mark legislation the computers who "read" sets of letters merely "look for" patterns of 0s and 1s there is no meaning being conveyed to anyone no "sign". I can conveniently deal with passing off here too. The Judge held that there was passing off by substitution. I cannot agree. Passing off by substitution is where a trader having accepted an order for brand X supplies brand Y in such circumstances that the customer is unlikelly to notice the substitution and is thus misled, see e.g., Lever Bros vs. Mabro (1912) 29 RPC 225. That is a hundred miles from a consumer conducting a search under the name Reed and finding a banner which on its face has no connection with his search term. Again, if he clicks through and finds misleading material on the site, there could be passing off but that would be as result of what is on the site, not the Yahoo use."

68. In SOCIETE DES HOTELS MERIDIEN vs. SARL GOOGLE FRANCE {No.R.G.:04/03772 Minute 2004/3190}, the plaintiff sought a direction to Google France to delete from its generator of keywords accessible on its internet site, any word or expression reproducing in servile or quasi servile manner, the brand names "Meridien" and "Le Meridien". The plaintiff also sought to prohibit Google France

from displaying the advertisements of companies offering products and services protected under Class 42 by the brand names "Meridien" and "Le Meridien". On the application for interim relief, the Crown Court of Nanterre (France) found that when search queries were made with the combination of the words "Meridien" and "Le Meridien", on the site of the search engine, advertising links for the competing hotel services were also displayed along with the search results. The Court also found that the list of keywords suggested by the adwords system of the search engine, comprised of the words that were the well known brands of the plaintiff within the meaning of Article L.715-3 of the Intellectual Property Code. Despite a denial by the search engine, the Court found that the search engine had an active role in the choices made by the advertiser, since there was a suggestion of additional keywords, in the "suggestion tools" provided by the search engine. The suggestion tool encouraged advertisers to consider replacing the generic keywords by more specific keywords presented by them, so as to increase their rate of clicks. In view of the inducement so made by the search engine, the Court rejected the protection claimed by the search engine under the guarantee limitation clause, fixing total responsibility upon the advertiser for the choice of the keywords, as against third party claims.

69. In GOOGLE INC. vs. AMERICAN BLIND & WALLPAPER FACTORY, INC. {5:03-cv-05340-JF}, Google filed an action for a declaratory relief seeking a judicial determination that its adwords advertising program did not infringe American Blind's Trademarks. Initially, American Blind brought a motion to dismiss the complaint of Google, unsuccessfully. Later, American Blind not only answered Google's complaint but also made counter claims against Google as well as third party claims against several other search engines such as Ask Jeeves, Earthlink, AOL, Netscape and Compuserve, for trademark infringement and dilution, false representation, injury to business reputation, unfair competition and tortious interference with prospective business advantage. The defendants to the counter claim (Google and others) brought motions to dismiss American Blind's counter claims and third party claims. By an order dated 30.3.2005, the United States District Court for the Northern District of California, San Jose Division, allowed the motion only in so far as American Blind's claim of tortious interference with prospective business advantage, but disallowed the motion as to the other claims made by American Blind. It was found by the Court in that case that through adwords, Google had sold to American Blind's competitors, certain keywords, comprised in whole or in part, of the American Blind's marks. Moreover, through its adwords keyword suggestion feature, Google was found to have actively and deliberately encouraged American Blind's competitors to purchase as keywords, American Blind's marks as well as every conceivable

iteration of those marks. Two things were brought to the notice of the Court in that case viz., (i) that Google has the technological capacity to block the purchase of keywords and (ii) that as a matter of fact, Google operated a policy until 27.1.2004 which enabled it to exercise its discretion to block the purchase of certain keywords, once it was advised that the keyword purchased by a company was actually the trademark of another company. The District Court followed the decision of the Ninth Circuit in Playboy Enterprises Inc. However, the Court cautioned that its order should be understood only as allowing American Blind's counter claims and third party claims to proceed beyond the motion-to-dismiss stage. The Court also held that the purchase of trademarks as keywords for a website and the insertion of the trademarks as metatags in the code of a website are sufficiently analogous, as they are employed as means of having links to that website appearing on a search-results page. Therefore, the Court held that American Blind's allegation of contributory infringement, whereby a person intentionally induces a third party to infringe the plaintiff's mark, cannot be rejected without trial.

70. In METRO-GOLDWYN-MAYER STUDIOS INC. vs. GROKSTER, LTD {545 US 2005-1}, MGM Studios sued the companies which distributed free software that allowed computer users to share electronic files through peer-to-peer (P2P) networks, on the ground that it enabled the recipients of such software to share copyrighted music and video files unauthorisedly, which amounted to infringement. Though the said case involved issues relating to copyrights, I am tempted to make a reference to it in view of certain principles of law evolved by the U.S. Supreme court.

71. In that case, though the District Court acknowledged that there was infringement of MGM's copyright, the Court allowed the motion of the respondents for summary judgment and the Ninth Circuit affirmed it. The decisions of the trial Court and the lower Appellate Court were based upon the earlier decision of the Supreme Court of the United States in Sony Corporation of America vs. Universal City Studios Inc.{464 US 517}.

72. Reversing the summary judgment in favour of the respondents and remanding the matter for trial, the Supreme Court of the United States held that "one who distributes a device with the object of promoting its use to infringe copyright, as shown by clear expression or other affirmative steps taken to foster infringement, going beyond mere distribution with knowledge of third-party action, and is liable for the resulting acts of infringement by third parties using the device, regardless of the device's lawful uses".

73. The Court distinguished the decision in Sony, on the basis of patent law's traditional staple article of commerce doctrine, which absolved the equivocal conduct of selling an item with lawful and unlawful uses and limited liability to instances of more acute fault. The Court held that when a widely shared service or product is used to commit infringement, it may be impossible to enforce rights in the protected work effectively against all direct infringers, the only practical alternative being to go against the distributor of the copying device for secondary liability on a theory of contributory or vicarious infringement. The Court also pointed out that contributory infringement arises when a direct infringement is induced or encouraged intentionally. A vicarious infringement arises by profiting from direct infringement while declining to exercise a right to stop or limit it.

74. Pointing out that the rule on inducement of infringement in early cases is no different today, the Court held that evidence of active steps taken to encourage direct infringement such as advertising an infringing use or instructing how to engage in an infringing use, show an affirmative intent that the product be used to infringe and a showing that infringement was encouraged, overcomes the law's reluctance to find liability when a defendant nearly sells a commercial product suitable for some commercial use.

75. In 1-800 CONTACTS, INC. vs. WHENU.COM, INC. {414 F.3d 400 (2005)}, the dispute related to pop-up ads of competitors that were made by the defendant to appear on the desk top of the computer users, whenever the computer user accessed the plaintiff's website. The plaintiff in that case was 1-800 Contacts Inc., which was engaged in the business of distributing and selling contact lenses and related products by mail, telephone and internet. They had obtained registration of a trademark in the service mark "WE DELIVER.YOU SAVE". They had also applied for registration of the service mark "1-800 CONTACTS". The defendant WhenU.com, Inc., was an internet marketing company that uses a software called "SaveNow" to monitor a computer user's internet activity in order to provide the computer user with advertising in the form of pop-up ads that is relevant to that activity. The grievance of the plaintiff was that the defendant WhenU was infringing their trademarks in violation of the Lanham Act by causing pop-up ads of the plaintiff's competitors, to appear on the screen of the computer user, whenever the website of the plaintiff was accessed. The District Court granted a preliminary injunction in favour of the plaintiff and the defendant filed an appeal to the Second Circuit. Reversing the decision of the District Court, the Court of Appeals, Second Circuit held that the defendant WhenU cannot be said to "use" the plaintiff's trademarks within the meaning of

the Lanham Act, under two situations viz., (i) when it includes 1-800's website address, which is almost identical to 1-800's trademark, in an unpublished directory of terms that trigger delivery of WhenU's contextually relevant advertisements to computer users; or (ii) when it causes separate, branded pop-up ads to appear on a computer screen either above, below or along the bottom edge of the 1-800 website window.

76. For holding so, the Second Circuit reasoned that "a company's internal utilization of a trademark, in a way that does not communicate it to the public, is analogous to a individual's private thoughts about a trademark. Such conduct simply does not violate the Lanham Act, which is concerned with the use of trademarks in connection with the sale of goods or services in a manner likely to lead to consumer confusion as to the source of such goods or services. A fortiori, a defendant who does not sell, but merely uses internally within his own company, the trademarked product of another, is not a trademark infringer or unfair competitor by virtue of such use.

77. In EDINA REALTY, INC. vs. THE MLSONLINE.COM {0:04-cv-04371-JRT-FLN}, the plaintiff was the largest real estate brokerage firm. The defendant was also a full service real estate brokerage firm, directly competing with the plaintiff. The plaintiff had obtained registration of the trademark "EDINA REALTY" and also established their presence in the internet with the website address as "www.edinarealty.com". The grievance of the plaintiff was that the defendant purchased the keywords Edina Realty, Edina Reality, EdinaReality.com, EdinaRealty, etc., from the search engines google and yahoo. By purchasing these search terms, the defendant made their advertisements appear on the search engine results page, under the heading "sponsored links". Thus the defendant started riding the coat-tails of the plaintiff's advertising efforts by using such marks, thereby committing infringement.

78. When the defendant sought a summary judgment, the United States District Court, Minnesota refused it, holding among others that the purchase of search items is a use in commerce and that though it may not be a conventional type of use in commerce, it was nevertheless a use of the mark commercially.

79. In MERCK & CO., INC. vs. MEDIPLAN HEALTH CONSULTING, INC. {425 F. Supp. 2D 402}, the defendants were operating online pharmacies. Through interactive websites, they offered for sale to U.S. consumers generic versions of plaintiffs' popular cholesterol medication, Zocor. In listing their products, certain defendants used plaintiffs' trademark ZOCOR, identifying their products as "generic ZOCOR" or some variation thereof. Certain defendants also used

plaintiffs' stylized ZOCOR logo, and several defendants also purchased sponsored links from the internet search companies Google and Yahoo, so that consumers who search the word "ZOCOR" will be offered links to these defendants' websites. Therefore, Merck & Co., brought lawsuits alleging infringement, dilution and unfair competition. The defendants moved for dismissal of the suits on the ground that their use of the plaintiff's marks was "fair use".

80. While dismissing some of the trademark claims against three defendants, on their use of the mark in connection with search engines, the United States District Court, SD New York held that a trademark is "used in commerce" in connection with the goods, "when it is placed in any manner on the goods or their containers or the displays associated therewith or on the tags or labels affixed thereto or if the nature of the goods makes such placement impracticable, then on documents associated with the goods or their sale and the goods are sold or transported in commerce".

81. Following the decision of the Court of Appeals Second Circuit in 1-800 Contacts, the District Court further held as follows:-

"Here, in the search engine context, defendants do not "place" the ZOCOR marks on any goods or containers or displays or associated documents, nor do they use them in any way to indicate source or sponsorship. Rather, the ZOCOR mark is "used" only in the sense that a computer user's search of the keyword "Zocor" will trigger the display of sponsored links to defendants' websites. This internal use of the mark "Zocor" as a keyword to trigger the display of sponsored links is not use of the mark in a trademark sense." 82. In Rescuecom Corp. vs. Google Inc. {Docket No.06-4881-cv}, Rescuecom, sued Google for trademark infringement, false designation of origin and dilution under the Lanham Act. The District Court for the Northern District of New York dismissed the action invoking Rule 12(b)(6) of the Federal Rules of Civil Procedure (equivalent to the provision for rejection of plaint under Order VII, Rule 11, CPC 1908) on the ground that Google did not use Rescuecom's trademark in commerce within the meaning of the Lanham Act. On appeal, the Second Circuit vacated the order of the District Judge and remanded the matter for further proceedings.

83. In that case, the plaintiff was a national computer service franchising company that offered on-site computer services and sales. The name "Rescuecom" was a registered federal trademark ever since 1998 and the plaintiff conducted a substantial amount of business over the internet. The grievance of Rescuecom was that through its keyword suggestion tool, Google recommended the

plaintiff's trademark, as a search term, to the plaintiff's competitors, so that whenever the Rescuecom's website was visited, the competitor's advertisement and link would also appear on the searcher's screen. But this contention was repelled by the District Court on the ground that Google's activity did not involve Rescuecom's mark being "used in commerce", following the decision in 1-800 Contacts.

84. While reversing the decision of the District Court, the Second Circuit held that "regardless of whether Google's use of Rescuecom's mark in its internal search algorithm could constitute an actionable trademark use, Google's recommendation and sale of Rescuecom's mark to its advertising customers, are not internal uses". Explaining its decision in 1-800 Contacts, the Second Circuit pointed out as follows:-

"We did not imply in 1-800 that an alleged infringer's use of a trademark in an internal software program insulates the alleged infringer from a charge of infringement, no matter how likely the use is to cause confusion in the marketplace. If we were to adopt Google and its amici's argument, the operators of search engines would be free to use trademarks in ways designed to deceive and cause consumer confusion. This is surely neither within the intention nor the letter of the Lanham Act." 85. In FILIPINO YELLOW PAGES, INC. vs. ASIAN JOURNAL PUBLICATIONS, INC. {198 F.3d 1143}, the publisher of Telephone Directory for Filipino-American Community of Southern California brought an action for trademark infringement arising out of the defendant's use of the term "Filipino Yellow Pages". The District Court for the Central District of California granted summary judgment in favour of the defendants. While affirming the said decision, the Ninth Circuit pointed out that the law recognises four different categories of terms with respect to trademark protection. They are (i) generic (ii) descriptive (iii) suggestive and (iv) arbitrary or fanciful. A generic term is one that refers or has come to be understood as referring, to the genus, of which the particular product or service is its species. The test to determine whether a term is generic or not, was spelt out by the Court in the following lines:-

"In determining whether a term is generic, we have often relied upon the "who-are-you/what-are-you" test: "A mark answers the buyer's questions "Who are you?' 'Where do you come from?' 'Who vouches for you?' But the generic name of the product answers the question 'What are you?' ". Under this test, "if the primary significance of the trademark is to describe the type of product rather than the producer, the trademark is a generic term and cannot be a valid trademark." 86. Holding that though at times generic terms are also referred to as "common

descriptive" names, the Court held that if it is so feeble as to be perilously close to the generic line, it cannot be a valid trademark, unless it had acquired strong secondary meaning.

87. In Victor Andrew Wilson vs. Yahoo U.K. and Another {(2008) EWHC 361 (Ch.)}, a person who carried on business as a mobile caterer in the name and style of "Mr.Spicy", selling Afro-Caribbean and Halal South Asian Snacks from a van and a trailer, sued the search engine "Yahoo U.K." and another company which provided sponsored search engine technology, for damages resulting from infringement. His claim was that whenever a browser typed in the keyword "Mr.Spicy" on Yahoo U.K., it would direct them to the website of Sainsbury's Supermarket Ltd. It would also direct them to the website of Pricegrabber.com Ltd. Both these references would appear under the heading "Sponsored Results". Therefore, the plaintiff sued the search engine for damages for infringement.

88. Allowing the application of the defendants for summary judgment and dismissing the claim of the plaintiff in entirety, the Chancery Division (Intellectual Property Division) of the High Court of Justice, London, following the decision of the European Court of Justice in Arsenal Football Club plc. vs. Reed {2003 ETMR 19}, held that the function of a trademark is to guarantee the identity of origin of the marked goods or services to the end user, by enabling him, without any possibility of confusion, to distinguish the goods or services from others which have another origin.

89. Pointing out that the typing of the word "Mr.Spicy" by the browser was actually the use of the trademark by the browser, but not the use of the trademark by the search engine, the Court held as follows:-

"If, by some process of reasoning, one were to hold that the search engine's response to the words used by the browser was, itself, use by the defendants, in my judgment, it is not use of the mark "Mr.Spicy". What, instead, is being used is the English word "spicy" as it appears in that phrase." 90. Explaining as to how things operate on the search engine, Justice Morgan held as follows:-

"I remind myself of what actually appears on the search results, or what did at the relevant time appear, if one typed in the words "Mr.Spicy". There is a reference to Sainsbury's. It does not say that all the food sold at Sainsbury's has Mr.Wilson's trade or business as an origin. It is not pretending that Sainsbury's food all comes from Mr.Wilson's trade or business, MR. SPICY. It does not even say that Sainsbury's, amongst the many brands they stock, stock Mr. Wilson's foods under the brand

name "Mr.Spicy" or under the trade mark MR. SPICY. I do not begin to see how what is described in the search response with reference to Sainsbury's has any impact of an adverse character on Mr. Wilson's rights as proprietor of the Community Trade Mark. The same comments apply to the reference to Pricegrabber." 91. After pointing out that the search engine yahoo can make available any word, probably in any language, the Court considered the issue of use of the mark in relation to the goods or services rendered by Yahoo and held as follows:-

"It seems to me that this is a million miles away from Yahoo using Mr.Wilson's mark in relation to goods or services which are identical to those protected by the mark or which are similar to those protected by the mark. What Yahoo are saying is they are offering services of their own which are of a radically different character and they are saying to the public generally, who see the screen on conducting a search, that the public generally can place any advertisement for anything the public likes on the Yahoo page and that advertisement will come up and it will come up in particular when the words "Mr.Spicy" are put in. But that does not appear to me to be even arguably an infringement of anything in Article 9." 92. In L' Oreal S.A and others vs. e-Bay International AG and others {2009 EWHC 1094 (Ch.)}, a dispute arose between L' Oreal, a group of companies engaged in the manufacture and supply of professional products, consumer products, luxury products, active cosmetics and body shop on the one hand and e-Bay, which is an online market place and few others who were engaged in the sale of cosmetic preparations, on the other hand. L' Oreal and its group of companies were the registered proprietors of several trademarks which were either word marks or stylised word marks. Two of them were Community Trade Marks, one of which was also a device mark.

93. The complaint of L' Oreal against their competitors was that they were advertising, offering for sale and selling cosmetic preparations using the name "Lancome", thereby committing infringement of their registered trademark. The substantial complaint of L' Oreal against the online market place e-Bay was (i) that they were jointly liable for the infringement committed by others (ii) that they were liable for the use of Link Marks in sponsored links on third party search engines and on the site and (iii) that in the event of L' Oreal's success against its competitors, they would also be entitled to injunction against e-Bay, restraining future infringements.

94. It was common ground in that case that e-Bay Europe purchased keywords consisting of the link marks which trigger sponsored links on third party search engines including Google, MSN and Yahoo. The effect of this was that a search on any one of the search engines, using one of the Link Marks would cause a

sponsored link to the site to be displayed. If the user clicked on the sponsored link, he would be taken to a display of search results on the site for products by reference to the Link Marks. e-Bay Europe admittedly chose the keywords based on the activity on the site and paid a certain amount for each click-through of each keyword.

95. After referring to Articles 5, 6 and 7 of the Trade Marks Directive (First Council Directive 89/104), the Chancery Division of the High Court of Justice, London, in its decision rendered on 22.5.2009, pointed out that the proprietor of a registered trademark can succeed in a claim under Article 5(1)(a) of the aforesaid Directive, only if six conditions are satisfied viz., "(i) there must be use of a sign by a third party;

(ii) the use must be in the course of trade;

(iii) it must be without the consent of the proprietor of the trademark;

(iv) it must be of a sign which is identical to the trademark;

(v) it must be in relation to goods or services which are identical to those for which the trademark is registered; and

(vi) it must affect or be liable to affect the functions of the trademark, in particular its essential function of guaranteeing to consumers the origin of the goods or services."

96. On the question as to whether the online service provider e-Bay was jointly liable for the infringement committed by the others, Justice Arnold held (in para 344 of the judgment) that since Articles 5 to 7 of the Trade Marks Directive embody only the rules relating to infringement of the rights conferred by registration of a mark within the Community, the question of accessory liability was only a matter of national law. However, he pointed out that in England and Wales, accessory liability even for statutory torts such as trademark infringement is governed by the common law and in particular, the law relating to joint tortfeasorship.

97. e-Bay Europe were alleged to have become joint tortfeasors, in two ways viz., (i) by procurement and/or (ii) by participation in a common design. Participation in a common design was alleged on the ground that e-Bay actively promoted the listing of items upon the site in a variety of ways and also on the ground that they exercised some degree of control over the content of listings by using software filters. Accepting this argument, the learned Judge held in para 370 of his opinion that "e-Bay and its competitors had created a new form of trade

which carries with it a higher risk of infringement than more traditional methods of trade" and that "having created that increased risk and profited from it, the consequences of that increased risk should fall upon e-Bay rather than upon the owners of the intellectual property rights that are infringed" .

98. Having said that, the learned Judge came to a conclusion in paragraph 375 of his decision that "as a matter of domestic common law, e-Bay Europe are under no legal duty or obligation to prevent infringement of third parties' registered trademarks". However, the said conclusion was qualified by a further statement that "e-Bay Europe may come under such a duty or obligation with regard to future infringements as a result of operation of Article 11 of Enforcement Directive, but that does not affect their liability for past infringements on the ground of joint tortfeasorship".

99. Interestingly, the learned Judge held in paragraphs 381 and 382 of his judgment that despite the fact that e-Bay Europe did facilitate the infringement of third parties' trademarks by sellers and despite the knowledge of e-Bay Europe about such infringements and e-Bay Europe profiting from such infringements, they were not factors enough to make e-Bay Europe liable as joint tortfeasors. By taking such a view, the learned Judge held that e-Bay Europe were not liable as joint tortfeasors on account of two factors viz., (i) that they were under no legal duty to prevent infringement and (ii) that e-Bay's facilitation with knowledge and an intention to profit, were not enough.

100. After holding e-Bay to be not under any legal obligation to prevent infringement by third parties, the Court then took up the question as to whether e-Bay could at least be injuncted from being made use of as a platform for others to commit infringement. In other words, the question was whether the proprietor of the trademark was entitled to a remedy under Article 11 of the Enforcement Directive.

101. While considering this question, the attention of the learned Judge was invited to three decisions of the Bundesgerichtshof (Federal Court of Justice of Germany known by its acronym "BGH"). Those decisions are popularly known as Internet Auction I, Internet Auction II and Internet Auction III cases. The first case related to a complaint by Rolex SA (manufacturers of Rolex watches) against another company which provided an online auction sale service, in which imitation Rolex watches were offered for sale in website. Though the claim for damages was dismissed, Bundesgerichtshof sustained the claim for injunction on the basis of the German legal principle of Storerhaftung, which means "disturber" or "interferer" liability. This act of balancing (granting an

injunction but dismissing the claim for damages) was hailed by Prof. Dr. Joachim Bornkamm, President of the First Civil Chamber, as "one which strikes a fair balance between intellectual property rights and the interests of host providers". He pointed out that such an approach, on the one hand, does not impose an unreasonable burden on the provider, but on the other hand makes sure that the provider takes all reasonable steps to prevent further infringements.

102. Though it was argued before Justice Arnold (in L' Oreal vs. e-Bay) that the Doctrine of Storerhaftung was peculiar to German Law, the learned Judge opined that the English Court nevertheless had power to grant an injunction against an intermediary if that was what Article 11 required. However, the learned Judge ultimately concluded in para 465 of his opinion that the scope of the obligation placed on Member States by Article 11 and the scope of the injunction available against intermediaries, was unclear and that the guidance of ECJ was required in that regard.

103. Ultimately, the learned Judge held (i) that the defendants other than e-Bay had committed infringement and (ii) that e-Bay Europe are not jointly liable for the infringements committed by others. However, the learned Judge held that two crucial questions required the guidance of the ECJ. These two crucial questions are (i) whether e-Bay infringed the link marks by use in sponsored links and on the site in relation to infringing goods and (ii) what was the scope of the relief under Article 11, in the light of the fact that as a matter of domestic law, the Court has power to grant an injunction against e-Bay Europe by virtue of the infringements committed by others .

104. In Jurin vs. Google Inc. 2010 US Dist. Lexis 18208, the Court held that even if one accepts as true, the allegation that a sponsored link might confuse a consumer, it is hardly likely that several different sponsored links appearing on a page that a consumer might believe each one is the true producer or the origin of the product. The Court also held that Google's key word suggestion tool is covered by 230CDA, which merely helped third parties to refine their content. The Court further opined that Google merely provided neutral tools and its ad words program simply allowed competitors to host their digital fliers where they might be most readily received in the cyber market place.

105. In Video Professor Inc. vs. Amazon.com (1:09-CV-00636-REB-KLM), Amazon used the words "VIDEO PROFESSOR" as the key word to trigger its advertisements. On some occasions, a click on the advertisement led users to land up on pages on which the competitor's products were advertised. But, the Court rejected the

claim in view of the express stipulations in the vendor manual (an agreement between Video Professor and Amazon) whereby Video Professor granted a non exclusive, world wide, perpetual and royalty free license to Amazon to use all trade marks in the product information.

106. In the case of Organizacion Veraz vs. Open Discovery, (Which arose in Argentina and about which there is a reference in the paper submitted by SCT of WIPO) the plaintiff, a financial services company, sued the defendant for purchasing its mark VERAZ as a keyword. The Court held that the defendant had engaged in an unauthorized use in commerce of the plaintiff's mark with the aim of attracting consumers that were interested in the plaintiff's services. According to the Court, this use could cause confusion or mistake as to the origin of the services or could suggest an association between the two companies. The Court held that in these circumstances, the trademark holder could prevent the unauthorized use of its mark by a competitor.

107. The Australian Competition and Consumer Commission (ACCC) brought an action against Google and a 'classifieds' website named "Trading Post" because the latter purchased keywords constituting the marks of car dealerships. Though ACCC did not found its claim on trademark infringement, it alleged a violation of the Trade Practices Act, 1974, claiming that there was misleading or deceptive conduct and a false representation of an approval or affiliation. Trading Post settled the case out of Court by giving an undertaking not to continue the advertising practices complained of. As per the paper submitted by the SCT of WIPO on 31-8-2010, the case against Google appears to be still pending. Though not founded upon trademark infringement, the case deals with the issue of consumer confusion, which is determinative of trademark infringement.

108. In Austria, the online wine store by name "Wein & Co" sued a competitor by name "Weinwelt" for purchasing its mark as a keyword. When a user entered the term "Wein & Co" the first link which appeared at the top of the results page was the defendant's website. The Austrian Supreme Court ruled that this use of the mark as a keyword, infringed the rights of the plaintiff, on the ground that the appearance of the link above the search results, using the plaintiff's mark as a header, created a danger of consumer confusion and gave the impression that the defendant was a company closely related to the plaintiff. It is important to note that as in the case on hand, the Austrian case involved the use of the plaintiff's trademark in the header of the ad itself.

109. A case identical to the one on hand arose even before the District Court of Tel Aviv-Jaffa (Israel) in Matim Li Fashion Chain for Large Sizes Ltd., Vs. Crazy Lines Ltd. Google Israel Ltd., was cited as the third defendant in the case. The plaintiff as well as the first defendant in that case were runing women fashion retail chains. The grievance of the plaintiff was that Google offered to the first defendant, the registered trade marks of the plaintiff as keywords, resulting in the advertisements of the first defendant appearing aongside the search results of the plaintiff's sites and that the same constituted infringement. But the court analogized the situation to that of a shoe shop owner 'K', hanging the advertisement posters of his shop, on the walls of an escalator or in the exit from the parking lot of a Mall where the shop of his competitor 'M' is located. After adopting such an analogy, the court posed a few questions, which read as follows:-

"What is the ground for preventing such advertising in a market that values free competition and praises the freedom to choose and practice occupation? Would hanging advertisement of K's business nearby M's shop or even opening a shoe business in close proximity, violate trade mark rights of 'M' ? Would it be reasonable to argue that such advertising, which lacks any mentioning of M's trade mark, is likely to confuse consumers or that it dilutes the reputation of M? Is there any false description involved? Is it an unreasonable prevention of access or burdening that could amount to finding a tort of unfair competition or deception ?" The court answered all the above questions in the negative and held that the same which applied to the physical world, should be true of even the virtual shopping mall in google. Nevertheless, the court held that the use of the trade marks as between computers cannot be said to fall outside the scope of "use" within the meaning of trademark law. However, the court went on to hold as follows:-

"even if sponsored links may be considered as conferring some advantage on Respondent 1, in the balance of interests between the need in intellectual property protection on the one hand and the need in fostering competition and availability of information to the public on the other hand, the latter weighs more heavily in favour of finding no illicit advantage that would amount to trademark infringement." Therefore, ultimately, the Court of Tel Aviv-Jaffa, dismissed the claims of unfair burdening, distraction/diversion and initial interest confusion raised by the plaintiff. However, it must be remembered that in the case before the Israel court, there was no complaint that the first defendant had adopted the trademark of the plaintiff in the adwords or adtext or adtitle of their advertisements. Their use was restricted only to the use of the trademark of the plaintiff in the keywords alone.

(Note: The extracts from the judgment of the District Court of Tel Aviv, Israel, given above, are as per the translated version given in an Article published by Zohar Efroni of Max Planck Institute for Intellectual Property, Competition and Tax Law, Munich)

110. The French Cour de Cassation (Court of Cassation) sought the opinion of the European Court of Justice on three references. The details of these references are as follows:-

(a) The first reference arose in proceedings between Google and Louis Vuitton Malletier SA. The complainant was the proprietor of the community trade mark (CTM) known as Vuitton and the French National Trademarks Louis Vuitton and LV. Their grievance was that Google offered advertisers, the possibility of selecting keywords which corresponded to Louis Vuitton's trademarks and hence when these trademarks are keyed in, Google's search engine triggered the display of advertisements for sites offering counterfeit versions of LV's products. The Regional Court, Paris (known as Tribunal de grande instance de Paris) found the search engine guilty of infringement and the same was upheld on appeal by Cour d'appel de Paris (Court of Appeal, Paris). The further appeal filed by Google on points of law to the Cour de Cassation was referred to the European Court of Justice for a preliminary ruling on three questions. (b) The second reference arose in the context of proceedings between Google on the one hand and Viaticum SA and Luteciel SARL on the other hand. The complainants were the proprietors of the French trademarks "bourse des vols", "bourse des voyages" and "BDV". Their grievance was that entering these trademarks into the search engine triggered the display of ads for sites offering identical or similar products and that Google offered advertisers, the possibility of selecting keywords which corresponded to these trademarks. Google was found guilty of trademark infringement by the Regional Court, Nanterre (Tribunal de grande instance de Nanterre). The Appellate Court (Cour d'appel de Versailles) found Google guilty of being an accessory to trademark infringement. The further appeal filed by Google was referred by Cour de Cassation, for a preliminary ruling on two questions. (c) The third reference arose out of proceedings between Google, Mr.Raboin and Tiger SARL on the one hand and Mr.Thonet and Centre national de recherche en relations humaines SARL, on the other hand. The complainant was the holder of a license for the French trademark "Eurochallenges". Their grievance was that if the browser keyed in the trademark of the complainant, the search engine displayed advertisements for sites offering identical or similar products and that Google incited the advertisers to select keywords which were the same as or similar to the trademark of the complainant. As in the case of other two references, Google and the other two were found guilty of infringement by Regional Court, Nanterre (Tribunal de grande instance de Nanterre) and that decision was

upheld on appeal by Cour d'appel de Versailles. Therefore, separate appeals were filed before the Cour de Cassation, which referred three questions to the European Court for a preliminary ruling. 111. Although the language in which the references in the three cases were couched, was different, the fundamental issue raised for a preliminary ruling was just the same. It was:

"Does the use by Google, in its adwords advertising system, of keywords corresponding to trademarks, constitute an infringement of those trademarks ?" 112. The Grand Chamber of the European Court of Justice, while considering the questions referred to it by the Cour de Cassation, divided its discussion into three portions viz., (i) the first comprising of the first question in all the three references as well as the second question in the third reference (ii) the second question in the first reference and (iii) the third question in the first reference, the second question in the second reference and the third question in the third reference.

113. The first part of the discussion of the Grand Chamber was on the following:-

"By its first question in Case C-236/08, first question in Case C-237/08 and first and second questions in Case C-238/08, which it is appropriate to consider together, the Cour de Cassation asks, in essence, whether Article 5(1)(a) and (b) of Directive 89/104 and Article 9(1)(a) and (b) of Regulation No.40/94 are to be interpreted as meaning that the proprietor of a trade mark is entitled to prohibit a third party from displaying, or arranging for the display of, on the basis of a keyword identical with, or similar to, that trade mark which that third party has, without the consent of that proprietor, selected or stored in connection with an internet referencing service, an ad for goods or services identical with, or similar to, those for which that mark is registered." The second part of the discussion of ECJ focussed on the following questions:-

"By its second question in Case C-236/08, the Cour de Cassation asks, in essence, whether an internet referencing service provider which stores, as a keyword, a sign corresponding to a reputable trade mark and organises the display of ads on the basis of that keyword uses that sign in a way which the proprietor of that mark is entitled to prohibit under Article 5(2) of Directive 89/104 or, in the case where that sign is identical with a reputable Community trade mark, under Article 9(1)(c) of Regulation No.40/94." The third part of the discussion was on the following questions:-

"By its third question in Case C-236/08, its second question in Case C-237/08 and its third question in Case C-238/08, the Cour de Cassation asks, in essence, whether Article 14 of Directive 2000/31 is to be interpreted as meaning that an internet

referencing service constitutes an information society service consisting in the storage of information supplied by the advertiser, with the result that that information is the subject of 'hosting' within the meaning of that article and that the referencing service provider therefore cannot be held liable prior to its being informed of the unlawful conduct of that advertiser." 114. Since the first part of the discussion of the Grand Chamber revolved around Article 5(1)(a) and (b) of Directive 89/104 and Article 9(1)(a) and (b) of Regulation No.40/94, it is necessary to extract these provisions, in order to have a contextual understanding of the opinion delivered by the European Court of Justice. Article 5(1)(a) and (b) of Directive 89/104 reads as follows:-

"5.1. The registered trade mark shall confer on the proprietor exclusive rights therein. The proprietor shall be entitled to prevent all third parties not having his consent from using in the course of trade: (a) any sign which is identical with the trade mark in relation to goods or services which are identical with those for which the trade mark is registered; (b) any sign where, because of its identity with, or similarity to, the trade mark and the identity or similarity of the goods or services covered by the trade mark and the sign, there exists a likelihood of confusion on the part of the public, which includes the likelihood of association between the sign and the trade mark." Article 9(1)(a), (b) and (c) of Council Regulation No.40/94 reads as follows:-

"9.1. A Community trade mark shall confer on the proprietor exclusive rights therein. The proprietor shall be entitled to prevent all third parties not having his consent from using in the course of trade: (a) any sign which is identical with the Community trade mark in relation to goods or services which are identical with those for which the Community trade mark is registered; (b) any sign where, because of its identity with or similarity to the Community trade mark and the identity or similarity of the goods or services covered by the Community trade mark and the sign, there exists a likelihood of confusion on the part of the public; the likelihood of confusion includes the likelihood of association between the sign and the trade mark; (c) any sign which is identical with or similar to the Community trade mark in relation to goods or services which are not similar to those for which the Community trade mark is registered, where the latter has a reputation in the Community and where use of that sign without due cause takes unfair advantage of, or is detrimental to, the distinctive character or the repute of the Community trade mark." 115. After considering the scope of Article 5(1)(a) of Directive 89/104 and Article 9(1)(a) of Regulation No.40/94 in relation to Community trademarks, the Court held that the proprietor of a trademark is entitled to prohibit a third party from using, without the proprietor's consent, a sign identical with that trademark, when that use is in the

course of trade, is in relation to goods or services which are identical with or similar to those for which that trade mark is registered and affects or is liable to affect the functions of the trademark. [A Community Trademark is one, registered with the European Community Trademark Office, located at Alicante, Spain. It was created on the approval of the European Council of Ministers, for the purpose of enabling single trademark registration that will provide protection to trademarks from infringement in all European Community nations]

116. On the question as to when the use of a trademark constitutes "use in the course of trade", the Court held that "the use of a sign identical with a trademark constitutes use in the course of trade, where it occurs in the context of commercial activity with a view to economic advantage and not as a private matter". To come to the said conclusion, the Court relied upon the decision in Arsenal Football Club.

117. Applying the above principle, the Court held that from the advertiser's point of view, the selection of a keyword identical with a trademark has the object and effect of displaying an advertising link to the site on which he offers his goods or services for sale and that since the sign selected as a keyword is the means used to trigger that ad display, the advertiser must be held to be using it in the context of commercial activity and not as a private matter. Even from the point of view of the referencing service provider (search engine), the Court held that the storage as keywords, of trademarks, for the benefit of the clients of the search engine constituted a commercial activity carried on with a view to economic advantage. Consequently, the Court held that the referencing service provider was actually operating "in the course of trade" while permitting advertisers to select, as keywords, signs identical with trademarks, stores those signs and displays its clients' ads on the basis thereof. However, the Court clarified that it does not follow as a corollary that the service provider itself uses those signs within the terms of Article 5 of Directive 89/104 and Article 9 of Regulation No.40/94. The Court then pointed out that the fact of creating the technical conditions necessary for the use of a sign and being paid for that service does not mean that the party offering the service itself uses the sign.

118. After ruling as aforesaid that a referencing service provider is not involved in use in the course of trade within the meaning of the above mentioned provisions, the ECJ then took up for consideration, the question whether the conditions relating to "use in relation to goods or services" were satisfied. On this question, the Court held that in most cases an internet user, entering the name of a trademark as a search term, would be looking for information

covered by that trademark. Therefore, when advertising links to sites offering goods or services of competitors of the proprietor of that mark are displayed beside or above the natural results of the search, the internet user may perceive those advertising links as offering an alternative to the goods or services of the trademark proprietor. In such a situation, the ECJ held that since a sign identical with a trademark is selected as a keyword by a competitor, with the aim of offering internet users, an alternative to the goods or services of the proprietor of the trademark, there was use of that sign, in relation to the goods or services of that competitor.

119. The ECJ then went to the extent of holding that even in cases in which the advertiser does not seek, by its use, as a keyword, of a sign identical with the trade mark, to present its goods or services to internet users as an alternative to the goods or services of the proprietor of the trade mark but, on the contrary, seeks to mislead internet users as to the origin of its goods or services by making them believe that they originate from the proprietor of the trade mark or from an undertaking economically connected to it, there is use 'in relation to goods or services'. Therefore, the Court concluded that the use by an advertiser of a sign identical with a trademark as a keyword in the context of an internet referencing service, falls within the concept of "use in relation to goods or services" within the meaning of Article 5(1)(a) of Directive 89/104.

120. However, in view of the fact that the essential function of a trademark is to guarantee the identity of origin to the consumer by enabling him to distinguish the goods or service from others which have another origin, the ECJ held in para-87 of its opinion as follows:-

"Having regard to the essential function of a trade mark, which, in the area of electronic commerce, consists in particular in enabling internet users browsing the ads displayed in response to a search relating to a specific trade mark to distinguish the goods or services of the proprietor of that mark from those which have a different origin, that proprietor must be entitled to prohibit the display of third-party ads which internet users may erroneously perceive as emanating from that proprietor." Consequently, the ECJ opined in paragraphs 88 to 90 as follows:-

"88. It is for the national court to assess, on a case-by-case basis, whether the facts of the dispute before it indicate adverse effects, or a risk thereof, on the function of indicating origin as described in paragraph 84 of the present judgment. 89. In the case where a third party's ad suggests that there is an economic link between the third party and the proprietor of the trade mark, the conclusion must be that there is an adverse effect on the function of indicating origin. 90. In the case where the ad,

while not suggesting the existence of an economic link, is vague to such an extent on the origin of the goods or services at issue that normally informed and reasonably attentive internet users are unable to determine, on the basis of the advertising link and the commercial message attached thereto, whether the advertiser is a third party vis-a-vis the proprietor of the trade mark or, on the contrary, economically linked to that proprietor, the conclusion must also be that there is an adverse effect on that function of the trade mark." 121. Taking up then, the question of adverse effect on the advertising function, the ECJ accepted that the use by internet advertisers of a sign identical with another man's trademark as a keyword for the purposes of displaying advertising messages, is liable to have certain repercussions both on the advertising use of that mark by its proprietor and on the latter's commercial strategy. However, having regard to the facts and the findings recorded by the Cour de Cassation, the ECJ held in para 98 of its opinion that the use of a sign identical with another person's trademark in a referencing service such as that at issue, in the cases in the main proceedings, was not liable to have an adverse effect on the advertising function of the trademark.

122. Taking up the second part of the discussion, relating to the second question in the first reference, the ECJ concluded that an internet referencing service provider, which stores as a keyword, a sign identical with a reputable trademark and arranges the display of ads on the basis of that keyword, does not use that sign within the meaning of Article 5(2) of Directive 89/104 or of Article 9(1)(c) of Regulation No.40/94.

123. Coming to the question of liability of the referencing service provider (third part of the order of the Grand Chamber), the ECJ held, with reference to Article 14 and recital 42 in the preamble to Directive 2000/31 that the exemption from liability would cover only cases in which the activity of the information society service provider is of a mere technical, automatic and passive nature. In other words, the service provider should have had neither knowledge of nor control over the information which is transmitted or stored. The role of the service provider should be neutral, in order to establish that its liability was limited under Article 14.

124. Though the ECJ held in para 117 of its opinion that concordance between the keyword selected and the search term entered by an internet user is not sufficient by itself to justify the view that Google had knowledge of or control over the data entered into its system by advertisers, the ECJ nevertheless held that it is for the National Court to find out on facts the role played by Google in the drafting of the commercial message that accompanies the advertising link

or in the establishment or selection of keywords. If the service provider had not played such a role, the ECJ pointed out that they cannot be held liable for the data which it has stored at the request of an advertiser, unless, having obtained knowledge of the unlawful nature of those data or of that advertiser's activities, it failed to act expeditiously.

125. After a detailed analysis as indicated above, The Grand Chamber answered all the references to the following effect:-

"(1) Article 5(1)(a) of First Council Directive 89/104/EEC of 21 December 1988 to approximate the laws of the Member States relating to trade marks and Article 9(1)(a) of Council Regulation (EC) No.40/94 of 20 December 1993 on the Community trade mark must be interpreted as meaning that the proprietor of a trade mark is entitled to prohibit an advertiser from advertising, on the basis of a keyword identical with that trade mark which that advertiser has, without the consent of the proprietor, selected in connection with an internet referencing service, goods or services identical with those for which that mark is registered, in the case where that advertisement does not enable an average internet user, or enables that user only with difficulty, to ascertain whether the goods or services referred to therein originate from the proprietor of the trade mark or an undertaking economically connected to it or, on the contrary, originate from a third party. (2) An internet referencing service provider which stores, as a keyword, a sign identical with a trade mark and organises the display of advertisements on the basis of that keyword does not use that sign within the meaning of Article 5(1) and (2) of Directive 89/104 or of Article 9(1) of Regulation No.40/94. (3) Article 14 of Directive 2000/31/EC of the European Parliament and of the Council of 8 June 2000 on certain legal aspects of information society services, in particular electronic commerce, in the Internal Market ('Directive on electronic commerce') must be interpreted as meaning that the rule laid down therein applies to an internet referencing service provider in the case where that service provider has not played an active role of such a kind as to give it knowledge of, or control over, the data stored. If it has not played such a role, that service provider cannot be held liable for the data which it has stored at the request of an advertiser, unless, having obtained knowledge of the unlawful nature of those data or of that advertiser's activities, it failed to act expeditiously to remove or to disable access to the data concerned." 126. After the ECJ rendered its opinion on 23.3.2010, the French Cour de Cassation took back the case of Louis Vuitton and by an order dated 13.7.2010, remitted the case back to the Court of appeal to examine the factual matters more closely, keeping in mind the ECJ's ruling.

[ Note: In an opinion titled "From Biblical Questions to Delphian Confusion: ECJ's decision on Google France C-236/08", posted in Austrotrabant's blog, the decision of the European Court of Justice was criticised as one where the Biblical statement "'Seek and you shall find' found it's end in a judgment which is as confusing as a statement of the Oracle in Delphi.]

127. Primakabin vs. Portakabin (Case C-558/08), was another case, which was referred to the ECJ for opinion by The Hoge Raad der Nederlenden (the Supreme Court of Netherlands). In that case, both parties were temporary cabin makers (or mobile buildings). Primacabin chose the key words PORTAKABIN, PORTACABIN, PORTOKABIN and PORTOCABIN as its search terms for Google ad words. ECJ re-iterated its position that a trade mark proprietor can oppose to the use of a key word identical with its mark, if that use is liable to cause detriment to any of the functions of that mark. Those functions include not only the essential functions of the trade mark, which is to guarantee to the customers the origin of the goods or services, but also its other functions, in particular that of guaranteeing the quality of the goods or services in question and those of communication, investment or advertisement.

RELEVANCE OF THE ABOVE DISCUSSION

128. The decisions of various international courts, discussed in the preceding paragraphs, have obviously arisen out of (i) the laws relating to Trade Marks in their own jurisdictions or (ii) the European Union Directives or Council Regulations. As seen above, they have also evolved only over a period of time, with infringements arising out of commercial greed, always scoring a march over the laws, just as crimes always march ahead of law enforcement. Therefore, the road so far travelled appears to have been bumpy and as Austrotrabant's blog put it, the law on the issue has become as confusing as the statement of the Oracle of Delphi could be. In any case, the decisions of various courts cited above, have to be read only in the context of the laws with reference to which they were rendered and hence let us now see the relevant laws in the backdrop of which, those decisions were rendered.

129. In U.S., the Lanham Act is a federal trade mark Act of 1946, to which several amendments have been made in the past three decades. They are (1) The Trademark Counterfeiting Act of 1984; (2) The Trademark Law Revision Act of 1988, making major revisions and creating an "Intent to Use" system; (3) legislation in 1993 and 1994 implementing the provisions of the NAFTA treaty and the GATT agreement; (4) a 1996 enactment which added an anti-dilution prohibition to federal law; (5) the 1999 "Anti-cybersquatting Consumer

Protection Act," directed at preventing the Cybersquatting on the Internet of domain names that are confusingly similar to trademarks and person names; (6) legislation in 2002 implementing the provisions of the MADRID PROTOCOL, facilitating the international registration of marks.

130. Similarly, in Europe, the European Union issued Council Directive No.89/104, on 21.12.1988, to approximate the laws of the member States relating to trade marks. It was designed to harmonise the disparities in the respective trade mark laws, which had the potential to impede the free movement of goods and provision of services and distort competition within the European Union. Articles 5 and 6 of the said Council Directive around which most of the decisions cited above revolved, read as follows:-

"5. Rights conferred by a trade mark.- (1) ..... (a) .....; (b) ..... (5(1)(a) and (b) already extracted in para 114 of this order)

2. Any Member State may also provide that the proprietor shall be entitled to prevent all third parties not having his consent from using in the course of trade any sign which is identical with, or similar to, the trade mark in relation to goods or services which are not similar to those for which the trade mark is registered, where the latter has a reputation in the Member State and where use of that sign without due cause takes unfair advantage of, or is detrimental to, the distinctive character or the repute of the trade mark.

3. The following, inter alia, may be prohibited under paragraphs 1 and 2:

(a) affixing the sign to the goods or to the packaging thereof; (b) offering the goods, or putting them on the market or stocking them for these purposes under that sign, or offering or supplying services thereunder; (c) importing or exporting the goods under the sign; (d) using the sign on business papers and in advertising. 4. Where, under the law of the Member State, the use of a sign under the conditions referred to in 1(b) or 2 could not be prohibited before the date on which the provisions necessary to comply with this Directive entered into force in the Member State concerned, the rights conferred by the trade mark may not be relied on to prevent the continued use of the sign.

5. Paragraphs 1 to 4 shall not affect provisions in any Member State relating to the protection against the use of a sign other than for the purposes of distinguishing goods or services, where use of that sign without due cause takes unfair advantage of, or is detrimental to, the distinctive character or the repute of the trade mark."

"6. Limitation of the effects of a trade mark

1. The trade mark shall not entitle the proprietor to prohibit a third party from using, in the course of trade,

(a) his own name or address;

(b) indications concerning the kind, quality, quantity, intended purpose, value, geographical origin, the time of production of goods or of rendering of the service, or other characteristics of goods or services;

(c) the trade mark where it is necessary to indicate the intended purpose of a product or service, in particular as accessories or spare parts;

provided he uses them in accordance with honest practices in industrial or commercial matters.

2. The trade mark shall not entitle the proprietor to prohibit a third party from using, in the course of trade, an earlier right which only applies in a particular locality if that right is recognized by the laws of the Member State in question and within the limits of the territory in which it is recognized."

3. Subsequently, the European Union recognised that the barrier of territoriality of the rights conferred on proprietors of trademarks, by the laws of the member States, cannot be removed by approximation of laws. Therefore, in order to open up unrestricted economic activity in the whole of the common market for the benefit of undertakings and to create trademarks which are governed by uniform Community Law, the Council issued regulations known as COUNCIL REGULATION (EC) No.40/94 of 20 December 1993 on the Community Trade Mark (CTM). Articles 9, 10 and 12 of the said Council Regulations, which were aslo considered in some of the decisions cited above, read as follows:-

"9. Rights conferred by a Community trade mark

1. ..... (a)..... (b)..... (c)..... {9(1)(a)(b)and (c) already extracted in para 114}

2. The following, inter alia, may be prohibited under paragraph 1:

(a) affixing the sign to the goods or to the packaging thereof; (b) offering the goods, putting them on the market or stocking them for these purposes under that sign, or offering or supplying services thereunder; (c) importing or exporting the goods under that sign; (d) using the sign on business papers and in advertising. 3. The

rights conferred by a Community trade mark shall prevail against third parties from the date of publication of registration of the trade mark. Reasonable compensation may, however, be claimed in respect of matters arising after the date of publication of a Community trade mark application, which matters would, after publication of the registration of the trade mark, be prohibited by virtue of that publication. The Court seized of the case may not decide upon the merits of the case until the registration has been published.

"10. Reproduction of Community trade marks in dictionaries If the reproduction of a Community trade mark in a dictionary, encyclopaedia or similar reference work gives the impression that it constitutes the generic name of the goods or services for which the trade mark is registered, the publisher of the work shall, at the request of the proprietor of the Community trade mark, ensure that the reproduction of the trade mark at the latest in the next edition of the publication is accompanied by an indication that it is a registered trade mark. 12. Limitation of the effects of a Community trade mark A Community trade mark shall not entitle the proprietor to prohibit a third party from using in the course of trade: (a) his own name or address; (b) indications concerning the kind, quality, quantity, intended purpose, value, geographical origin, the time of production of the goods or of rendering of the service, or other characteristics of the goods or service; (c) the trade mark where it is necessary to indicate the intended purpose of a product or service, in particular as accessories or spare parts, provided he uses them in accordance with honest practices in industrial or commercial matters." 132. However, Regulation No.40/94 was repealed by Council Regulation (EC) No. 207/2009 of 26 February 2009 on the Community Trade Mark (codified version) {(OJ 2009 L 78, p. 1)}, which entered into force on 13 April 2009. But Articles 9, 10 and 12 did not undergo any change.

133. On 8.6.2000, the European Parliament and the Council of European Union issued Directive 2000/31/EC on certain legal aspects of information society services, and in particular electronic commerce, in the Internal Market (Directive on electronic commerce). Article 14 of the said Directive, reads as follows:-

"14. Hosting.-1. Where an information society service is provided that consists of the storage of information provided by a recipient of the service, Member States shall ensure that the service provider is not liable for the information stored at the request of a recipient of the service, on condition that: (a) the provider does not have actual knowledge of illegal activity or information and, as regards claims for damages, is not aware of facts or circumstances from which the illegal activity or information is apparent; or (b) the provider, upon obtaining such knowledge or awareness, acts expeditiously to remove or to disable access to the information. 2.

Paragraph 1 shall not apply when the recipient of the service is acting under the authority or the control of the provider.

3. This Article shall not affect the possibility for a Court or administrative authority, in accordance with Member States' legal systems, of requiring the service provider to terminate or prevent an infringement, nor does it affect the possibility for Member States of establishing procedures governing the removal or disabling of access to information."

4. Therefore, the decisions referred to by me from paragraphs 50 to 127 above have to be understood in the context of the respective laws. The principles enunciated in those decisions can be of persuasive value to the extent, the laws in India are similar. Therefore, let me now turn on to the Indian context.

INDIAN CONTEXT

135. It is needless to say that the dispute on hand has to be decided in the context of the provisions of the Trade Marks Act, 1999. Section 28 of the Act gives an indication of the rights conferred by registration of Trade Marks. Under Sub-Section (1) of Section 28, the registration of a trade mark confers upon the registered proprietor of the mark --

(i) the exclusive right to the use of the trade mark,

(ii) in relation to the goods or services in respect of which the mark is registered and (iii) to obtain relief in respect of infringement in the maner provided under the Act. Thus there are 3 limbs to section 28(1) of the Act. However, the right recognised by sub-section (1) is made subject to the other provisions of the Act. Section 28 (1) indicates both (i) the right as well as (ii) the remedies.

136. In the case on hand, there is no dispute about the fact that the plaintiff as well as the defendants 2 to 4, are engaged in the business of rendering the same type of services. Though there was an initial dispute about the proprietorship of the trade marks, the same got cleared by virtue of the amendments to the pleadings. Therefore, the plaintiffs are the registered proprietors of the trade marks in question, viz., those listed in the table in paragraph -3 above. Consequently, by virtue of section 28 (1), the plaintiffs have (i) the exclusive right to the use of the trade marks in question (ii) in relation to the services in respect of which, registration is made. Thus, 2 limbs of section 28(1) stand satisfied in the case on hand, in so far as defendants 2 to 4 are concerned. Nevertheless, there is a dispute about what constitutes "the use of the trade mark", within the meaning of section 28 (1).

137. Similarly, the liability of the first defendant (search engine) is also in question since the search engine is not engaged in the same line of business as the plaintiff and the alleged infringement by the search engine is not "in relation to the same type of goods or services". However the allegation against them is that of "contributory infringement" or "ancillary infringement" and they are alleged to have facilitated the infringement by the other defendants, by providing the trade marks of the plaintiff as key words and by allowing them to use those marks in the adtitle and adtext of their advertisements.

138. On a perusal of the admitted averments and the averments supported by documents, it is clear (i) that the plaintiff has established that they are the proprietors of registered trade marks (ii) that the defendants 2 to 4 are also engaged in the business of rendering same type of services and (ii) that the defendants 2 to 4 were using at least the words Bharat, Tamil, Matrimony etc., in the adtitle and/or adtext of their advertisements. Therefore, we will now have to examine whether the act of the defendants would still not amount to infringement.

DEFENCE OF DEFENDANTS

139. A perusal of the pleadings would show that the defence put up by the defendants could be grouped under the following categories:-

(i) Though the plaintiffs are the proprietors of the trade marks BHARATMATRIMONY etc., they have not obtained registration of the words "TAMIL, ASSAMESE, MATRIMONY" etc., which form the constituent parts of such registered marks. The use of the constituent parts of the registered trademarks of the plaintiff, in the keywords suggestion tool, cannot be termed as infringement since those constituent parts are generic or descriptive terms used in common parlance. (ii) The plaintiff has obtained registration of only a combination of 2 words such as "TAMIL" and "MATRIMONY" or "BHARAT" and "MATRIMONY" etc. They have not and could not also have, obtained registration of the individual words TAMIL, ASSAMESE, MATRIMONY etc., and hence they can claim exclusive rights only over the mark as a whole and not over the individual words constituting the registered mark. (iii) The use of the words "MATRIMONY, TAMIL, TELUGU" etc., by the respondents 2 to 4 in the adtext and/or adtitle of their advertisements in the search engine, is not in the trade mark sense, but only in a descriptive sense. Therefore in view of Section 2(2)(b), 2(2)(c) and Section 29(6), there is no protection, when parts of a trade mark are used as adwords, adtitle or adtext. The use of the words constituting a trademark, as an adword or keyword, would not amount to "use of a mark" within the meaning of Section 2(2)(b) and Section 2(2)(c) of the Act, in view of the provisions of Section

29(6). (iv) The plaintiffs themselves are making use of the same keywords suggestion tool and are advertising their services in the search engine, in the same manner in which the defendants 2 to 4 do. When the websurfers search for the sites of the respondents 2 to 4, advertisements of the plaintiff's sites also appear on the right hand side as sponsored links. Therefore, they are guilty of what they are seeking to injunct and hence they are estopped from questioning the policy of the search engine, after having submitted to the same (v) The very registration of the trademarks of the plaintiff is contrary to Section 9(1)(b) of the Trade Marks Act, 1999. (vi) The suit is not maintainable in view of the Uniform Domain Name Resolution Policy adopted by ICANN (vii) Since a search engine is like a directory, the reference to certain words in the directory cannot be termed as infringement. The use of the words constituting the registered trademarks of the plaintiff in the keyword suggestion tool, is not a use in the course of trade. 140. One more dispute was sought to be raised by the counsel appearing for the second defendant. It was, that Class 16 in respect of which most of the trade marks of the plaintiff were registered, related to paper, card board etc., and that since the defendants are not in the business of selling paper, cardboard or printing material, the claim of infringement was ridiculous. But the said contention, in my view, seeks to belittle the claim of the plaintiff, only with a view to spite them. It does not merit any consideration, in view of the fact that the plaintiff has also obtained registration under Class 42, which takes within its fold, "services that cannot be classified in other classes". Therefore, let me now take up the defences categorised in the preceding paragraph, one after another.

DEFENCE-I (GENERIC OR DESCRIPTIVE TERMS)

141. As pointed out above, the first defence of the respondents is that the registered trademarks of the plaintiff contain a combination of generic and descriptive words and hence there is no protection. McCarthy's Desk Encyclopedia of Intellectual Property defines a 'descriptive mark' as 'a word, picture or other symbol that directly describes something about the goods or services in connection with which it is used as a mark. Such a term may be descriptive of a desirable characteristic of the goods; the intended purpose, function or use of the goods; the size or colour of the goods; the class of users of the goods; or the end effect upon the user. According to McCarthy, 'the issue of descriptiveness is usually tested from the view point of the hypothetical customer, who has the basic amount of knowledge about the product, which is conveyed by advertising and promotion currently available in the market place'.

142. McCarthy defines a 'generic name' as 'a word used by a majority of the relevant public to name a class or category of product or service'. A generic name is incapable of exclusive appropriation or registration as a protectable trade mark or service mark. Interestingly, McCarthy calls a generic mark as an oxymoron, akin to 'a square circle or a flat mountain'. Whether a term is a generic name is ultimately determined by majority public usage of the term. A generic term is one that refers to the genus of which the particular product is a species.

143. The test to determine whether certain words are descriptive or not, is laid down in Corpus Juris Secundum, Vol.87 in paras 34 and 35, at pages 271 as follows :

'The true test in determining whether a particular name or phrase is descriptive is whether, as it is commonly used, it is reasonably indicative and descriptive of the thing intended. In order to be descriptive within the condemnation of the rule, it is sufficient if information is afforded as to the general nature or character of the article and it is not necessary that the words or marks used shall comprise a clear, complete and accurate description. The meaning which should be given is the impression and significance which are conveyed to the public. Whether words or marks claimed as trade marks are descriptive or whether they are suggestive or arbitrary and fanciful must be decided with respect to the articles to which they are applied and the mark must be considered as a whole.' 144. Courts have held that when descriptive words are involved, even a small distinguishing element in the use would be regarded as adequate. In Office Cleaning Services Limited Vs. Westminister Window and General Cleaners Limited (1946 (63) RPC 39), the Court of Appeal held that where the name of the business consists of words descriptive of that business and have not acquired a secondary meaning, a slight difference between the two business names will, in the absence of fraud, be a sufficient distinction. While upholding the decision of the Court of Appeal, the House of Lords held as follows :

'Where a trader adopts words in common use for his trade name, some risk of confusion is inevitable. But that risk must be run unless the first user is allowed unfairly to monopolise the words. The Court will accept comparatively small differences as sufficient to avert confusion.' 145. But courts also have held that if by long association with a person's products or services, a descriptive word has acquired a secondary meaning, then they are entitled to protection. In one of the earliest cases, namely Reddaway Vs. Banhan (1896 AC 199), it was held that the term 'camel hair belting' had acquired a secondary meaning. But in Cellular Clothing Co.Ltd.Vs Maxton & Murray (1899 AC 326), Lord Shand observed :

'But I confess I have always thought and I shall think that it would be made almost impossible for any one to obtain the exclusive right to the use of a word or term,

which is in ordinary use in our language and which is descriptive only and indeed, were it not for the decision in Reddaway's case, I should say this should be made altogether impossible. But where the plaintiff's proof shows that the only representation by the defendants consists in the use of a term or terms, which aptly and correctly describe the goods offered for sale, as in the present case, it must be a condition of the plaintiff's success that they shall prove that these terms no longer mean what they say or no longer mean only what they say but have acquired the secondary and further meaning that the particular goods or good made by the plaintiff. .....Unless that be proved, there is no room for a charge of violation of any right or indeed a charge of fraud for the defendants are only exercising the right which they possess as much as the plaintiffs do and which everyone has to employ words in ordinary use, which are an apt and proper description of the goods for sale'. 146. In so far as the case on hand is concerned, the words 'Tamil', 'Muslim', etc., are descriptive terms, indicating a race, language, ethnic group or a community and no one is entitled to monopolise the use of these words. Similarly, the word 'matrimony' is descriptive of the state of marriage of a person. The words 'marriage', 'wedding', etc., may all signify the same meaning, though the origin of these words are from different sources. While the word 'wedding' is an english word denoting a marriage ceremony, the word 'matrimony' is derived from the Latin word 'matrimonium' meaning thereby a rite or state of marriage. On the other hand, the word 'marriage' is derived from the French term 'marier' meaning both a legal union of a man and a woman as well as the act or ceremony marking this. The World Book Dictionary states that while the term 'marriage' emphasises the legal union of a man and woman, the term 'matrimony' is a formal and religious word, applied to the religious bond established by the union and the term 'wedding' is the common word for the ceremony or celebration.

147. Therefore, it is needless to point out that the plaintiff cannot claim monopoly over the individual words 'Tamil', 'Malayalam', 'Telugu', 'Punjabi', 'Assamese', 'matrimony', 'Bharath' etc. But, the plaintiff has obtained registration of a combination of these words and claims that it is an arbitrary combination of two ordinary words, which have become distinctive. Therefore, the plaintiff claims that by virtue of the registration, they are entitled to prevent others from using these words in such a manner, as would mislead the customers about their origin. In other words, the plaintiff is not aggrieved per se, (and cannot be aggrieved) by the use of these words by the defendants independently and individually. The grievance of the plaintiff is that when the defendants use the very same combination of words with or without a space in-between, it causes confusion in the minds of the consumers. It is also the contention of the plaintiff that despite the combination of words, which constitute their registered trade

marks, being descriptive in nature, they have acquired secondary meaning and hence, the plaintiff is entitled to prevent the infringement thereof.

148. The question as to whether the registered trade marks of the plaintiff have acquired secondary meaning or not, has to be tested only on the strength of the evidence let in. But, irrespective of whether they have acquired secondary meaning or not, the use by the defendants 2 to 4, of the very same combination of words, namely 'Tamil Matrimony', 'Bharath Matrimony', 'Assamese-Matrimony' etc., even if they leave a space in-between the two words, certainly provides a likelihood of confusion. Therefore, under normal circumstances, the plaintiff will be entitled to an injunction, for the simple reason that the others are not entitled to use the very same combination of words with just a space in-between and claim that both these words are just generic or descriptive. As a matter of fact, if the defendants 2 to 4 use one of the words constituting the registered trade marks of the plaintiff, in conjunction with a different word (which is not part of the registered trade mark), the plaintiff would have had no case at all. It must be borne in mind that the same mark test is different from a similar mark test. For instance, if the defendants 2 to 4 use the words 'Tamil Alliance' or 'Tamil wedding' etc., (and yet convey the same meaning), the plaintiff would have had no right to injunct the defendants from using the word 'Tamil' in their advertisements. Similarly if the defendants use the words 'Bharat' or 'Punjabi' or 'Muslim' etc., in conjunction with any word other than 'Matrimony', the plaintiff cannot maintain an action. But the objection of the plaintiff is to the use of the very same combination of words by the defendants, as contained in the registered trademarks of the plaintiff.

149. Though the objection of the plaintiff to the use by the defendants, of the very same combination of words, is well founded prima facie, the same cannot take them to the desired destination. It is on account of a subsidiary question that would then automatically arise for consideration. That question is as to whether the defendants 2 to 4 would be left with any other choice, to advertise their services, if the use of the combination of the above words is prohibited.

150. We have already seen that the defendants 2 to 4 are also in the same line of business as the plaintiff. Therefore, they have no alternative except to advertise their services, only in a manner descriptive of such services. For instance, in a website providing services to men and women looking for suitable life partners from Kerala, the defendants would have no alternative except to use either of the 2 words 'Kerala' or 'Malayalam'. While there are a few synonymous terms for the word 'Matrimony', there are no synonyms for the words like 'Tamil',

'Malayalam', 'Telugu', 'Punjabi', 'Assamese', etc. Therefore, there is no way the defendants 2 to 4 could be prohibited from using these words, which have no synonyms. Consequently, even if the plaintiff's case is accepted in total, an injunction could be issued only to the extent of preventing the defendants from using the words 'Tamil', 'Malayalam', 'Telugu', 'Punjabi', 'Assamese', etc, in combination with the word 'Matrimony'. This would leave the defendants 2 to 4 with a very limited choice, to choose the expression 'Tamil Wedding' or 'Tamil Marriage' or 'Tamil Alliance' etc, instead of the expression 'Tamil Matrimony'. But, the grant of an order which would lead to the consequence of reducing the choice of words available to the competitors, to a very few and resulting in the plaintiff monopolising the English word 'Matrimony', will be very disastrous.

151. More over, Section 35 of the Act saves the use by any person, of any bona fide description of the character or quality of his goods or services. Therefore, in the light of the fact that there are no synonyms for the words 'Tamil', 'Malayalam', 'Telugu', 'Punjabi', 'Assamese', etc., and also in the light of the fact that any curtailment of the use of the word 'Matrimony' would leave the defendants 2 to 4 with a very limited choice of two or three equivalent words only, the use by the defendants 2 to 4 of the combination of words could only be taken to be an inevitable and unavoidable, even if presumed to be not a bona fide description of the character or quality of their services, saved by Section 35.

152. In an article titled "Expressive Genericity:Trademarks as Language in the Pepsi Generation" {65-Notre Dame L.Rev.397}, the author Rochelle Cooper Dreyfuss warned of the danger of losing vocabulary and suppressing expressive communication because of overly broad trademark protection and proposing to solve it by rendering terms "expressively generic" if society wishes to appropriate them for cultural use. Similarly, Prof. Wendy Gordon stated in his article "On Owning Information: Intellectual Property and the Restitutionary Impulse" {78 Va. L.Rev.149} that "culture could not exist if all free riding were prohibited within it".

153. Even before the advent of this issue in the internet age, the Supreme Court (of USA) allowed, in Saxlehner vs. Wagner {216 US 375 (1910)}, a natural water producer to use its competitor's mark to identify the product that it was copying. Justice Holmes explained that as long as the defendants did not create confusion about the real source of their product, they were free "to tell the public what they are doing and to get whatever share they can in the popularity of the trademarked product by advertising that they are trying to make the same article and think that they succeed". The Court held that by flagging its

product as an imitator of the original, they are not trying to get the goodwill of the name but the goodwill of the goods.

154. In Health & Glow Retailing Pvt Ltd. Vs. Dhiren Krishna Paul [2007(35) PTC 474], a similar question came up before me for consideration. But in that case the plaintiff had a word mark as well as a device mark, both registered in their favour. The defendants copied not only the very same word mark "Health and Glow" but also the device mark. Therefore, I found in that case (para 36 of the report) that there was no honest concurrent use, but only dishonest subsequent use, by the defendants in that case. After analysing the precedents on the issue, I also held in para 48 of the decision that the objection relating to inventiveness of a registered mark could be raised only at the pre registration stage. But the case on hand falls under a different category. In Health and Glow, the availability of the choice of synonyms (or equivalent terms), for describing the products and services of the parties, did not arise. But in the case on hand, I have found that out of the 2 words constituting the registered trademarks of the plaintiff, one does not have a synonym and the choice with respect to the other, is limited to a very few words. Therefore, I accept the first defence set up by the defendants 2 to 4, in view of the peculiar features of the case.

DEFENCE-II (TWO OR MORE WORDS CONSTITUTING A TRADE MARK)

155. The second defence of the defendants is that the plaintiff has obtained registration of a combination of two words and that they have not obtained registration of each of the two independent words constituting the registered trade marks. Therefore, the defendants claim that the plaintiff cannot claim monopoly over each of those independent words, which constitute the registered trade marks.

156. This defence of the defendants 2 to 4 stems out of Sections 15 and 17 of the Act, which read as follows :

'15. Registration of parts of trade marks and of trade marks as a series. - (1) Where the proprietor of a trade mark claims to be entitled to the exclusive use of any part thereof separately, he may apply to register the whole and the part as separate trade marks. (2) Each such separate trade mark shall satisfy all the conditions applying to and have all the incidents of, an independent trade mark. (3) .. ... .. ... ...'
'17. Effect of registration of parts of a mark : (1) When a trade mark consists of several matters, its registration shall confer on the proprietor exclusive right to the use of the trade mark taken as a whole. (2) Notwithstanding anything contained in Sub.Section (1), when a trade mark - (a) contains any part - (i) which is not the

subject of a separate application by the proprietor for registration as a trade mark; or (ii) which is not separately registered by the proprietor as a trade mark; or (b) contains any matter which is common to the trade or is otherwise of a non distinctive character, the registration thereof shall not confer any exclusive right in the matter forming only a part of the while of the trade mark so registered.' 157. But, the second defence taken by the defendants, on the basis of Sections 15 and 17, cannot be sustained for one simple reason. The plaintiff does not seek an injunction restraining the defendants from making use of the individual words 'Tamil', 'Malayalam', 'Telugu', 'Punjabi', 'Assamese', 'Matrimony' etc., independently. The plaintiff does not even seek an injunction to restrain the defendants 2 to 4 from using any of the words 'Tamil', 'Malayalam', 'Telugu', 'Punjabi', 'Assamese', etc in combination with any word other than 'Matrimony'. The injunction that they seek is to prevent the defendants 2 to 4 from using any of these words 'Tamil', 'Malayalam', 'Telugu', 'Punjabi', 'Assamese', etc., in combination with the particular word 'Matrimony'. Therefore, the second defence taken by the defendants 2 to 4 cannot be accepted.

DEFENCE III (USE OF THE MARK)

158. The third defence of the defendants is that the use of the words 'Tamil', 'Malayalam', 'Telugu', 'Punjabi', 'Assamese', etc., in their advertisements, is not in the trade mark sense, but in a descriptive sense. It is their contention that their use of the words do not constitute the 'use of a mark' within the meaning of Section 2(2)(b) or 2(2)(c) and that therefore, it could not be categorised as an infringement, within the meaning of Section 29 of the Act.

159. Sections 2(2)(b) and 2(2)(c) read as follows :

"2(2) In this Act, unless the context otherwise requires, any reference-- (a)..... (b) to the use of a mark shall be construed as a reference to the use of printed or other visual representation of the mark" "(c) to the use of a mark, - (i) in relation to goods, shall be construed as a reference to the use of the mark upon, or in any physical or in any other relation whatsoever, to such goods; (ii) in relation to services, shall be construed as a reference to the use of the mark as or as part of any statement about the availability, provision or performance of such services." 160. Section 29 reads as follows :

"29. Infringement of registered trade marks.-(1) A registered trade mark is infringed by a person who, not being a registered proprietor or a person using by way of permitted use, uses in the course of trade, a mark which is identical with, or deceptively similar to, the trade mark in relation to goods or services in respect of

which the trade mark is registered and in such manner as to render the use of the mark likely to be taken as being used as a trade mark. (2) A registered trade mark is infringed by a person who, not being a registered proprietor or a person using by way of permitted use, uses in the course of trade, a mark which because of- (a) its identity with the registered trade mark and the similarity of the goods or services covered by such registered trade mark; or (b) its similarity to the registered trade mark and the identity or similarity of the goods or services covered by such registered trade mark; or (c) its identity with the registered trade mark and the identity of the goods or services covered by such registered trade mark. (3) In any case falling under clause (c) of sub-section (2), the Court shall presume that it is likely to cause confusion on the part of the public. (4) A registered trade mark is infringed by a person who, not being a registered proprietor or a person using by way of permitted use, uses in the course of trade, a mark which - (a) is identical with or similar to the registered trade mark; and (b) is used in relation to goods or services which are not similar to those for which the trade mark is registered; and (c) the registered trade mark has a reputation in India and the use of the mark without due cause takes unfair advantage of or is detrimental to, the distinctive character or repute of the registered trade mark. (5) A registered trade mark is infringed by a person if he uses such registered trade mark, as his trade name or part of his trade name, or name of his business concern or part of the name, of his business concern dealing in goods or services in respect of which the trade mark is registered. (6) For the purposes of this section, a person uses a registered mark, if, in particular, he - (a) affixes it to goods or the packaging thereof. (b) offers or exposes goods for sale, puts them on the market, or stocks them for those purposes under the registered trade mark, or offers or supplies services under the registered trade mark; (c) imports or exports goods under the mark; or (d) uses the registered trade mark on business papers or in advertising. (7) A registered trade mark is infringed by a person who applies such registered trade mark to a material intended to be used for labelling or packaging goods, as a business paper, or for advertising goods or services, provided such person, when he applied the mark, knew or had reason to believe that the application of the mark was not duly authorised by the proprietor or a licensee. (8) A registered trade mark is infringed by any advertising of that trade mark if such advertising - (a) takes unfair advantage of and is contrary to honest practices in industrial or commercial matters; or (b) is detrimental to its distinctive character, or (c) is against the reputation of the trade mark. (9) Where the distinctive elements of a registered trade mark consist of or include words, the trade mark may be infringed by the spoken use of those words as well as by their visual representation and reference in this section to the use of a mark shall be construed accordingly." 161. As seen from Section 29 (1), an infringement happens when a person uses in the

course of trade an identical or a deceptively similar mark, in relation to the same goods or services and in such a manner as to render the use of the mark likely to be taken as being used as a trade mark. Under Sub.Section (2), an infringement happens when a person uses in the course of trade, a mark similar to or identical with a registered trade mark, on similar goods or services, which is likely to cause confusion on the part of the public. Sub.Section (3) raises a presumption in favour of likelihood of confusion, if the mark used by a person in the course of trade has identity with the registered trade mark and the goods or services, on which such mark is used, also have identity with the goods or services in respect of which, the mark is registered. Sub.Section (4) speaks of infringement in relation to trade marks which have acquired transborder reputation. Sub.Section (5) seeks to prevent a person from adopting someone else's trade mark as part of his trade name or business name.

162. However, Sub.Section (6) clarifies that for the purpose of Section 29, a person uses a registered mark,

(i) if he affixes it to goods or the packaging thereof;

(ii) if he offers or exposes those goods or services for sale under the registered trade mark;

(iii) if he imports or exports the goods under the mark; or

(iv) if he uses the registered mark on business papers or in advertising;

163. Under Sub.Section (7), even the application of a registered trade mark on a material intended to be used for labelling or packaging goods or as a business paper or for advertising goods or services, would constitute infringement. Sub.Section (8) goes a step further, by prescribing that a trade mark is infringed even by advertising that trade mark, if such advertising-------

(i) takes unfair advantage of and is contrary to honest practices in industrial or commercial matters or

(ii) is detrimental to its distinctive character or

(iii) is against the reputation of the trade mark.

164. Thus, a careful reading of Section 29, which contains an exhaustive list of various acts constituting infringement, shows that those various acts of infringement revolve either around the use of the mark in the course of trade or the use of the mark as a trade/business name or the use of the mark on

packages, labels and advertisements. While Sub-Sections (1) to (4) lay emphasis on 'use in the course of trade', Sub-Sections (5) and (6) merely speak about use of the registered mark on trade name, business name or labels or packages or on business papers or in advertising. In contrast, Sub-Section (7) speaks of the application of the registered mark on labels, packages, business papers, etc., or on advertisements. Sub-Section (8) does not speak either of the 'use of the mark' or 'application of the mark'. It speaks merely of the advertisement of the mark. Thus, section 29 in its entirety, brings within its fold, (i) the use of the mark (ii) the application of the mark and (iii) the advertisement of the mark.

165. Coming to the definition under Section 2(2)(b) and 2(2)(c), it is seen that Sub-Clause (ii) of Clause (c) of Sub-Section (2) of Section 2 steers clear, of any doubt that one may have as to what constitutes an use of the mark in relation to services. According to it, the use of the mark as or as part of any statement about the availability, provision or performance of certain services, would tantamount to 'the use of the mark in relation to such services'.

166. In the light of the provisions of Sections 2(2)(b), 2(2)(c), 29(6)(d), 29(7) and 29(8), if we examine the case on hand, it is clear that the defendants 2 to 4, use in the course of their trade, the two words, which form the component parts of the registered trade marks of the plaintiff, on their advertisements. Whenever a websurfer searches for the sites of the plaintiff, the links to the sites of the defendants 2 to 4 appear in the 'sponsored links' column. If the defendants 2 to 4 actually use in the adtitle and adtext of their advertisements in the 'sponsored link' column, the words which form part of the registered trade marks of the plaintiff, then it would certainly be an use in advertising and an use in the course of trade. A similar view was echoed by the High Court of Australia in Shell Company of Australia Ltd., Vs. Esso Standard Oil (Australia) Ltd.,{(1961) 1 B IPR 523}. The question which arose in that case was as to whether the use of an animated cartoon oil-drop character in a television commercial, amounted to use of the constituent pictures of a trademark. The court was called upon to decide whether in the setting in which the particular pictures referred to were presented, they would have appeared to the television viewer, as possessing the character of the devices or brands, which the appellant was using or proposing to use in relation to petrol for the purpose of indicating or so as to indicate, a connection in the course of trade between the petrol and Shell. The High Court held that "the use of a mark in an advertisement of goods is a use in the course of trade and is of course a use in relation to the goods advertised." However, Kitto,J., ultimately held that the use of the oil-drop character was to convey a message that it is that the chemical composition of Shell petrol gives it

advantages over its rivals and that since the mark was being used descriptively rather than as a badge of origin, the action for infringement should fail.

167. However, the question whether a mere use by a person, of someone else's registered trademark, even if unauthorisedly, would constitute infringement has attracted the attention of various courts internationally. But, Courts have not uniformly deemed all unauthorised uses of trademarks in metatags, to be actionable. In particular, where the junior user of a trademark, acts in good faith while using the mark in its metatags, to index the legitimate content of its website, Courts have held such use to be a permissible fair use. For instance, in Playboy Enters., Inc. vs. Welles 279 F.3d 796 9th Cir. 2002, the Court held that internet searchers would have a much more difficult time locating relevant websites if they could do so only by correctly guessing the long phrases necessary to substitute for trademarks. Similarly, someone searching for critiques of Playboy on the internet would have a difficult time if internet sites could not list the object of their critique in their metatags.

168. Similarly, the unauthorised use of another person's trade mark, was held to be a fair use in cases-- (i) where the defendant used the plaintiff's mark in a descriptive sense as in the decision in Brookfield (174 F.3d at 1066), by using simple English words "movie" and "buff" with a space in-between (ii) where the defendant's website was critical of the plaintiff's business activities as in the case of Bihari vs. Gross (119 F.Supp. 2D 309) (iii) where the defendant distributed the plaintiff's products or had a similar legitimate business relationship with or connection to the plaintiff and its products as in the case of Transunion {142 F.Supp. 2d at 1040} and (iv) where the defendant's fame or notoriety was due to its affiliation to the plaintiff as in Welles {279 F.3d at 802}. However, despite these exceptions, Courts have not extended the fair use defence to Cyber Stuffing in which another's trademark is used multiple times in website metatags to obtain more prominent placement on a search engine research space {Transunion 142 F.Supp. 2d at 1040}.

169. A use is considered to be a permitted nominative fair use, if it meets three requirements, viz., (i) the product or service in question must be one not readily identifiable without use of the trademark; (ii) only so much of the mark or marks may be used as is reasonably necessary to identify the product or service; and (iii) the user must do nothing that would, in conjunction with the mark, suggest sponsorship or endorsement by the trademark holder. {see New Kids on the Block vs. News Am. Publ'g Inc., 971 F.2d 302, 308 (9th Cir. 1992); Caims vs. Franklin Mint Co. 292 F.3d 1139, 1153-55 (9th Cir. 2002)}.

Generated with https://kome.ai

170. Nominative fair use and initial interest confusion were at the center of the dispute in J.K.Harris & Co. vs. Kassel. In this case, J.K.Harris and Kassel were rendering the services of negotiating reductions in tax assessments and resolution of past due tax obligations for clients. Both of them promoted their services online. On its website, taxes.com, Kassel began publishing negative information about Harris on a page that was designed so as to be prominently featured in the search engine results of those seeking information about Harris. Kassel did this by creating "keyword density" on the page in question: Harris' trade name was used seventy-five times, header and underline tags were placed around sentences containing Harris's trade name, the font size was increased, and links to websites containing information about Harris were included.

171. In the searches for Harris's trade name, Kassel's site prominently featured in the results. Harris sought to prevent Kassel from using its trade name anywhere on the taxes.com site, arguing that Kassel caused initial interest confusion by attracting customers to Kassel's site, where, after reading the negative information posted there about Harris, they might be dissuaded from doing business with Harris. The Court held that Kassel's use of Harris's trade name would be permitted if it was a nominative fair use. Further, the Court found that Harris' service could not be adequately described without using the "J.K.Harris" trade name, but that, given the negative nature of the information posted on Kassel's site, no user would believe it was sponsored or endorsed by Harris.

172. Nevertheless, the Court also held that it was necessary that "only so much of the mark or marks may be used as is reasonably necessary to identify the mark holder's product or services". After reviewing Kassel's uses, the Court held that "defendants' use of plaintiff's trade name in links to other web pages and when disseminating truthful factual information about plaintiff is a nominative fair use". However, the Court explained that it was not necessary either to use header or underline tags around sentences containing Harris' trade name or to increase the font size or page prominence of sentences containing Harris' trade name, or to increase the keyword density of its page by using Harris' trade name, or variations thereof.

173. Finding that there was no nominative fair use defense, the Court held that Harris was likely to prevail on its initial interest confusion claim as consumers were likely to be confused by Kassel's use of Harris' trade name. Since irreparable harm is presumed under the Lanham Act after a demonstration of likelihood of confusion, the Court issued a preliminary injunction, enjoining Kassel from using 'J.K. Harris' or any permutation thereof as a keyword for the

taxes.com website more often than is necessary to identify the content of the website and from using header and underline tags around sentences containing Harris' trade name, or from increasing the prominence and font size of sentences which include Harris' trade name.

174 However, in the context of the statutory provisions in India, there are only 2 questions which are relevant in this context. They are:-

(1) whether the defendants are using the registered trade mark in the course of trade or using it in advertisements within the meaning of section 2(2)(b) and (c) and 29(6); and (2) whether such use or application constitutes infringement within the meaning of section 29(8). If the defendants 2 to 4 use the individual words constituting the registered trade marks of the plaintiff, in their advertisements in the sponsored links column, then such use would certainly fall within section 2(2)(c)(ii) and 29(6)(d).

175. Therefore we have to see if such use in advertising, satisfies the ingredients of sub-section (8) of section 29 also, so as to constitute infringement.

176. In the case on hand, it is the contention of the defendants that even if they use the individual words or parts of the plaintiff's registered trade marks in their advertisements, such use will not be an use in the trade mark sense, but only in a descriptive sense. This contention has to be viewed in the light of the fact that a web portal rendering online matrimonial services for different sections of the public, will have no alternative, except to describe the nature of the services rendered by them, in their advertisements, with reference to----

(i) the caste/community/race/ethnic group and

(ii) the type of services rendered.

177. Therefore, the defendants 2 to 4, in my view, cannot be said to be taking unfair advantage of and acting contrary to honest practices in industrial or commercial matters, within the meaning of section 29(8)(a) of the Act. These 2 terms unfair advantage of and honest practices appear not only in section 29(8)(a) but also in section 30, which prescribes the limits on the effect of registered trade marks. The relevant portion of section 30 reads as follows:-

'30. Limits on effect of registered trade mark (1) Nothing in Section 29 shall be construed as preventing the use of a registered trade mark by any person for the purpose of identifying goods or services as those of the proprietor provided the use - (a) is in accordance with honest practices in industrial or commercial matters, and

(b) is not such as to take unfair advantage of or be detrimental to the distinctive character or repute of the trade mark. (2) A registered trade mark is not infringed where - (a) the use in relation to goods or services indicates the kind, quality, quantity, intended purpose, value, geographical origin, the time of production of goods or of rendering of services or other characteristics of goods or services; 178. Despite section 29(8)(a) and section 30(1)(a) speaking of "honest practices", there is no indication anywhere in the Act as to what constitute "honest practices". It may perhaps be due to the fact that persons who follow honest practices in everyday life do not need a definition from the statute book, while for the others, no amount of definition would be of any use. However, the European Court of Justice in Michael Holterhoff vs. Ulrich Freiesleben {(2002) F.S.R. 23, 362, p.376}, expressed the view that, "by its very nature, such a concept must allow of a certain flexibility. Its detailed contours may vary from time to time and according to circumstances, and will be determined in part by various rules of law which may themselves change, as well as by changing perceptions of what is acceptable. However, there is a large and clear shared core concept of what constitutes honest conduct in trade, which may be applied by the Courts without great difficulty and without any excessive danger of greatly diverging interpretations..." The Court further described the concept as "expressing a duty to act fairly in relation to the legitimate interests of the trade mark owner, and the aim as seeking to "reconcile the fundamental interests of a trade-mark protection with those of free movement of goods and freedom to provide services in the common market" in such a way that trade mark rights are able to fulfil their essential role in the system of undistorted competition which the Treaty seeks to establish and maintain".

179. The European Court further referred to Article 10bis of the Paris Convention for Protection of Industrial Property which uses the very same expression "honest practices in industrial or commercial matters". Article 10bis defines an "act of unfair competition" as one which is contrary to such practices. The said Article runs thus:

The following in particular shall be prohibited:

1. all acts of such a nature as to create confusion by any means whatever with the establishment, the goods, or the industrial or commercial activities, of a competitor;

2. false allegations in the course of trade of such a nature as to discredit the establishment, the goods, or the industrial or commercial activities, of a competitor;

3. indications or allegations the use of which in the course of trade is liable to mislead the public as to the nature, the manufacturing process, the characteristics, the suitability for their purpose, or the quantity, of the goods.

4. Honesty is actually an animus of mind. It can never be discovered either by the words spoken by a person or by the acts of omission and commission committed by him. Therefore one can only make inferences from the circumstances. Keeping in mind the concept of what constitutes "honest practices", if we look at the third defence set up by the defendants 2 to 4, it cannot be said that the defendants are guilty of infringement in terms of section 29(8), especially in view of the descriptive nature of the individual words, whose combinations have been registered as trade marks by the plaintiff. However, I wish to clarify that if the registered trade marks of the plaintiff were not descriptive of (i) the consumers of the services rendered, such as Tamils, Telugus, etc., and (ii) the nature of the services rendered, namely matrimonial services, I would not have accepted the third defence set up by the defendants, since even an application of the registered trade mark in advertisements, would be an use in the course of trade and may at times constitute infringement in terms of section 29(6) and (8) respectively. Say for instance, the plaintiff had adopted the name of its founder "Murugavel" as the trademark for the online matrimonial services rendered by them, the same would not fall under the category of generic or descriptive word in so far as the offering of matrimonial services are concerned. In that case, the defendants will not be heard to contend that they would use the same mark and that such use did not take unfair advantage of or fell within the meaning of honest practices.

5. Therefore, in my considered view, the use by the defendants, of the individual words constituting the registered trademarks of the plaintiff, in the advertisements in internet, may not amount to taking unfair advantage of and contrary to honest practices in industrial or commercial matters. The ingredients of section 29(8)(b) and (c) are also not satisfied, since it is not shown that the use is detrimental to the distinctive character of the mark or against the reputation of the mark. Therefore, i hold that though the use by the defendants would be an use in the course of trade and an use in advertising, such use does not amount to an infringing use, in view of the reasons stated above.

DEFENCE IV (ESTOPPEL)

182. The fourth contention of the defendants 2 to 4 is that the plaintiff is equally guilty of what the defendants 2 to 4 are alleged to be. According to them, whenever the web surfers attempt to access the sites of the defendants 2 to 4,

the links to the sites of the plaintiff are automatically displayed on the right hand side under the sponsored links. Therefore, the defendants 2 to 4 contend that under the law relating to grant of injunctions, a person, who himself is guilty of something, is not entitled to seek a prohibitory order restraining others from doing what he is also guilty of.

183. Interestingly, the third defendant has filed a print-out of an interview given by Janakiraman Murugavel, Founder and CEO of the plaintiff to MediaNama , probably a web journal, as document No.2. The interviewer appears to have questioned him regarding the advertisements of plaintiff on the search engine, which also fall in the same line. The relevant portion of the interview is as follows:-

In response to our question regarding Consim Info itself advertising on competitive keywords (screenshots here), Janakiraman said that Google should stop everybody, including us. Therefore, the fact that the plaintiff is also enjoying the unlimited choice of keywords offered by Google, which at times, trespasses into others' territories, is quite obvious. 184. However, in response to the said contention, Mr.T.V.Ramanujun, learned Senior Counsel appearing for the plaintiff contended that irrespective of who is guilty of infringement, the search engine owns the responsibility to prevent the same and that the plaintiff has no qualms about being prevented by the search engine, if their advertisements tend to infringe the registered trade marks of the defendants 2 to 4. 185. Though, on principle, the contention of the defendants 2 to 4 in this regard is legally well founded, there is a lacuna in their contention. As pointed out in the preliminary portions of this order, the defendants 2 to 4 also have as their trade marks, words which are descriptive. Therefore, the first defence that they set up against the plaintiff's claim, would apply equally against them, if and when they seek an injunction against the plaintiff. Therefore, I do not wish to decide the dispute, on the basis of this fourth contention, since all the parties hereto, have actually adopted ordinary English or Hindi words in combination with other words that are descriptive in nature, as their trade marks or domain names.

DEFENCE V (REGISTRATION OF THE MARK WAS WRONGFUL)

186. The fifth ground of attack of the defendants 2 to 4 to the claim of the plaintiff is that since the words 'Tamil', 'Malayalam', 'Telugu', 'Punjabi', 'Assamese', etc., are in publici juris, the very registration obtained by the plaintiff, is in violation of Section 9(1)(b) of the Act.

187. The relevant portion of Section 9 reads as follows :

"9. Absolute grounds for refusal of registration.- (1) The trade marks- (a) which are devoid of any distinctive character, that is to say, not capable of distinguishing the goods or services of one person from those of another person; (b) which consist exclusive of marks or indications which may serve in trade to designate the kind, quality, quantity, intended purpose, values, geographical origin or the time of production of the goods or rendering of the service or other characteristics of the goods or service; (c) which consist exclusive of marks or indications which have become customary in the current language or in the bona fide and established practices of the trade, shall not be registered: Provided that a trade mark shall not be refused registration if before the date of application for registration it has acquired a distinctive character as a result of the use made of it or is a well-known trade mark. 188. But, unfortunately, the contention based on the validity of registration, cannot be accepted in view of Sections 31 and 32. Under Section 31(1), the registration of a trade mark is considered prima facie evidence of its validity. Under Sub.Section (2) of Section 31, a registered trade mark cannot be held to be invalid in a legal proceeding on the ground that it was not registrable under Section 9. By virtue of Section 32, it is open to the plaintiff to establish in the course of trial that after the registration of the mark, but before the commencement of the legal proceedings, the mark has acquired a distinctive character, in consequence of its use. Therefore, the contention that the trade marks in question ought not to have been registered, cannot be accepted.

DEFENCE VI (ICANN)

189. The next contention of one of the defendants is that the plaintiff ought to have availed of the remedy provided under the Uniform Domain Names Dispute Resolution Policy (UDRP) of the Internet Corporation for Assigned Names and Numbers (ICANN) and that they should not have rushed to this court. But, the said contention cannot be accepted since the jurisdiction conferred upon this Court by statute, is not ousted by the said Policy. There is no bar of jurisdiction of this Court, to adjudicate a dispute relating to the alleged infringement of a registered trade mark and of passing off in the internet.

190. The Internet Corporation for Assigned Names and Numbers (ICANN) is a non profit consensus organisation designated to carry on the administration of the Internet name and address system. It has control over domain names in the global or generic top level domain names (gTLDs). It administers the Internet Protocol and addresses issues of space allocation, protocol parameter assignment, Domain Name System management and root server system functions. It administers the Uniform Dispute Resolution Procedure, for

resolving certain disputes by a non judicial process. Paragraph 4.1 of the said Policy enables ICANN to adjudicate a dispute between a third party and a Provider (i) if his domain name is identical or confusingly similar to a trade mark or service mark in which the complainant has rights (ii) if he has no rights or legitimate interests in respect of the domain name and (iii) if his domain name has been registered and is being used in bad faith. Paragraph 5 makes it clear that all disputes regarding domain name registration which are not brought pursuant to the mandatory administrative proceeding provisions of paragraph 4, shall be resolved through Court, Arbitration or other proceedings. Therefore it is a non-exclusive remedy.

DEFENCE VII (ROLE OF SEARCH ENGINE)

191. The next contention of the defendants is that a search engine is like a directory containing references to various products and services as well as references to the manufacturers of those products and providers of services. Therefore, according to the defendants, the use of the words which constitute the registered trademarks of persons, in the keyword suggestion tool would not amount to an use in the course of trade of the search engine and would not in any case constitute an infringement.

192. But analogizing a search engine to a directory, may not be appropriate for various reasons. In a directory, the name of a person would invariably appear in one or two locations or sites. Say for instance, the name and address of a timber merchant or his advertisement may appear in a directory, at the location where the names and addresses/advertisements of all timber merchants are grouped and displayed. At the most, it may appear (not very often) also at a location where wood products are listed. The reason for this is (i) that there is a constraint of space in a directory and (ii) that the listing in various locations unconnected with the advertiser's products or services would not be of any utility value. But in a search engine, there is no constraint of space, since it operates in the virtual world. Moreover, the selection of locations at which a person's name could appear, is made mechanically in a search engine and not manually. Consequently, the names are prone to appear in the organic results column, at as many locations as one could imagine, irrespective of whether or not, the location has any relevance to the name, product or service. Even in respect of advertisements, search engines offer unlimited choice, in the form of keywords, to enable service providers and manufacturers to display or hang their advertisements, in as many locations as possible. Since there is no constraint of space, the advertisers prefer to post their advertisements in

several locations in the search engine. Therefore, the comparison of a search engine to a directory may not be appropriate. In such circumstances, what then is the role and the responsibility of the search engine, in respect of the choice of keywords offered by them ?

193. According to Google, their relationship with a person advertising his products and services in the search engine is governed by (1) Advertising Program Terms (2) Advertising Policy and Editorial Guidelines and (3) Adwords and Adsense Trademark Policy. In the Advertising Program Terms , Google has made the customer (advertiser) solely responsible for ad targeting options and keywords and all ad content, ad information and ad URLs. Similarly, in their Advertising Policies , a copy of which is filed by them, the search engine has stated as follows:-

Trademarks Google recognizes the importance of trademarks. Our AdWords Terms and Conditions with advertisers prohibit intellectual property infringement by advertisers. Advertisers are responsible for the keywords they choose to generate advertisements and the text. Google takes allegations of trademark infringement very seriously and, as a courtesy, we investigate matters raised by trademark owners. Trademarks are territorial and apply only to certain goods or services. Therefore, different parties can own the same mark in different countries or different industries. Accordingly, in processing complaints, Google will ask the trademark owner for information regarding where the mark is valid and for what goods or services. Please note the following about our complaint process: The trademark owner doesn't need to be a Google AdWords advertiser in order to send a complaint. Any such investigation will only affect ads served on or by Google. Google's trademark policy does not apply to search results. Our investigations only apply to sponsored links. For trademark concerns about websites that appear in Google search results, the trademark owner should contact the site owner directly. In the case of an AdSense for Domains trademark complaint, an investigation will affect only the participation of the domain name in question in our AdSense for Domains program. Because Google is not a third-party arbiter, we encourage trademark owners to resolve their disputes directly with the advertisers, particularly because the advertisers may have similar ads running via other advertising programs. 194. By adopting the policy extracted above, the search engine appears to have shown concern, about the possible infringement of trademarks by the potential advertisers. It has also provided a mechanism for redressal of complaints. What is important is that the second paragraph of the policy extracted above, shows that even a person who is not an adwords advertiser in Google, is welcome to send a complaint. In other words, the policy to honour registered trademarks, is not merely

confined to those who advertise in Google, but also available to all, who have a grievance of infringement.

195. In the third document filed by Google viz., Adwords and Adsense Trademark Policy , it is stated that depending upon the region in which trademark rights are asserted, Google would investigate the use of trademarks, (i) in adtext only or (ii) in adtext and keywords. In the said document, Google has given a list of regions, where their investigation would be confined to the use in adtext only and a list of regions where they would investigate the use in both adtext and keywords. India is placed along with United States and United Kingdom, in the first list of regions, where the investigation would be confined only to adtext. Many of the European countries such as France, Italy etc., are included in the second list. China is also included in the second list, perhaps due to the controversies created in the recent past.

196. In the document mentioned in the preceding paragraph, just below the list of regions where the investigation is confined to adtext only, it is stated as follows:-

Google is dedicated to providing relevant advertising to our users, advertisers and publishers alike. Accordingly, our trademark policy not to investigate the use of trademarks as keywords in the regions listed above aims to provide users with choices relevant to their keywords. At the same time, we investigate trademark violations in adtext, both as a courtesy to the trademark owner and to ensure that ads are clear to users. Just below the list of regions where the investigation would be on both adtext and keywords, it is stated as follows:- We do not take any action in situations where an advertisement is being triggered by non-trademarked terms even though the search query contains a trademarked term. This occurrence stems from the fact that Google allows advertisers to use a broad matching system to target their ads. For example, if an advertiser has selected the keyword shoes that advertiser's ad will appear when a user enters the word shoes as a search query, regardless of other search terms that may be used. So, the ad would show if the user entered any of the following search queries: lennis shoes , red shoes or Nike shoes . This system eliminates the need for the advertiser to specify each of the myriad different search query combinations that are relevant to their ad. 197. The reason for adopting different policies in different regions, is actually not very clear. However, in document No.6 filed by Google, containing sample printouts, depicting the component of an ad and explaining the process of search in Google, the first defendant has stated that in accordance with their adwords policy, the plaintiff's registered trademarks, would not appear in the adtext i.e., the title or the text of the ad of others.

198. However, in the screen shots of the defendant's webpages, showing sponsored links ads, filed by the plaintiff as document Nos.48, 49, 50, 51, 52 and 53, the terms Tamilmatrimony , Sindhimatrimony , Punjabimatrimony , Bengalimatrimony , Assamesematrimony etc., are shown to have appeared in the ad title of the advertisements released by the defendants 2 to 4, in the sponsored links column. In some of those webpages, the ad title contains the term as one single term and in some, they appear as separate words such as Tamil Matrimony etc.

199. As I have pointed out elsewhere in the judgment, the appearance of the separate words cannot be taken exception to, in this particular case, in view of the peculiar nature of the combination of the two words constituting the registered trademarks. As held elsewhere, there is no synonym for the words Tamil , Telugu etc., and the synonyms available for the word Matrimony are a few. Therefore, there would be difficulty in giving a title to these advertisements, if the use of both the words together, is prohibited. In such circumstances, I am of the view that if the search engine enforces the policy that is reflected in document Nos.2, 3, 4, 5 and 6 filed by them, that would be a sufficient safeguard for the rights conferred upon the plaintiff by the registration of the trademarks.

200. Normally an advertisement in a search engine, is triggered when the hands of the websurfer, types a search term, which matches the adwords selected by the advertiser, with or without the help of the keyword suggestion tool. While the search engine may have a control over the selection of keywords by the advertiser, the search engine may not have any control over the surfer, on the choice of a search term. It is also not possible for a search engine to be aware of all the trademarks registered in all the jurisdictions, in respect of all the goods and services. Therefore, the offer of words by a search engine, in their keyword suggestion tool, may not per se amount to an infringing use of a registered trademark, though it may amount to a use in the course of their own trade. It is true that the number of visitors that a site has on a daily basis, may induce the search engine to include the whole or part of the name or title of the site, in the keyword suggestion tool, to enable the competitors of the site to choose those words as adwords. But it may or may not happen with the knowledge that such names constitute registered trademarks. There cannot be a presumption that the inclusion of those names in the keyword suggestion tool, happened with the knowledge of the search engine, about the registration of those words as trademarks. It is only in cases where a completely arbitrary or fanciful name, which has no nexus or connection with the nature of the goods or services, is

adopted as a trademark, that the offer by a search engine of that trademark in their keyword suggestion tool, to the competitors of the proprietor of the mark, could be considered as amounting to vicarious or contributory infringement. In cases of the nature on hand, the benefit of doubt would go to the search engine, since the choice of the words Tamil , Matrimony etc., in the keyword suggestion tool, need not necessarily have happened deliberately.

201. One more contention of the plaintiff is that the search engine is guilty of double standards, in the sense that sponsored links do not appear for certain categories of persons, products and services such as Aircel, HDFC, Microsoft, Nike, ICICI Bank, Oracle, Facebook etc. In support of the said contention, the plaintiff has also filed the print-outs of the relevant webpages as part of document No.69. However, the first defendant has denied this. The first defendant has also filed as document No.16 series, the screen shots of the webpages, where multiple sponsored links appear for HDFC, Oracle, Microsoft and even Google. Therefore, the question as to whether the search engine is adopting double standards, has to be examined only at the time of trial and as on date, the match is equally poised on this issue.

202. Therefore, I hold that the inclusion of the words Tamil , Matrimony etc., in the keyword suggestion tool of the search engine, would not amount to an infringing use, nor would it amount to a contributory infringement, in view of my findings against the plaintiff vis-a-vis defendants 2 to 4. However, it is made clear that Google has a duty to explain in the course of the main proceedings (suit), the rationale behind the difference in policy adopted by them in different regions.

O.A.Nos.977 and 978 of 2009

203. In the light of the above discussion, I am of the view that the plaintiff is not entitled to the injunctions sought for, as they have failed to pass the triple tests of (i) prima facie case (ii) balance of convenience and (iii) irreparable hardship. But it shall not be construed to mean that the first defendant (Google) need not anymore adhere to their Adwords Trademark Policy, as reflected in document Nos.2, 3 and 4 filed by them. This is on account of the fact that as a result of my judgment, the plaintiff should not be singled out and deprived of the benefit of a policy that the first defendant is adopting uniformly, not only for the benefit of its own customers, but also for the benefit of persons who do not advertise in their search engine. As a matter of fact, the plaintiff is admittedly one of the advertisers in Google. Therefore, they have a contractual relationship with Google. Consequently, the benefit of the Adwords Trademark Policy would

enure to them, at least out of such contractual relationship. Therefore, even while dismissing O.A. Nos.977 and 978 of 2009, I make it clear that the first defendant (Google) shall not deprive the plaintiff of the benefit of their Trademark Policy.

204. As pointed out in paragraph 7, this is an application filed by the plaintiff under Order XXXIX, Rule 2A, CPC for punishing the first defendant, by ordering the attachment of its properties, for allegedly disobeying the orders of this Court dated 07.10.2009 in O.A.Nos.977 and 978 of 2009.

205. As pointed out earlier, this Court granted interim orders of injunction as prayed for, in O.A.Nos.977 and 978 of 2009, on 17.9.2009. The operative portion of the said order read as follows:

"I could see considerable force in the submission made by the learned counsel for the applicant/plaintiff and accordingly, interim injunction as prayed for is granted till 05.10.2009." It is seen from the docket sheet in O.A.Nos.977 and 978 of 2009 that the applications were listed for hearing on 05.10.2009 and they were simply adjourned to 06.10.2009 without any order. On 06.10.2009, the Court heard the matter in part and adjourned it to 07.10.2009 and also extended the interim order till then.

206. On 07.10.2009, the Court heard the arguments on both sides. After adverting to the prayers made and the rival contentions in paragraphs 1 to 8, in its order dated 07.10.2009, the Court pointed out in paragraphs 10 and 13 that the plaint as it stood on that date, required modifications and that therefore, the plaintiff was not justified in seeking exparte injunction with those defective pleadings. Thereafter, the Court referred to the policy of the search engine on the issue and held in paragraphs 19 and 20, which constitute the operative portion of the order, as follows:

"19. As of now, in view of my discussion supra, it is suffice to direct that R1 Google India Private Limited would adhere to its present business policy as put forth by the learned senior counsel for R1 that the plaintiff's registered trade marks would be protected by ensuring that others do not use them in their "ad words". 20. As such, the interim injunction already granted on 17.09.2009 shall stand vacated and the matter is posted for further hearing on 04.11.2009."

207. Complaining that despite the directions of this Court to adhere to their business policy, the first defendant was continuing to use the plaintiff's trade marks as part of their "ad words" program and that they have been allowing the others to

use the plaintiff's trade marks in part of their advertisement, the plaintiff has come up with this application to punish the first defendant.

208. The first defendant (Google) has filed a counter, contending inter alia that as per their Adwords Trademark Policy, recorded by this Court in paragraph 8 of its order dated 07.10.2009, the first defendant did not allow the registered trademark of any one from being used as adwords by any other person and that the impression "Adword" as used in the industry would mean the use of the words in the title and text of the advertisement. The first defendant has also pointed out that since the number of advertisements created using the adwords program is substantial and voluminous, there may be some odd instance of an advertisement which is non compliant with the policy, to appear. However, in paragraph 9 of the counter affidavit, the first defendant has reiterated its commitment that they would adhere to the present business policy. The first defendant has also indicated that its current adwords policy does not permit the use of any trademarked term in the ad text, i.e., the title and text of the advertisement.

209. In view of the stand taken by the first defendant and in view of what was recorded by this Court in paragraph 8 of its order dated 07.10.2009, it is not possible for me to conclude that there was any wilful and deliberate disobedience of the order dated 07.10.2009. Therefore, A.No.6001 of 2009 is dismissed.

A.Nos. 6380, 6382 & 6383 of 2009

210. While A.No.6380 of 2009 is by the fourth defendant under Order VII, Rule 11, CPC to reject the plaint, A.Nos.6382 and 6383 of 2009 are by the second defendant praying for (i) rejection of plaint under Order VII, Rule 11, CPC; and (ii) stay of further proceedings in the suit.

211. The stay of suit is sought on the short ground that in the plaint, the plaintiff has given a false and fictitious address for the second defendant, despite the fact that there are several litigations between the parties and the plaintiff was well aware of the correct address of the second defendant. The second defendant relies upon the provisions of Order VI, Rule 14A (5)(a) of the Code of Civil Procedure, for seeking stay of the suit.

212. However, I do not think that there is any necessity to stay the suit. The second defendant has entered appearance through counsel and has also filed counter affidavits to the applications for injunction. The second defendant has also

come up with substantial applications for stay of suit and rejection of plaint. Therefore, the stage at which the provisions of Order VI, Rule 14A(5) are to be invoked, has already passed. As a matter of fact, a careful perusal of the provisions of sub rules (5), (6), (7) and (8) of Rule 14A of Order VI would show (i) that at any time, the plaintiff can seek the setting aside of the order of stay, after furnishing the true address of the defendant; and (ii) that as per sub rule (8), nothing in Rule 14A shall prevent the Court from directing the service of process at any other address.

213. Now that the second defendant has effectively defended itself, there is no occasion to invoke the said provision. We have already crossed the stage at which the provisions of Order VI, Rule 14A(5) could be invoked. Therefore, there is no question of staying the suit. Hence, A.No.6383 of 2009 is dismissed.

214. The rejection of plaint under Order VII, Rule 11 is sought by defendants 2 and 4 in their applications A.Nos.6382 and 6380 of 2009 respectively, on the following grounds:

(i) that the plaintiff did not produce any evidence regarding registration of trade marks in its name; (ii) that it is only the registered proprietor of the trade marks, who is entitled to the rights conferred by registration and since the plaintiff is not the registered proprietor, he is not entitled to protection; (iii) that the second defendant is not engaged in any line of business connected with those mentioned in Class 16 and hence, even the proprietor of the trade marks in relation to goods falling under Class 16, would have no cause of action against the second defendant; and (iv) that all disputes regarding the registration and use of domain names are governed by a separate regime under the Uniform Domain Names Dispute Resolution Policy (UDRP) of the Internet Corporation for Assigned Names and Numbers (ICANN) and hence, the dispute raised by the plaintiff is out of the jurisdiction of this Court. 215. Insofar as the first two contentions (regarding the person in whose name the trade marks stand registered) are concerned, it is true that at the time when the plaintiff came up with the above suit, the pleadings were defective. Admittedly, the proprietor of a majority of the 22 registered trade marks was Mr.Janakiraman Murugavel. Originally, he was not made a party to the suit in his individual capacity and there were also no pleadings about any assignment made by him in favour of the plaintiff, of which he is the Chief Executive Officer. This is why the defendants 2 and 4 came up with applications for rejection of plaint, on the ground that a majority of 22 registered marks did not stand in the name of the plaintiff Company and that therefore, the protection available only to the registered proprietors, cannot be extended to the plaintiff. However, the plaintiff later got his

plaint amended by virtue of an order dated 21.01.2010 passed in A.No.6379 of 2009. The order dated 21.01.2010, allowing the application for amendment, was not challenged by any of the parties.

216. It is true that I also gave liberty to the defendants 2 and 4 to raise all these objections in the applications for injunction and in the suit. I have noted this in paragraph 10 of this order, even while providing the reasons which persuaded me to allow the amendments.

217. Therefore, all that the defendants 2 and 4 can claim is that these objections can be taken note of in deciding the applications for injunction and in deciding the suit. But, it does not mean that the suit can be thrown out at the threshold, on the ground of defective pleadings, especially after the amendments were allowed.

218. Order VII, Rule 11 enables this Court to reject a plaint (i) where it does not disclose a cause of action; (ii) where the relief is under valued; (iii) where the relief is properly valued, but the plaint is insufficiently stamped; (iv) where the suit appears from the statement in the plaint to be barred by any law; (v) where it is not filed in duplicate; and (vi) where the provisions of Rule 9 are not complied with.

219. A reading of the averments in the affidavits in support of the applications for rejection of plaint would show that the defendants 2 and 4 are attempting to bring the applications within clauses (a) and (d) of Order VII, Rule 11. But, the plaint does actually disclose a cause of action. It is well settled that for deciding an application under Order VII, Rule 11, the Court has to look only into the averments contained in the plaint and the documents filed by the plaintiff. The averments contained in the plaint, certainly disclose a cause of action. Whether such cause of action is true or false, is a matter of evidence and hence, the plaint cannot be thrown out without trial.

220. The defendants 2 and 4 are unable to point out as to how the suit is barred by any law (so as to bring it within clause (d) of Order VII, Rule 11), except depending upon the Uniform Domain Names Dispute Resolution Policy (UDRP) of the Internet Corporation for Assigned Names and Numbers (ICANN). But, I have already pointed elsewhere that the jurisdiction conferred upon this Court, is not ousted by the said Policy. Therefore, the case will not even fall under clause (d) of Order VII, Rule 11.

221.Thus, there are no grounds to reject the plaint. Hence, A.Nos.6380 and 6382 of 2009 are dismissed.

222. This is an application taken out by the plaintiff to implead Google Inc., USA, as the fifth defendant in the suit. This application is taken out on the ground that the first defendant has taken a stand in their counter affidavit that it is a wholly owned subsidiary of Google Inc., USA and that Google Inc., is the owner of the search engine.

223. There is no dispute about the fact that Google Inc., USA is the holding company and the first defendant herein is its wholly owned subsidiary. All the policies of the search engine google, including the adwords policy, are framed by Google Inc., USA. Perhaps, the policies are trimmed by the subsidiaries in different jurisdictions, depending upon the local laws. But, ultimately, it is the holding company which owns the search engine. Therefore, the proposed defendant is a proper party, even if construed to be not a necessary party. Hence, A.No.247 of 2010 is allowed.

224. In fine----------

(i) O.A. Nos.977 and 978 of 2009 are dismissed. But the dismissal of these applications shall not be construed to mean that the first defendant (Google) may henceforth deprive the plaintiff, of the benefit of their Adwords Trademark Policy, as reflected in document Nos.2, 3 and 4 filed by them.

(ii) A.No.6001 of 2009 is dismissed.

(iii) A.Nos.6380, 6382 and 6383 of 2009 are dismissed.

(iv) A.No.247 of 2010 is allowed.

The parties shall bear their own costs. It is made clear that the main suit shall proceed, uninfluenced by all observations and findings recorded herein.

30-09-2010

Index : Yes. Internet : Yes. Svn

V. RAMASUBRAMANIAN, J.

Svn

Common Order in
6380, 6381 and 6382 of 2009 and

30-09-2010Delhi High Court

Cross Fit Inc. vs Gurpreet Singh & Anr. on 30 October, 2015 Author: Manmohan Singh Bench: Manmohan Singh

- IN THE HIGH COURT OF DELHI AT NEW DELHI

% Order delivered on: 30th October, 2015

- CS (OS) No.2114/2014

  CROSS FIT INC. ..... PLAINTIFF
  Through Mr.Pravin Anand, Adv. with
  Ms.Tanvi Misra, Adv.

  versus

  GURPREET SINGH & ANR. ..... DEFENDANTS
  Through Defendants are ex-parte.

  CORAM:
  HON'BLE MR.JUSTICE MANMOHAN SINGH

MANMOHAN SINGH, J.

1. The plaintiff has filed the present suit for permanent injunction restraining the defendants from using the mark 'KrossFit' as in respect of "GYM, PROVIDING OF TRAINING, SPORTING AND CULTURAL ACTIVITIES" in the name of Gurpreet Singh (defendant No.1) trading as 'KrossFit' (defendant No.2) who have sought registration of their trademark at the Trademark Registry under application No. 2382555 in class 41 and any other mark identical or deceptively similar to plaintiff's well known trademark, CrossFit.

(a) Extracts from the website of the Indian Trademarks Registry showing the defendants' trademark application have been exhibited as Ex. PW-1/49. (b) Photographs of the hoardings at the defendants' premises, which bear the impugned trademark, have been exhibited as Ex. PW-1/50. (c) Cease and desist notice sent to the defendants on 19th July, 2013, which the defendants did not reply to has been exhibited as Ex. PW-1/51. (d) Opposition proceedings filed by the plaintiff before the Trademark Registry on 30th June, 2014 have been exhibited as Ex. PW-1/52. 2. No written statement has been filed by the defendants. Counsel for the plaintiff upon instruction has informed that the plaintiff is not pressing any relief of damages, rendition of accounts, costs except the relief of permanent injunction. He submits that in the absence of written statement, this Court may exercise its discretion even otherwise to pronounce the judgment under Order VIII Rule 10 CPC.

3. The defendants were proceeded ex-parte by the order dated 2nd February, 2015 and the plaintiff has filed the ex-parte evidence affidavit through its General Counsel, Mr. Dale Saran. The notarized true copy of the Unanimous Consent of the Board of Directors has been exhibited as Ex. PW-1/1. The notarized true copy of the bylaws of CrossFit Inc. along with the 'Action By Incorporator of CrossFit Inc' has been exhibited as Ex. PW-1/2.

4. The plaintiff has filed the scanned copy of the affidavit by way of evidence of Mr. Dale Saran. Learned counsel for the plaintiff submits that he will file the original affidavit within four weeks from today. He presses that let the decree be passed under Order VIII Rule 10 CPC.

5. Description about CrossFit: 'CrossFit' is a fitness regimen developed by Coach Greg Glassman over decades, which aims at optimizing fitness through constant varied functional movements executed at high intensity across broad time and modal domains. The plaintiff is the first entity in the world to use 'CrossFit' for its fitness and training services. The plaintiff Company is the first fitness organization in the world to provide quantifiable and precise definitions of

health and fitness. The plaintiff's services and products can be accessed by anyone who has an Internet connection. Web extract from the plaintiff's website providing a general description and the salient features of the CrossFit regimen has been exhibited as Ex. PW-1/3.

6. Plaintiff's network operates all over the world, with a presence in more than 70 countries, with over 11,000 gyms (referred to as "Boxes"). A map containing the locations of all the CrossFit boxes in the world has been exhibited as Ex. PW-1/12. Currently there are 17 boxes in India, as seen in the map, which has been exhibited as Ex. PW-1/37.

7. Community aspect of the plaintiff: The plaintiff stays connected with the community created when people practice the CrossFit regimen together.

a) CrossFit Discussion Board: The communal aspect is essential for the regimen to be effective, which is why the plaintiff has created the CrossFit Discussion Board on its website, which enables all members of the CrossFit community to share their experiences. It provides a platform for them to exchange health and exercise tips and have their queries resolved by communicating with other members of the global CrossFit community. Extracts from the CrossFit discussion board have been exhibited as Ex. PW- 1/5. b) CrossFit Radio: The plaintiff broadcasts discussions and interviews of different members of the CrossFit community, irrespective of whether they are trainers, followers or simply enthusiasts. This broadens the extent of CrossFit's reach to consumers worldwide, especially since the show is available on various online broadcasting platforms. The broadcasts are archived for future references and at present there are 405 broadcasts available at http://journal.crossfit.com/radio/. The web extract of the CrossFit Radio, which contains links to hundreds of live broadcasts has been exhibited as Ex. PW- 1/19. c) The CrossFit Journal: The plaintiff is the publisher of a daily multimedia magazine on fitness, health and lifestyle called 'The CrossFit Journal', which has been exhibited as Ex.PW- 1/18. The journal serves to assist the members of the CrossFit community in improving their athletic performance and their quality of life. It contains over 3,100 articles, video and audio files pertaining to various aspects of healthy living, such as exercise techniques, exercise physiology, functional movements, nutrition, injuries and rehabilitation etc. This forum welcomes participation in the form of articles, posts, videos and comments from people of every denomination in the world of fitness, whether they be mere enthusiasts or elite coaches and fitness experts. It serves as a platform to share knowledge and experiences, further strengthening ties within the CrossFit community. It serves as a space for them to share their experiences relating to CrossFit with the global CrossFit community.

8. The plaintiff is the first entity in the world to use 'CrossFit' for its fitness and training services. The mark 'CrossFit' was first used by the plaintiff in respect of its gym called 'CrossFit Santa Cruz' in Santa Cruz, California in 1995. In 1996, the plaintiff Company first commenced its business under the name 'CrossFit, Inc.' in Washington, USA. In 2008 the plaintiff Company was incorporated under the laws of Delaware, USA and the notarized certificate of conversion of the plaintiff Company has been exhibited as Ex. PW 1/4.

9. Plaintiff's services and products: The plaintiff provides services including strength training, fitness programs, trainer certifications and conducts fitness seminars as well. The plaintiff also offers specialized courses that equip CrossFit trainers with the know- how to help their clients achieve specific results in various sports and athletic activities. These courses have been duly recognized by numerous health organizations.

(a) Certification courses of the plaintiff at Level 1 and Level 2 have been exhibited as Ex. PW-1/6. There are 117,480 people with CrossFit Trainer Certificates in the world. (b) List of trainer courses offered by the plaintiff has been exhibited as Ex. PW-1/7. The plaintiff has over 100,000 CrossFit Level 1 accredited trainers, whose particulars are maintained in the CrossFit Trainer Directory, which has been exhibited as Ex. PW- 1/13. There are 211 CrossFit trainers in India. The directory of trainers within India has been exhibited as Ex. PW- 1/39. (c) Seminars are offered by the plaintiff world over and in India. Web extracts of the schedules and locations of these seminars have been exhibited as Ex. PW 1/8 and Ex. PW-1/9.

(d) Web extracts showing range of sports gear and apparel available for sale on the Reebok website and on e-commerce platforms have been exhibited as Ex. PW-1/10 and Ex. PW- 1/11 respectively.

(e) In 2001, the plaintiff created a free blog entitled 'Workout of the Day", that soon become a staple for fitness enthusiasts across the world. Web extract containing the Workout of the Day blog has been exhibited as Ex. PW- 1/17. This blog can be accessed from the homepage of the plaintiff's website and prescribes a new exercise every day, along with bits of information on health. It has become the most preferred and followed blogs amongst health enthusiasts around the world.

(f) The CrossFit Games: The plaintiff is the creator of the 'Sport of Fitness', also known as the 'CrossFit Games'. This is a global competition, whose objective is to find and crown the "Fittest Man on Earth" and the "Fittest Woman on Earth". This competition has attracted a large number of people from all over the world, including India, since its inception in 2007. The prize payout for the 2015 edition of

the competition is estimated to be at $2,000,000. Web extracts showing various details of the 'CrossFit Games' have been exhibited as Ex.PW- 1/23 to Ex.PW-1/29. The plaintiff hosts the CrossFit Games in collaboration with a host of 4 partners, 8 sponsors and 74 Games Exhibitors such as Reebok, The Hyatt Group etc. A complete list of all the Sponsors and Partners for the 2015 edition of the CrossFit Games has been exhibited as Ex. PW- 1/30.

10. Plaintiff's advertisement, promotions, awards and philanthropic activities :

a) Celebrity endorsements:

Indian celebrities: Numerous Indian celebrities have sworn by CrossFit as the perfect means of attaining the levels of physical fitness they are required to reach as per their professional and personal requirements. These celebrities include Abhishek Bachchan, Amitabh Bachchan, Aamir Khan, Hrithik Roshan, Ranveer Singh, Alia Bhat, Arjun Kapoor, John Abraham, Jacqueline Fernandez, etc. Web extracts from numerous publications showcasing the endorsement by Indian celebrities have been exhibited as Ex. PW- 1/32 and Ex. PW- 1/33.

International celebrities: Numerous international celebrities also follow CrossFit and have publicly sworn by the regimen. These celebrities include Madonna, Jessica Kelly Clarkson, Jessica Biel, Elizabeth Banks, Vanessa Hudgens, Cameron Diaz, Malin Akerman, Paula Patton. Web extracts showing the same have been exhibited as Ex. PW-1/35..

b) Advertisements in leading publications worldwide and in India:

The plaintiff company, its CEO/founder and its regime have been extensively written about in numerous publications such as 'Men's Health Magazine', 'Women's Health Magazine', 'Vogue Magazine', 'Business Line', 'Business Standard', 'Hello! Magazine', 'The Hindu', 'The Times of India', 'The Deccan Chronicle' etc., which collectively reach out to consumers all over India either through print or the Internet. Samples of the same have been exhibited as Ex. PW-1/36(Colly). International publications: The plaintiff company, its CEO/founder and its regime have been extensively written about in 'New Yorker', 'Inc Magazine', 'Outside Magazine', 'The New York Times', 'Time Magazine', 'Business Week Magazine' and 'News Week Magazine' published in the United States as well as in Europe, Asia and the Middle East which are also widely circulated in India. Web extracts of the same have been exhibited as Ex. PW-1/42. c) Philanthropic activities: The plaintiff's efforts to spread its regime throughout the world by means of its affiliates, trainers, training courses, competitions, philanthropic activities, seminars etc. have created a community of

CrossFit followers across the world and within India in particular, who contribute towards the betterment of the community. Even in rural areas, CrossFit has made a major impact in the lives of underprivileged children and orphans. Web extracts from the CrossFit Journal which provide evidence of the same have been exhibited as Ex. PW-1/31. The CrossFit regimen has helped differently-abled and underprivileged members of society. Web extracts of articles from the CrossFit Journal showing the same have been exhibited as Ex. PW- 1/21. CrossFit for Hope', the official fundraising arm of the plaintiff, looks to fight various social-economic ills that are prevalent within society. Its activities range from battling child cancer, reducing infant mortality to providing academic and cognitive training scholarships including coaching for both teachers and students. Web extract of from the 'CrossFit for Hope' website has been exhibited as Ex.PW-1/22.A total amount of $332578.50 has been raised by CrossFit for Hope till 28 th October, 2015.

d) The plaintiff and its CEO have received numerous awards since the inception of CrossFit. Web extracts showing the same have been exhibited as Ex. PW-1/41.

11. Plaintiff's trademark registration world over and applications in India: Plaintiff has protected its well-known trademark CrossFit all over the world. The plaintiff has 272 registered trademarks and approximately 80 pending applications. The notarised consolidated list containing the details of these registartions and applications has been exhibited as Ex. PW-1/44. The plaintiff's trademark applications in India in classes 25 and 41 being application numbers 2175375 and multi-class application being IRDI-2745868 have been exhibited as Ex. PW-1/40.

12. Plaintiff's enforcement activities world over:

a) The plaintiff has filed and won numerous lawsuits in various jurisdictions and forums, which have been exhibited as Ex. PW-1/48. A table containing the details of a few of these judgments has been reproduced herein below:-

| Suit details | Impugned marks |
|---|---|
| USA | |

CrossFit Inc. v. The PR For the use of 'CrossFitters' in the trade Cave description Case No. SACV13-297- AG (RNBx) Sportsgrants Inc. v. "CROSSFIT" & "FIGHT GONE BAD"

CrossFit Inc. Case No. CV-12-0196- SI

CrossFit Inc. v.Norcal "CrossFit", "CrossFitness" & "XFIT"

Elite Gymnastics Case No. 2:13-CV- 1174 KJM KJN

CrossFit Inc. v. "X-Fit" Maximum Human The Court found that - Performance LLC "CrossFit is a popular fitness program, well- Case No. 12cv2348- known for its intense workout regimen and BTM-MDD corresponding intensity of its members."

"For the purposes of the preliminary injunction, Crossfit has offered sufficient evidence to indicate that it owns a famous mark, including that it currently licenses over 4,600 affiliate gyms and hosts annual workout competition televised nationally by ESPN."

"The overall impression is that CrossFit has a strong trademark". CrossFit, Inc. v. T&M Domain named "CrossFit" or any variation/ Inc. combination of "Cross" & "Fit"

Case No. 2:11-cv- 01061-JLR

CrossFit Inc., v. Henry Domain named "CrossFit" or any variation/ Alvarido combination of "Cross" & "Fit"

Case No. 13-cv-20702 CrossFit Inc., v. Island 'CrossFit', 'Cross Fit', 'Crossfit', 'CROSSFIT', Board Rider, Inc. 'crossfit' Case No: 13-cv-01186- AG-JPR CrossFit Inc., v. Robert "CrossFit"

D. Tucker Civ. Action No. 8:13- cv-2752-t-26AEP

CrossFit Inc., v. 2XR Fit 'Cross Fitness', 'Xross Fitness', 'XFit' Systems, LLC civ. No. 2:13-1108 (KM) CrossFit Inc., v. David 'crossfitpacificbeach.com' Nielsen despite the existence of an expired license, Case No. 3:12-cv-325 defendants continued to operate as a AJB (WVG) licensee. Therefore, the impugned mark is "CrossFit"

CrossFit Inc. v. Results 113 domain names were transferred to the Plus Personal Training Complainant CrossFit.

Claim no: FA1305001438576 before the National Arbitration Forum

CrossFit, Inc. v. Duza, Permanent injunction and stipulated LLC, et al., judgment against a cyber-squatter) (Case No. 1:13-cv- 20702-JLK; 2013

CrossFit, Inc. v. Moore $100,0000 judgment against the Defendant et al., for cybersquatting in respect of 180 Case No. 2:11-cv- domains.

01061-JLR (2011)

Italy

Functional Store v. "CROSS GYM" CrossFit Inc.

Civ. suit 4027/2012 The Court found that - "It also cannot be denied that this sign, with use over time, and in particular with its diffusion internationally and in Italy - to which the legal representative of the plaintiff company has himself contributed - has objectively reinforced its original distinctive capacity...."

OHIM CrossFit Inc., v. "CROSS GYM" was invalidated Functional Store

b) The plaintiff has also availed of a plethora of means and methods to protect its trademark and its brand name and image. These include publications and interviews that disseminate information pertaining to the protection of the plaintiff's trademarks and the steps taken by the plaintiff to do the same. Web extracts pertaining to the plaintiff's efforts towards the protection of its brand image and trademarks have been exhibited as Ex. PW-1/46. The plaintiff has published the Terms of Use for the CrossFit trademark on its website at http://www.crossfit.com/cf-info/terms.html, exhibited as Ex. PW-1/45, for making the general public aware of their rights in the plaintiff's trademarks. The plaintiff has a legal team named the "Defenders of the Faithful", dedicated to the sole purpose of protecting the plaintiff's trademark. The plaintiff also has a separate team known as the "The Russells"

dedicated to protecting its brand image on the Internet, which responds to fake and dubious reviews/comments about CrossFit on the Internet. Web extracts pertaining to the employees hired by the plaintiff to protect its brand image and trademarks facts have been exhibited as Ex. PW-1/43. The plaintiff has created an online IP Theft Reporting Mechanism on its website, enabling Internet users to report instances of the infringement of the plaintiff's intellectual property. A web extract of the plaintiff's IP Theft Reporting Mechanism has been exhibited as Ex. PW-1/47. 13. Plaintiff's affiliation process :

(a) The plaintiff permits interested persons to affiliate themselves with 'CrossFit' to set up CrossFit Boxes upon the fulfillment of certain requirements. The application form has been exhibited as Ex. PW-1/14. (b) The plaintiff has simplified the affiliation process for prospective affiliates and only successful applicants are permitted to use the plaintiff's well-known mark CrossFit. The web extract of CrossFit's guide to the affiliation process has been exhibited as Ex. PW- 1/15. (c) All applicants and affiliates are made aware of the fact that the plaintiff is the proprietor of the well-known mark

'CrossFit', in the interest of preventing any misuse of the plaintiff's mark by its affiliates, through the "Frequently Asked Questions" or FAQ section of the plaintiff's website. The same has been exhibited as Ex. PW-1/16. 14. Passing Off by the defendants:

(i) By misrepresentation: The use of 'KrossFit' by the defendants is a deceptive and misleading use of the plaintiff's trademark/service mark/trading style/domain name/corporate name 'CrossFit', with the objective of taking unlawful benefit of the goodwill inherent in the trademark/service mark/domain name/corporate name 'CrossFit'. By these acts the defendants are deceptively holding out or giving an impression to the unassuming public that their goods have a license or approval of the plaintiff.

(ii) The defendants' unauthorized use of 'KrossFit' and

is nearly identical to the plaintiff's

trademark/service mark/trading style domain name/corporate name 'CrossFit' and the only difference is in the use of the letter 'K' by the defendants as opposed to the use of letter 'C' by the plaintiff. The pronunciation of 'C' and 'K' are the same hence, the impugned mark of the defendants is identical in part/ confusingly and phonetically identical as a whole. Even the manner of writing 'KrossFit' by the defendants is identical to that of the plaintiff's CrossFit with the letter 'F' in upper case. (iii) Confusion as to source: The defendants' use of the impugned mark KrossFit in a prominent manner for gymnasium and fitness centre serves to be a source identifier and is likely to create a false impression in the mind of consumers of the possibility that the defendants are in some manner connected with or authorized by the plaintiff in relation to their services in the same class. (iv) 'CrossFit', which is an invented word and has no logical source of adoption has been blatantly copied by the defendants with the exception of the first letter 'C' that has been replaced by the letter 'K' leaving the mark still phonetically identical to the plaintiff's well-known mark 'CrossFit'. This is clear evidence of the defendants' malafide intention. The defendants chose to adopt this exact mark because by doing so they would evade the process of contacting the plaintiff for an authorised license to use the mark and still pass off his training facility and gym as that which has the goodwill and reputation of the plaintiff. (v) It is an accepted proposition of law that a well-known and reputed trademark/mark gets diluted when the consumer capacity to associate it with the original owner's products is diminished. The unauthorized use of the impugned mark by the defendants will undermine and tarnish the

positive associations with and blur the singular source signal emitted by the plaintiff's trademark CrossFit. (vi) When members of trade and public see the well-known mark being used by unrelated and unauthorized traders, the ability of the trademark to identify and distinguish its source stands diluted. The high degree of goodwill and reputation enjoyed by a particular trademark is worthy of a wide scope of protection. (vii) The blatant and unrestricted use of a mark which is identical to the plaintiff's mark CrossFit in relation to the defendants' products will inevitably lead to the gradual whittling away and eventual erosion of the uniqueness and exclusivity associated with the plaintiff's trademark CrossFit. 15. The plaintiff's mark CrossFit is a well-known mark under Section 2 (1) (zg) of the Trademarks Act, 1999 and under Section 11(9) and 11(10) along with Section 11(6) and (7) of the Act.

16. In view of the above facts and circumstances, the plaintiff is entitled to a decree for permanent injunction in terms of prayers in paragraph 20 (a) and (b) of the plaint. Ordered accordingly. The decree is being passed under Order VIII Rule 10 CPC. The other reliefs are not pressed. The same are accordingly rejected.

17. Decree be drawn accordingly.

(MANMOHAN SINGH) JUDGE OCTOBER 30, 2015